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GRENERGY RENOVABLES

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GLOSSARY

Acronym	Full Term	Definition
RTB	Ready to Build	A project development stage where all permits, licenses, land agreements, grid connections, and financing are secured, allowing construction to start.
COD	Commercial Operation Date	The official date when a power plant begins full commercial operations and can deliver electricity under its PPA.
EPC	Engineering, Procurement and Construction	A contract model where a contractor delivers a complete facility, handling design, equipment procurement, and construction.
BESS	Battery Energy Storage System	Technology that stores electricity in rechargeable batteries for later use, enabling grid stability, renewable integration, peak-shaving, and backup power.
IPP	Independent Power Producer	A private entity that develops, owns, and operates power plants for sale to utilities or end-users.
O&M	Operations and Maintenance	Activities required to ensure power plants function efficiently throughout their lifecycle.
PPA	Power Purchase Agreement	A long-term contract between a power producer and an offtaker (utility, corporate buyer, or government) for electricity sales.
CFD	Contract for Difference	A long-term contract that guarantees renewable generators a fixed “strike price” for electricity. If market prices fall below the strike price, the generator receives a top-up; if prices rise above, the generator pays back the difference. This stabilizes revenues and reduces exposure to power price volatility.
LCOE	Levelized Cost of Energy	The discounted lifetime cost of building and operating a plant divided by its total energy output.
LCOS	Levelized Cost of Storage	Metric expressing the lifetime cost of an energy storage system per unit of electricity discharged, including CAPEX, OPEX, efficiency, and lifetime

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EXECUTIVE SUMMARY

TRANSACTION SUMMARY

Section	Key Metrics / Data	Commentary / Notes
Company Overview	Grenergy Renovables, S.A. – vertically integrated renewable platform headquartered in Madrid, active across Europe, Latin America, and the U.S.	Operates under a hybrid Build-to-Sell and IPP model, integrating development, EPC, and O&M functions.
Transaction Type	Public-to-Private Leveraged Buyout (Illustrative)	Aims to capture valuation arbitrage between listed and private renewable platforms while optimizing capital structure.
Sector / Exposure	Solar PV, Wind, Storage; Spain (~35%), Chile (~25%), Colombia (~15%), Rest (~25%)	Balanced exposure across mature and growth markets; increasing focus on hybrid solar-plus-storage.
Strategic Rationale	Delisting enables re-rating via private market multiples, operational leverage, and storage integration.	Opportunity to enhance margins, accelerate IPP growth, and exploit multiple arbitrage upon exit.
EBITDA (LTM 2025E)	€174.6m	Reflects contribution from IPP and mature build-to-sell portfolio.
Enterprise Value (Entry)	€2.97bn (17.0× EV/EBITDA)	Based on FY2025E EBITDA; consistent with sector peer range.
Equity Value (Offer)	€2.22bn (17% premium)	Assumes moderate control premium over market capitalization.
Net Debt (Entry)	€0.90bn (5.2x EBITDA)	Represents consolidated financing across IPP projects and HoldCo facilities.
Total Uses	€3.12bn (17.9x EV/EBITDA)	Includes fees, overfunding, and transaction costs.
Premium vs Market (2025E)	EV/EBITDA +13% Equity +17%	Relative to listed peer average ~15.1x EV/EBITDA.
Capital Structure (Post-Transaction)	70% Equity / 30% Debt	Blend of corporate and project-level debt; moderate gearing for infrastructure-type cash flows.
Base Case Exit (2030E)	14x EV/EBITDA; EBITDA €319m; Net Debt €1.0bn	Conservative exit assumptions reflecting mature IPP mix.
Equity MOIC / IRR	2.2x / 21% (5-year hold)	Aligned with mid-market renewable platform LBO benchmarks.
Exit Route	Trade sale or IPO re-listing	Flexibility through partial asset rotation or portfolio monetization.
Key Value Drivers	Vertical integration; Recurring IPP EBITDA; Storage monetization; Deleveraging	Drives margin uplift, valuation re-rating, and higher cash conversion.
Principal Risks	Power price volatility; Permitting delays; FX exposure; Regulatory risk	Typical sector exposures, mitigated through contractual and geographic diversification.
Mitigants	Long-term PPAs; Active hedging; Diversified pipeline; Strong liquidity	Reinforces cash-flow stability and credit resilience.
Governance / Ownership	Founder-led (David Ruiz de Andrés)	Strong management continuity and proven delivery record.
Investment View	Attractive buyout candidate with re-rating potential	Justifies ~20% acquisition premium and supports leverage up to ~3x Net Debt/EBITDA post-closing.

TRANSACTION OVERVIEW AND INVESTMENT SUMMARY

OVERVIEW

Grenergy Renovables, S.A. ("Grenergy") is a vertically integrated renewable energy platform headquartered in Madrid, active across Europe, Latin America, and the United States. Since its founding in 2007, the company has evolved from a pure project developer into a hybrid **Independent Power Producer (IPP)** and **build-to-sell** operator, combining recurring energy generation with active capital recycling. This dual model has enabled rapid, self-financed growth and consistent profitability amid global renewable expansion.

Between **2020 and 2024**, Grenergy scaled its renewable asset base from €150 million to nearly **€1 billion in net PP&E**, while maintaining conservative leverage (Net Debt/EBITDA < 3.0x) and improving its equity ratio to 28%. Over the same period, **EBIT rose from €22.9 million to €111.8 million** (CAGR 45%), and **net profit quadrupled**, demonstrating operational efficiency and earnings visibility. The company's **EBITDA margin expanded** to 25%, reflecting strong cost control, procurement optimization, and disciplined project execution validated by audited financials.

Grenergy's **16.5 GW renewable and 28.1 GWh storage pipeline** spans Spain, Chile, Colombia, and emerging platforms in Italy, Poland, Germany, Romania, and the U.S., ensuring balanced exposure across mature and high-growth markets. The firm's strategic pivot toward **hybrid solar-plus-storage** projects, anchored by the *Oasis de Atacama* complex in Chile, positions it to capture value from flexibility, grid stability, and energy arbitrage, consolidating its role as a next-generation renewable operator.

The company's **competitive advantage** lies in its **fully integrated capabilities,** development, EPC, IPP ownership, and O&M, enabling end-to-end project control and margin retention. Its consistent financial discipline, robust liquidity, and advanced risk management (hedging, tax optimization, and derivative oversight) underscore governance maturity comparable to larger European peers. Furthermore, the **build-to-own and build-to-sell balance** enhances cash generation and internal funding capacity, reducing dependence on external financing.

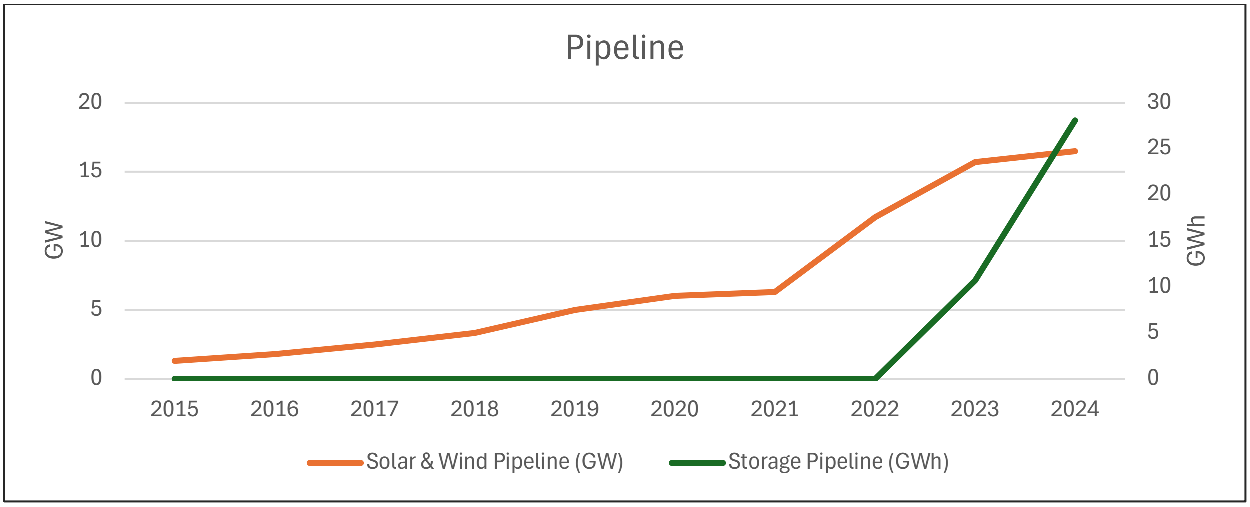
Supported by favorable policy tailwinds across core markets, falling technology costs, and growing corporate PPA demand, Grenergy is positioned for continued value creation through scale, vertical integration, and disciplined financial management. These attributes make it a **prime candidate for a public-to-private transaction**, offering investors exposure to long-term contracted assets, embedded growth in storage, and upside from operational optimization and capital structure engineering.

PROVEN PLATFORM FOR PV AND ENERGY STORAGE EXPANSION

The chart below illustrates Grenergy's rapid and sustained growth across both its photovoltaic (PV) and battery energy storage (BESS) development platforms.

- **Solar & Wind Pipeline (orange line, left axis):** expanded consistently from under **1 GW in 2015** to over **16 GW by 2024**, demonstrating a decade of disciplined project origination and scaling capabilities across multiple markets.
- **Storage Pipeline (green line, right axis):** accelerated sharply after 2021, reaching **27 GWh in 2024**, reflecting the company's strategic pivot toward integrated renewable–storage solutions.

This dual-track growth confirms Grenergy's position as a **proven renewable development platform**, capable of delivering both large-scale PV generation and advanced BESS assets under a unified business model. The synchronized expansion of these pipelines evidences the maturity of its project development framework, technical execution capacity, and market access in the global energy transition space.

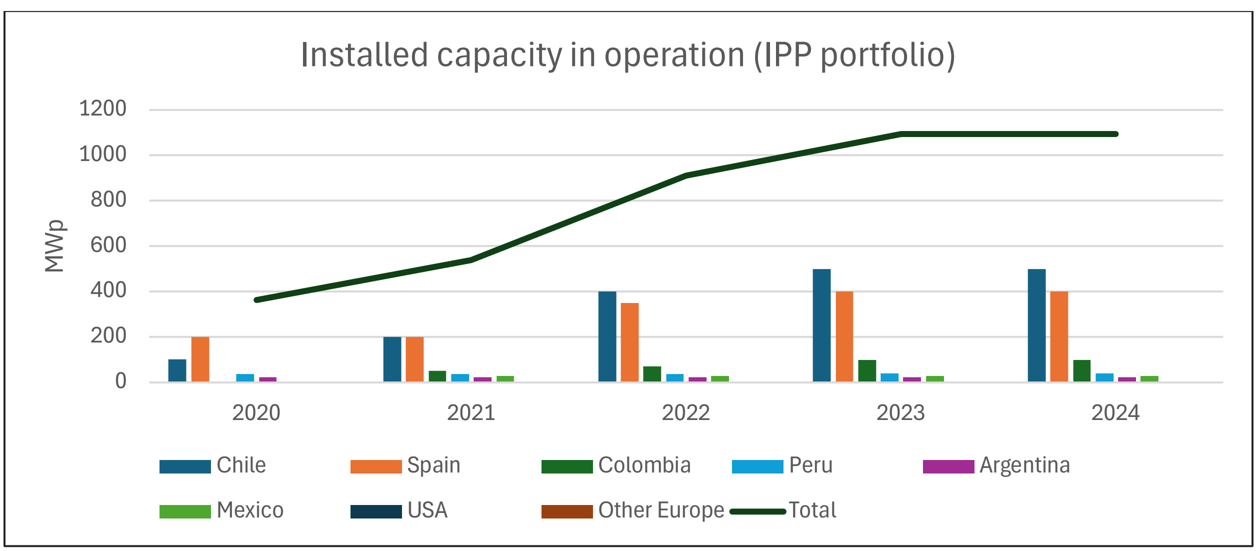


TRANSITION TO THE IPP BUSINESS MODEL

The chart illustrates Grenergy's ongoing transition toward an **Independent Power Producer (IPP)** model, emphasizing the progressive build-up of **installed capacity in operation (MWp)** across core markets.

- From **~350 MWp in 2020** to **over 1.1 GWp in 2024**, Grenergy has multiplied its owned operational portfolio more than threefold.
- This growth reflects a strategic shift from a *pure developer model*, focused on build-and-sell projects, toward a *hybrid IPP structure* that generates **recurring revenues** and **long-term cash flows** from owned assets.
- The diversification across geographies (Chile, Spain, Colombia, Peru, Mexico, USA, Argentina, and Europe) underscores the company's ability to scale its operational footprint globally while maintaining disciplined asset rotation.

This expansion validates the success of Grenergy's platform transformation: evolving from a **project developer** into a **fully integrated renewable utility**, capable of both developing and operating a growing IPP portfolio in solar, wind, and hybrid renewable-storage systems.



GEOGRAPHIC FOOTPRINT AND REVENUE CONCENTRATION

The map illustrates Grenergy's diversified global presence and revenue generation profile across its key operating regions.

- **Chile** remains the core contributor, representing **over 50% of consolidated revenues**, supported by the company's extensive solar and wind IPP base.
- **Spain** serves as both a development and operational hub within Europe, contributing a meaningful share of revenue and acting as a strategic center for project origination.
- Emerging markets in **Colombia, Peru, Mexico, the United States, and other European countries** are gaining traction, highlighting the Group's ability to expand its portfolio geographically and balance regional exposure.

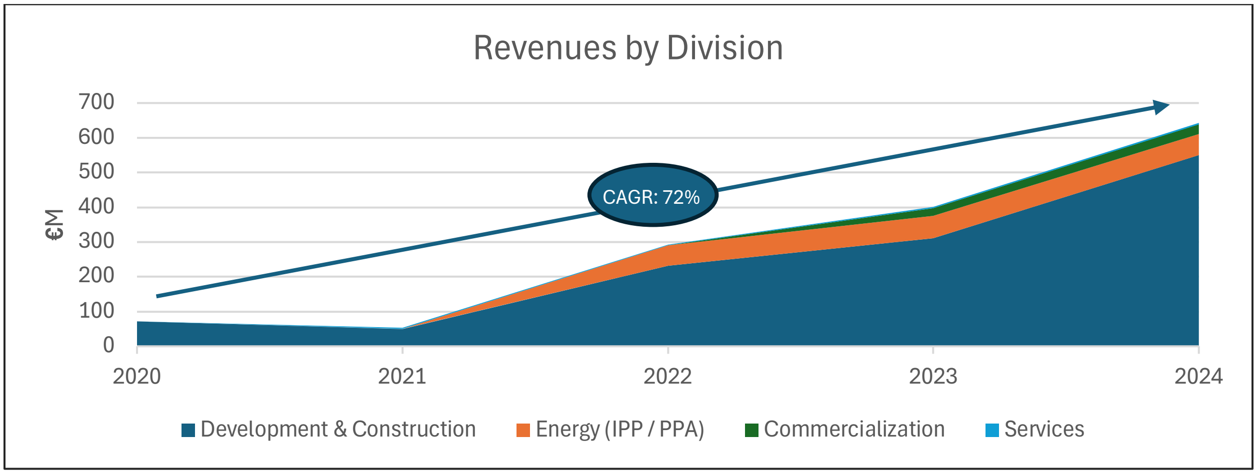
This distribution evidences Grenergy's **globally scalable renewable platform**, capable of sustaining growth through a diversified pipeline and operational base across both mature and high-growth energy markets.

REVENUES GROWTH AND BUSINESS DIVERSIFICATION

The chart illustrates Grenergy's **strong top-line expansion** and **balanced revenue mix** across its business divisions from 2020 to 2024, achieving **CAGR of 72%**.

- **Development & Construction** remains the principal revenue driver, reflecting the company's execution capabilities and steady project pipeline conversion.
- The **Energy (IPP/PPA)** segment shows accelerated growth, highlighting the transition toward recurring revenues from owned operating assets.
- **Commercialization** and **Services** provide complementary contributions, reinforcing the integrated nature of the platform.

This performance evidences Grenergy's evolution from a single-segment developer into a **multi-division renewable utility**, combining project development, energy production, and operational services under one scalable growth model.

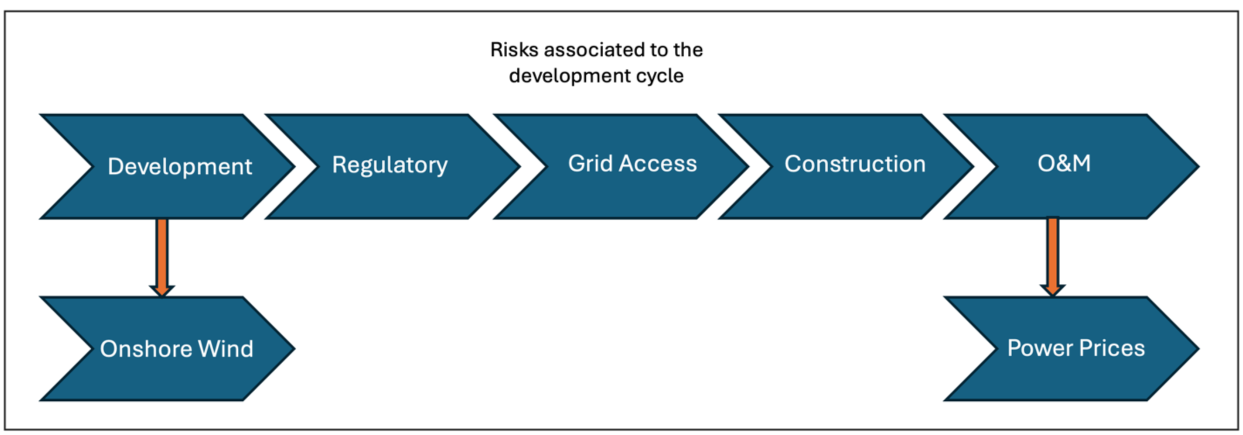


INVESTMENT RISKS ALONG THE DEVELOPMENT CYCLE

The diagram outlines the main **risk exposures inherent to Grenergy's renewable asset development cycle**, spanning from project conception through long-term operation.

- **Development phase:** exposes the company to early-stage risks such as site feasibility, permitting, and environmental assessment, particularly in **onshore wind projects**, where resource variability and permitting timelines can be more complex.
- **Regulatory and Grid Access phases:** depend on the stability of national frameworks and availability of interconnection capacity, critical determinants for project viability and schedule.
- **Construction phase:** involves execution and cost-control risks related to EPC management, supply chain disruptions, and local infrastructure readiness.
- **Operation & Maintenance (O&M) phase:** long-term asset performance is influenced by **power price volatility**, maintenance reliability, and counterparty stability under PPA contracts.

Understanding and managing these risks across the full development cycle is central to Grenergy's investment strategy, ensuring disciplined project selection, balanced country exposure, and sustainable value creation.

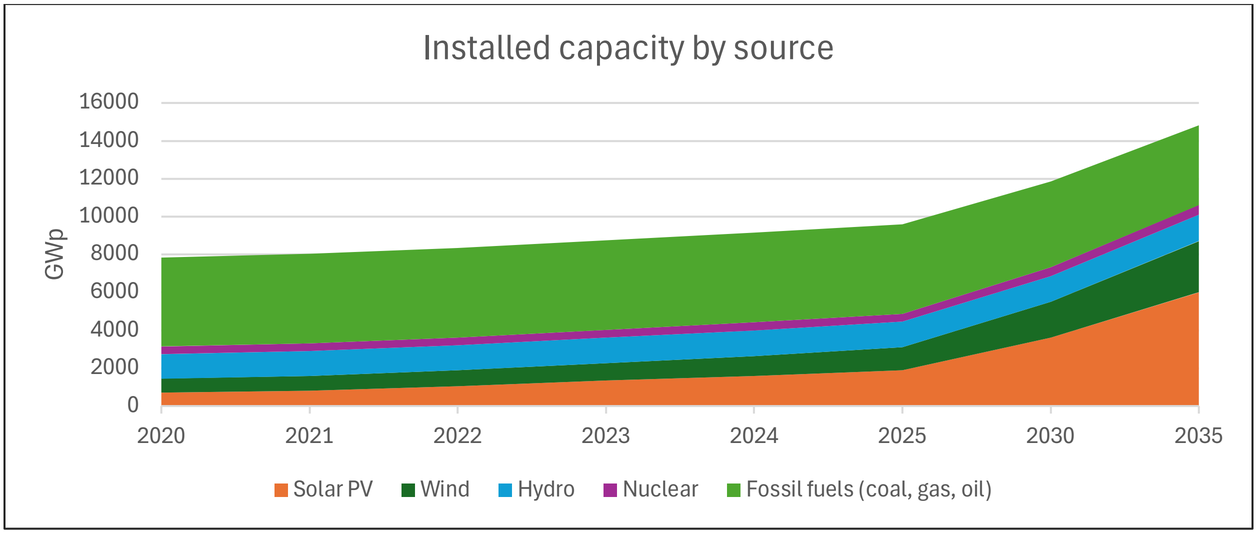


MACROECONOMIC AND SECTORIAL TAILWINDS

The chart highlights the **global energy transition trend** underpinning strong long-term demand for renewable generation.

- **Solar PV and wind capacity** are projected to grow exponentially through **2035**, driven by declining technology costs, policy incentives, and corporate decarbonization commitments.
- **Fossil fuel capacity** (coal, gas, oil) remains stable or gradually declines, while **renewables become the dominant source of new installations**, supported by accelerated investment flows and regulatory alignment with net-zero targets.
- This sustained expansion in installed renewable capacity represents a **structural macroeconomic tailwind** for Grenergy's business model, reinforcing visibility for development pipelines, power purchase agreements (PPAs), and integrated renewable–storage projects.

These global dynamics confirm a favorable investment environment for independent renewable power producers, positioning Grenergy to capitalize on accelerating clean energy deployment worldwide.

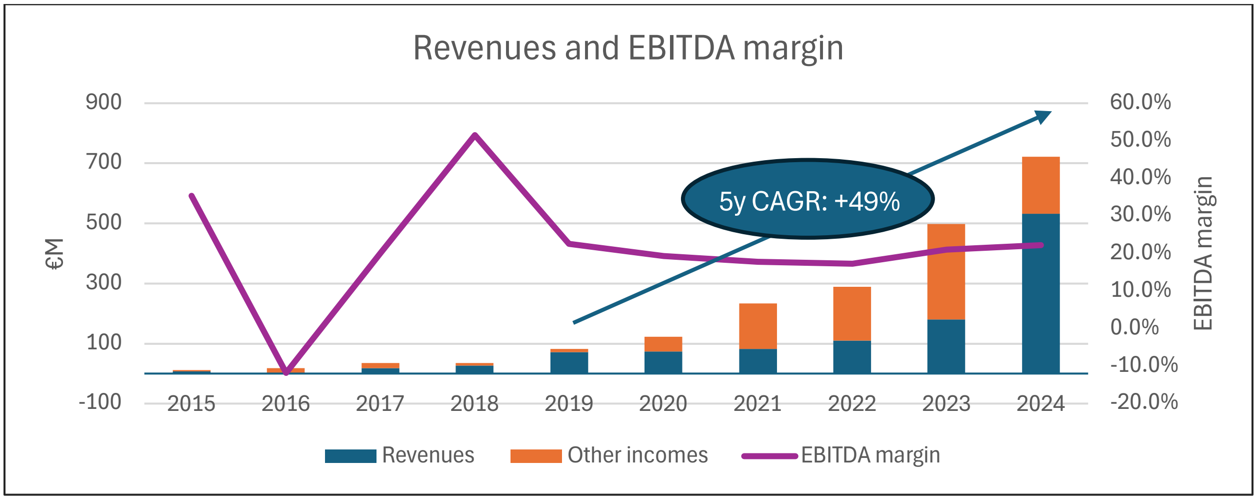


SUSTAINED REVENUE GROWTH AND MARGIN EXPANSION

The chart illustrates Grenergy's strong **top-line growth** and **resilient operating profitability** over the last five years, with revenues expanding at a **CAGR of +49%**.

- **Revenues** (blue bars) have scaled rapidly, reflecting the ramp-up in project delivery, IPP operations, and an expanding international footprint.
- **Other income** (orange bars) primarily the capitalization of internal development work, continues to support project origination and future growth capacity.
- Despite a dynamic growth phase and evolving business mix, **EBITDA margins** (purple line) have remained stable in the **20–25% range**, underscoring effective cost management and operating leverage as the portfolio matures.

Together, these trends demonstrate a **robust financial trajectory**, combining high growth with consistent profitability as Grenergy consolidates its position as a vertically integrated renewable energy platform.



VALUATION AND RETURNS

This analysis presents the valuation framework and expected investor returns based on Grenergy's **LTM 2025 EBITDA of EUR 174.6 million**, with a detailed comparison between the **transaction case** and **market-implied** benchmarks.

- **Transaction valuation:**
  - **Enterprise Value:** EUR **2,968 million**, implying a **17.0x EV/EBITDA** multiple.
  - **Equity Value:** EUR **2,220 million**, based on **EUR 900 million** of net debt (5.2x leverage).
  - The transaction reflects a **13% premium** versus the market-implied EV/EBITDA multiple of **15.1x**, consistent with control and growth positioning.
- **Capital structure:**
  - Total uses of EUR **3.12 billion** (17.9x EBITDA) financed through EUR **900 million** in debt and EUR **2.22 billion** in equity.
  - Transaction fees and overfunding account for about 0.7x EBITDA combined.
- **Returns analysis:**
  - Assuming a **14x exit multiple**, **EUR 1.0 billion** net debt at exit, and **EUR 319 million EBITDA**, the model implies an **equity value multiple of 2.2x** and an **IRR of 21%**, depending on entry/exit assumptions.
  - Sensitivity tables show IRR ranging from **10% (high entry multiples)** to **>30% (multiple expansion)**.

Overall, the transaction case indicates a **robust return profile** supported by operational growth, deleveraging potential, and valuation re-rating toward mature renewable IPP benchmarks.

Use	$M	Multiple	Sources	$M	Multiple	Int. Rate
Enterprise value	2,968	17.0x	TLB	900	5.2x	E+300bps
Transaction fees	22	0.1x				
Financing fees	29.7	0.2x	Total Debt	900	5.2x	
Cash overfunding	100	0.6x	Tota Equity	2,220	12.7x	
Total	3,120	17.9x				

Metric	Transaction Case	Market Implied (2025E)	Premium vs Market
Enterprise Value ($m)	2,968	2,620	13%
EV / EBITDA multiple	17.0x	15.1x	13%
Equity Value ($m)	2,220	1,900	17%
Net Debt ($m)	900	720	25%
EV / EBITDA (Uses)	17.9x	n.a.	n.a.

Exit multiple

Entry multiple

	12x	13x	14x	15x	16x	17x
14x	23.8%	26.3%	28.5%	30.6%	32.5%	34.4%
15x	20.1%	22.5%	24.7%	26.7%	28.6%	30.4%
16x	16.9%	19.3%	21.4%	23.4%	25.3%	27.0%
17x	14.2%	19.3%	21.4%	23.4%	25.3%	24.1%
18x	11.8%	14.0%	16.1%	18.0%	19.8%	21.5%
19x	9.7%	11.9%	13.9%	15.8%	17.6%	19.2%

Exit multiple

Entry multiple

	12x	13x	14x	15x	16x	17x
14x	2.59x	2.84x	3.09x	3.34x	3.60x	3.85x
15x	2.27x	2.49x	2.71x	2.93x	3.15x	3.38x
16x	2.02x	2.22x	2.41x	2.61x	2.81x	3.01x
17x	1.82x	2.00x	2.17x	2.35x	2.53x	2.71x
18x	1.66x	1.82x	1.98x	2.14x	2.30x	2.47x
19x	1.52x	1.67x	1.82x	1.96x	2.11x	2.26x

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INVESTMENT ANALYSIS

INVESTMENT HIGHLIGHTS

PROVEN DEVELOPMENT PLATFORM

Grenergy Renovables, founded in 2007 in Spain, has evolved from a pure developer into a vertically integrated renewable energy company operating across Europe, Latin America, and the United States. Initially following a build-to-sell model, the company shifted strategy in 2019 toward a mixed build-to-own and build-to-sell approach, enabling it to become an Independent Power Producer (IPP) while continuing asset rotation. Over the years, its pipeline has expanded rapidly: in 2020 it exceeded 6 GW of solar and wind projects in development; by mid-2021 this had grown to 6.3 GW; in 2022 the pipeline surpassed 11.7 GW; in 2023 it reached more than 15.4 GW; and by 2024 the company reported a portfolio of 16.5 GW in solar and wind projects, alongside 28.1 GWh in storage. This consistent growth demonstrates a proven development platform, positioning Grenergy among the fastest-growing renewable developers globally, with a diversified presence across key renewable markets.

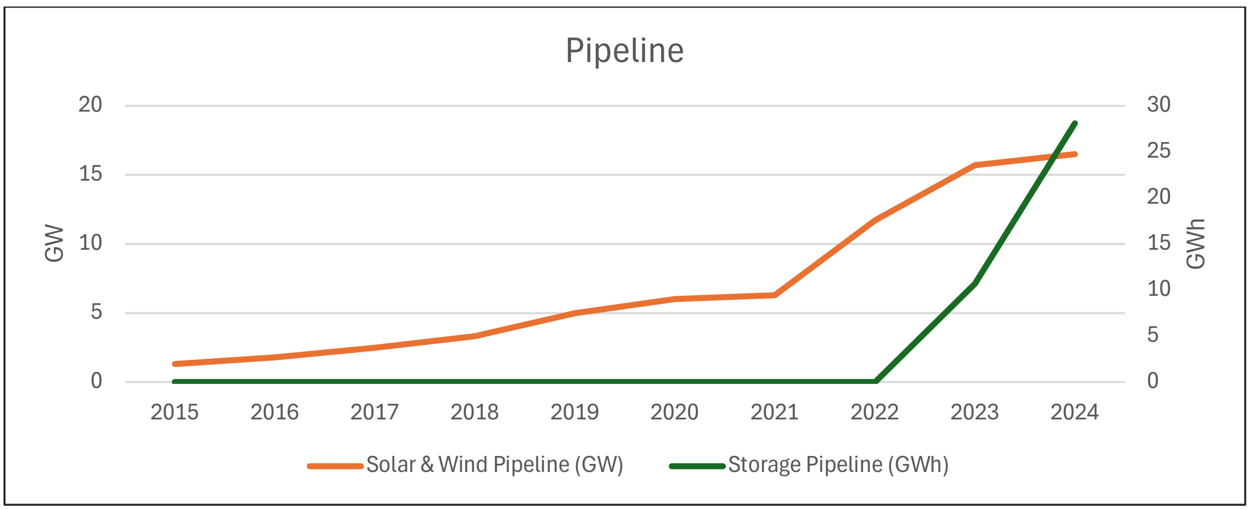


Figure 1: Development pipeline since IPO

GEOGRAPHIC DIVERSIFICATION DRIVING STABILITY AND GROWTH

Grenergy's pipeline evolution demonstrates a stable and well-balanced expansion across multiple geographies, reducing reliance on any single market and enhancing resilience against regulatory or price risks. Spain and Chile remain the company's anchor platforms, while Colombia has steadily grown into a core market, and Mexico and Peru contribute meaningful optionality in Latin America. Since 2022, diversification into new European markets such as Italy, Poland, Germany, Romania, and the UK has further strengthened the platform, complemented by initial entry into the US. This geographic breadth not only mitigates country-specific volatility but also positions Grenergy to capture opportunities across diverse regulatory frameworks and market dynamics, reinforcing its investment appeal.

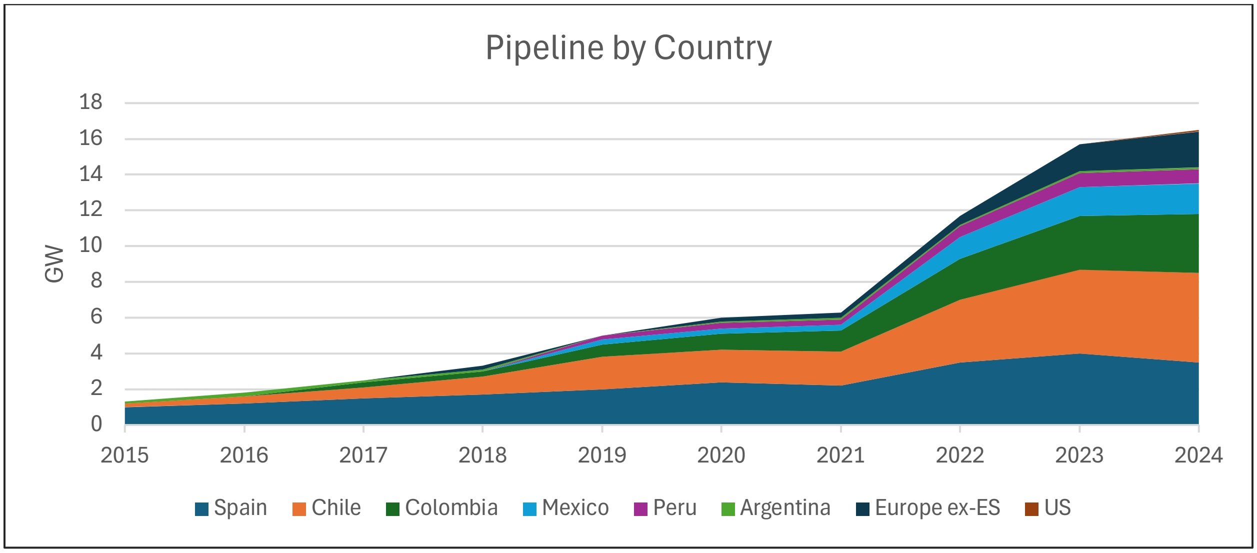


Figure 2: Pipeline by country

FINANCIAL STABILITY

Financial stability in renewable energy companies like Grenergy is supported by a mix of contractual, financial, and strategic mechanisms. These mechanisms not only provide predictable cash flows but also enhance resilience across different market conditions, making them core elements of the company's investment appeal.

1) **Long-term contracts** (revenue certainty)
    a) Power Purchase Agreements (PPAs): Corporate or utility PPAs guarantee a fixed (or indexed) price for electricity over 10–20 years, providing predictable cash flows.
    b) Government Auctions / Contracts for Difference (CFDs): Competitive tenders offer long-term fixed-price contracts (Spain, Chile, Colombia). These are increasingly the "new FiTs," but market based.
    c) Merit: Bankability and reduced revenue volatility, allowing cheaper project financing.
2) **Merchant exposure with risk management**
    a) Merchant Sales: Some projects sell directly into the spot market, capturing high prices.
    b) Hedging / Forward Contracts: Developers lock in part of the merchant exposure using hedges, balancing upside with stability.
    c) Merit: Upside potential in high-price environments while managing risk through diversification and hedging.
3) **Asset rotation model** (capital recycling)
    a) RTB Sales: Selling projects at RTB stage generates significant capital inflows and validates project valuations.
    b) IPP Portfolio Growth: Retaining part of projects ensures recurring revenue from long-term PPAs.
    c) Merit: Self-financing growth, recurring sales fund future development without excessive leverage.
4) **Diversified geographic footprint**
    a) Presence in Europe (Spain), Latin America (Chile, Colombia, Mexico, Peru), and US mitigates single-market regulatory or price risks.
    b) Currency, regulatory, and demand diversification reduce earnings volatility.
    c) Merit: Risk-adjusted stability; resilience to country-specific policy changes.
5) **Storage integration**
    a) Pipeline of 28.1 GWh storage (2024) complements solar/wind assets.

   b) Enables participation in ancillary services, capacity markets, and peak-price arbitrage.
   c) Merit: Future-proofing revenues in an increasingly flexible, storage-driven power market.
6) **Financing structures & scale effects**
   a) Non-recourse Project Finance: De-risks corporate balance sheet by ring-fencing liabilities.
   b) Green Bonds & ESG-linked loans: Attract lower-cost capital, aligning with sustainability targets.
   c) Economies of Scale: Larger portfolio allows O&M efficiencies and bargaining power with EPCs and suppliers.
   d) Merit: Lower cost of capital + higher operating margins, enhancing returns.

TRANSITION TO IPP: BUILDING STEADY RECURRING REVENUES

In 2021, Grenergy initiated a decisive shift in its business model, diversifying revenues beyond pure development and asset rotation towards a growing IPP portfolio. This transition marked the first meaningful contribution from energy sales under long-term PPAs, complementing the established RTB model. As the IPP division scaled, it introduced a reliable stream of recurring revenues, reducing dependence on one-off development transactions and establishing a more balanced, stable financial profile that enhances predictability and long-term value creation.

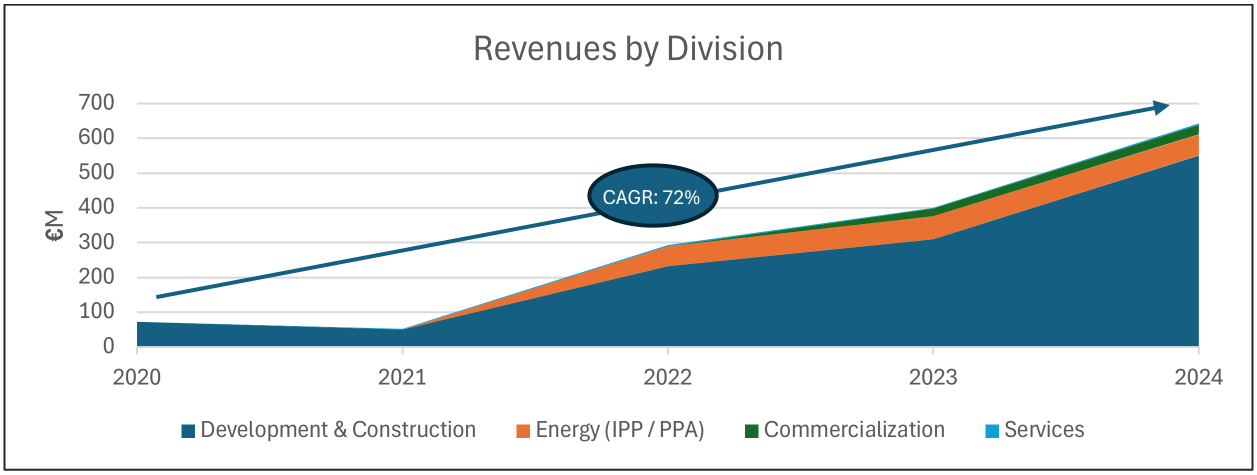


Figure 3: Revenues by division

FAVORABLE MARKET OUTLOOK ACROSS CORE JURISDICTIONS

The outlook for renewables in Grenergy's core jurisdictions remains highly favorable, driven by ambitious decarbonization targets, supportive policy frameworks, and growing demand for clean energy. In Spain and broader Europe, EU Green Deal initiatives and accelerated renewable auctions underpin long-term growth, while storage markets are opening new revenue streams through ancillary services. Latin America continues to offer strong fundamentals, with Chile leading in solar-plus-storage deployment, Colombia expanding auctions for firm renewable capacity, and Mexico and Peru sustaining opportunities despite regulatory volatility. This mix of mature European markets and high-growth Latin American platforms provides Grenergy with both stability and upside potential across its development pipeline.

INTEGRATED CAPABILITIES ACROSS THE RENEWABLE VALUE CHAIN

Grenergy has built a fully integrated renewable energy platform, spanning development, construction, ownership, and long-term operation of assets. This capability enables efficient execution, strategic flexibility, and recurring value creation across geographies and technologies.

1) **Photovoltaic (PV) and Wind Development:** Over 15.4 GW of solar and wind projects in development as of 2023.
2) **IPP Portfolio:** 860 MW connected and operating in the company's own portfolio by end-2023, providing stable recurring revenues.
3) **O&M (Operations & Maintenance):** Provides asset management and O&M services not only for internal IPP projects but also for most projects sold to third parties, creating an additional stream of long-term recurring revenues.
4) **EPC (Engineering, Procurement & Construction):** In-house EPC execution, with 2,736 MW under construction and development at end-2023.
5) **Storage:** Rapid expansion with 28.1 GWh of storage projects under development in 2024.

WELL POSITIONED TO CAPTURE GLOBAL RENEWABLE GROWTH

Grenergy is strategically positioned to benefit from accelerating global renewable energy trends, supported by strong policy momentum, declining technology costs, and rising demand for clean electricity and storage. With a diversified 16.5 GW solar and wind pipeline and 28.1 GWh in storage across Europe, Latin America, and the US, the company combines scale, geographic breadth, and integrated capabilities to capture value from the ongoing energy transition.

QUALITY AS COMPETITIVE ADVANTAGE

To assess the quality of Grenergy's work and projects, several key financial and operational metrics can be extracted from its consolidated financial statements and auditors' reports (2020–2024). These metrics reflect project execution, asset efficiency, and financial discipline, critical indicators of quality in renewable energy development.

Metric	2020	2021	2022	2023	2024
EBIT (Operating Income)	22.9	34.3	36.0	86.6	111.8
Net Profit	15.3	16.4	10.3	51.1	59.9
ROE (%)	13	11	6.5	14.9	17
ROA (%)	4.5	4.0	2.0	6.0	6.5–7.0
EBITDA Margin	21%	19%	17%	26%	25%
Net Debt / EBITDA	4.2x	3.8x	4.5x	3.0x	2.6x

Key metrics: EBIT, Net Profit, ROE, EBITDA Margin

1) **EBIT growth** from €22.9M (2020) to €111.8M (2024), CAGR 45%, reflects the company's increasing ability to convert project volume into sustained earnings.
2) **Net profit** quadrupled (from €15M to €60M), confirming that higher revenues are translating efficiently into bottom-line results.
3) **ROE stability** (11–18%) shows that shareholder capital is being deployed effectively, not diluted by expansion.
4) **EBITDA margin expansion** from 21% to 25-26% signals stronger cost control, procurement efficiency, and operational maturity.

These trends prove financial and operational discipline. They show that Grenergy's projects deliver predictable profitability, suggesting robust engineering, O&M management, and accurate cost forecasting, hallmarks of high-quality renewable development.

Metric	2020	2021	2022	2023	2024
Net Property, Plant & Equipment (PP&E)	€150.0 M	€401.9 M	€610.3 M	€763.8 M	€980.1 M
Deferred Tax Assets	€10.2 M	€25.4 M	€47.3 M	€44.1 M	€54.6 M
Equity / Total Assets	19%	24%	27.6%	27.1%	28%
Derivative Positions	€0 M	€0.7 M	€16 M	€63 M	€80 M (est.)

1. Controlled and Sustainable Growth in Productive Assets
    a) PP&E rose more than sixfold (from €150 M to €980 M) in four years, proving Grenergy's capacity to scale high-quality projects (solar and wind) while maintaining profitability.
    b) This expansion aligns with revenue and EBIT growth, suggesting that new assets are efficiently deployed and income-generating, not idle capital.
    c) No major impairments or revaluations were reported in audit opinions, a strong indicator of asset durability and engineering integrity.
2. Prudent and Forward-Looking Tax Management
    a) Deferred tax assets increased proportionally with profits, signaling accurate profit forecasting and sustainable taxable income.
    b) These balances show that Grenergy's growth is not driven by transient tax effects but by recurring operational profitability and appropriate use of tax credits and loss carryforwards.
3. Strong Equity Base and Solvency Discipline
    a) The equity-to-assets ratio improved from 19% (2020) to 28% (2024), remarkable given the capital intensity of renewable projects.
    b) This reflects a conservative leverage policy, ensuring financial resilience during expansion and demonstrating long-term solvency quality.
4. Sophisticated Financial Risk Management
    a) The steady rise in derivative positions (€0 → €80 M est.) corresponds to a maturing hedging strategy, covering power prices, interest rates, and currency exposures.
    b) These positions are audited, fair-valued, and transparently disclosed, evidencing financial governance maturity.

Metric	2021	2022	2023	2024
Work Performed and Capitalized	137.6	182.4	221.1	264.3
Inventory (Plants under Construction)	16.5	0.1	135.9	210.7
Cash & Cash Equivalents	68.6	105.7	121.5	139.4

1. Increasing "Work Performed and Capitalized" = Internal Project Development Strength
    a) This metric represents the value of renewable assets being built internally (solar, wind, storage).
    b) The near-doubling over three years reflects:

        i) Efficient EPC and in-house engineering capability.
        ii) Tight cost management and adherence to IFRS capitalization standards (validated by EY audits).
        iii) Organic project generation capacity rather than dependence on external acquisitions.

c) It shows Grenergy is not only expanding in size but building high-quality projects from concept to grid connection.

2. Expanding “Plants Under Construction” = Visibility and Pipeline Quality
    a) The growth from €0.1M (2022) to €210.7M (2024) represents a tenfold expansion in active construction projects, a clear proxy for development pipeline depth.
    b) Importantly, no major impairment losses were recorded, meaning assets under construction are technically sound and expected to become operational income-generators.
    c) This level of pipeline consistency demonstrates strong project vetting, permitting, and EPC execution standards, critical markers of quality in renewables.

3. Sustained “Cash & Equivalents” = Financial Resilience
    a) Despite rapid asset expansion, cash reserves more than doubled since 2021, indicating:
        i) Solid cash flow from operational plants (steady PPA revenues).
        ii) Efficient capital recycling from project sales (build-to-sell model).
        iii) Balanced working capital management amid growth.
    b) Maintaining liquidity through expansion is evidence of financial discipline and operational stability, avoiding over-leverage while investing heavily in new assets.

In summary, Grenergy’s competitive strength lies in its vertically integrated and capital-efficient platform, proven by a sixfold expansion in productive assets between 2020 and 2024 while preserving balance-sheet discipline. The company’s ability to originate, construct, and operate renewable projects internally translates into superior cost control, execution speed, and margin resilience. Strong liquidity, growing deferred tax assets, and disciplined hedging reflect mature financial governance and proactive risk management. These attributes position Grenergy as a scalable, resilient, and self-financing renewable energy platform, capable of generating sustainable value across both build-to-sell and long-term IPP models.

QUALITY SUSTAINABILITY

Metric	2021	2022	2023	2024	Observation
EBIT	34.3	36.0	86.6	111.8	Flat growth in 2022, followed by an unusually steep recovery in 2023 and 2024
Net Profit	16.4	10.3	51.1	59.9	37% drop in 2022 before a sharp rebound.
EBITDA Margin	18.8%	17.1%	26.1%	25.1%	Temporary contraction before reaching a stabilization around 25%

1) The 2022 dip indicates **margin pressure**, likely from:
    a) Cost overruns in construction (inflation, logistics, materials).
    b) Project delays or underperformance of new plants.
    c) High interest and financing costs during rapid expansion.
2) Such volatility suggests that **project quality and cost predictability** may not yet be fully stable across regions.
3) The sharp rebound in 2023–2024 could reflect **project sales recognition timing**, not necessarily structural improvement, meaning underlying operating quality should be verified project-by-project.

Metric	2021	2022	2023	2024
Work Performed & Capitalized	137.6	182.4	221.1	264.3
Plants Under Construction	16.5	0.1	135.9	210.7

1) Capitalized work reflects internal project costs transferred to assets, assuming future profitability.
2) A rapid, sustained rise can signal:
    a) Heavy pipeline buildup, good if all projects are viable; risky if development outpaces financing or market absorption.
    b) Possible accounting aggressiveness, if capitalization includes costs that should have been expensed.
3) The spike in *plants under construction* suggests concentration of resources, which could increase execution risk and stretch management oversight.

If completion, permitting, or grid-connection delays occur, these capitalized costs could later be impaired, revealing overvaluation of ongoing projects.

Metric	2020	2022	2023	2024 (est.)
Derivative Positions (at fair value)	0	16	63	80

The increased use of derivatives shows sophisticated risk management, but also:

a) Introduces valuation volatility due to IFRS mark-to-market accounting.
b) Reflects greater financial engineering complexity, which can obscure true project economics.
c) Requires robust internal controls to prevent speculative exposures.

If derivative gains/losses materially influence net results, underlying operational profitability may be less transparent.

Deferred tax asset growth requires sustained profitability to realize:

1) These assets reflect expected future tax savings from temporary differences and carryforwards.
2) Their realization depends on future taxable profits, which assumes continued project success and stable regulation.

If profitability were to weaken, deferred tax assets might need partial write-downs, signaling that projected future profits were too optimistic.

Earnings volatility and timing effects

1) Grenergy's model includes *build-to-sell* projects, recognizing large revenues and profits upon sale completion.
2) This can cause lumpy results year to year, not directly tied to operating asset performance.
3) Therefore, strong yearly profits may reflect transaction timing rather than steady project efficiency.

If project sales slow or are delayed (due to financing conditions or buyer appetite), profitability and cash generation could temporarily deteriorate, even if reported assets grow.

HIGH BARRIERS TO ENTRY

High barriers to entry in Grenergy's business arise from the combination of technical, regulatory, and financial complexities inherent to large-scale renewable energy development. The company operates across the entire project lifecycle: origination, permitting, engineering, financing, construction, and operation, each requiring specialized expertise, capital access, and established local networks. Securing land rights, environmental approvals, and long-term power purchase agreements demands both regional presence and institutional credibility, which new entrants rarely possess. Furthermore, Grenergy's ability to structure and hedge multi-jurisdictional projects under IFRS standards, maintain consistent audit compliance, and manage capital-intensive portfolios with controlled leverage reflects a maturity that takes years to replicate. Its vertical integration and proven track record also strengthen supplier relationships and investor confidence, reducing financing costs relative to smaller developers. Collectively, these operational, financial, and regulatory barriers create a structural moat that limits competitive entry and reinforces Grenergy's position in the renewable energy value chain.

INVESTMENT RISKS

Renewable energy projects face a range of risks throughout their lifecycle, from early-stage development to long-term operations. Key challenges include permitting and regulatory uncertainties, securing grid access, construction delays, and operational reliability. In addition, technology-specific issues such as public acceptance of onshore wind and market-driven risks like exposure to power prices further shape the risk profile. Understanding these risks across the development cycle is essential for evaluating project viability and long-term value creation.

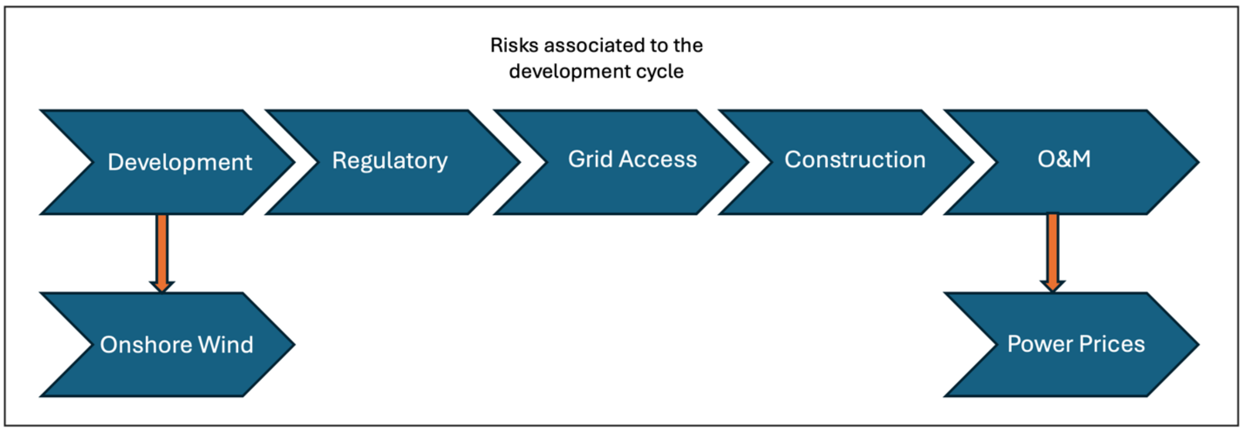


Figure 4: Development cycle risks

DEVELOPMENT RISK

Renewable project development is inherently exposed to risks such as permitting and licensing delays, evolving regulatory frameworks, competition for grid connection capacity, land acquisition challenges, and potential cost inflation during construction. These factors can impact project timelines, capital requirements, and ultimately the realization of expected returns.

REGULATORY RISK

Renewable energy projects are highly sensitive to changes in regulatory frameworks, including subsidy regimes, auction design, grid access rules, tax incentives, and environmental requirements. Sudden policy shifts or retroactive measures can affect project profitability, financing conditions, and market competitiveness. Given Grenergy's international footprint, exposure spans multiple jurisdictions, each with its own evolving energy policies and regulatory uncertainties.

ONSHORE WIND RISK

Onshore wind projects face distinct risks tied to public support and social acceptance. Local opposition to visual impact, noise, and land use can delay or block permitting, making community engagement a critical factor. Additionally, regulatory changes to incentives, auction design, or grid access rules can materially affect project viability, particularly in markets where wind competes directly with lower-cost solar PV. These challenges add uncertainty to timelines and profitability, making onshore wind more exposed to policy and social factors than other renewable technologies.

GRID ACCESS RISK

Securing and maintaining grid connection rights is a critical risk for renewable energy projects, as limited transmission capacity and increasing competition among developers can create bottlenecks. Delays or denials in interconnection permits may postpone project timelines, while escalating grid access costs and potential curtailments can reduce profitability. As renewable penetration grows across Grenergy's core markets, grid congestion and evolving regulatory frameworks for allocation of capacity represent a structural challenge to development certainty.

POWER PRICE AND PPA MARKET RISK

Grenergy's revenues are partly exposed to fluctuations in wholesale electricity prices, particularly in merchant markets. Volatility driven by fuel costs, weather conditions, and regulatory interventions can impact cash flows and project returns. Even in contracted projects, PPA market risk persists: shifts in demand for corporate or utility PPAs, evolving contract structures, or tightening credit quality of offtakers may affect pricing, tenor, and availability of long-term agreements. These factors can influence both the stability and bankability of future projects.

CONSTRUCTION RISK

Renewable projects are subject to construction risk, including delays in equipment delivery, cost overruns, contractor performance issues, and unforeseen technical or environmental challenges on-site. Rising prices for key components such as modules, turbines, and batteries can further strain budgets, while logistical disruptions may extend project timelines. Any delay in commissioning directly postpones revenue generation and may trigger contractual penalties, affecting both profitability and financing structures.

OPERATION AND MAINTENANCE RISK

Once commissioned, renewable assets face risks related to long-term operation and maintenance. Equipment degradation, underperformance, or unexpected failures can reduce energy output and increase repair costs. Dependence on specialized suppliers and service providers may expose projects to cost inflation or delays in spare parts. Additionally, extreme weather events and grid curtailments can affect asset availability, while inadequate maintenance practices may shorten project lifespans and undermine projected returns.

ADDITIONAL RISKS

1) Financing & Interest Rate Risk
   a) Rising interest rates and tighter credit conditions can increase project financing costs and lower equity returns.
   b) Currency fluctuations may also impact projects in emerging markets like Latin America when financing is raised in hard currency.
2) Counterparty / Offtaker Risk
   a) Even under long-term PPAs, there is exposure to the creditworthiness of offtakers (utilities, corporates, or governments).
   b) Payment delays or defaults can disrupt cash flows.
3) Supply Chain & Technology Risk
   a) Dependence on a limited number of suppliers (modules, turbines, batteries) creates vulnerability to price shocks, trade restrictions, or technology failures.
   b) Rapid evolution in storage and solar technologies may risk asset obsolescence.
4) Macroeconomic & Political Risk
   a) Particularly relevant in Latin America: policy reversals, political instability, or changes in foreign investment rules can disrupt project pipelines.

5) Climate & Environmental Risk
    a) Extreme weather events (droughts, storms, heatwaves) may reduce generation efficiency or damage assets.
    b) Environmental and biodiversity constraints can delay or prevent project approvals.

INVESTMENT RISK MITIGATION

REGULATORY RISK MITIGATION

The company actively manages regulatory exposure through multi-jurisdictional diversification and ongoing policy monitoring. Grenergy's internal regulatory and legal teams engage directly with energy authorities and industry associations to anticipate policy changes and adapt project structures accordingly. Flexible business models, build-to-sell and build-to-own, allow rapid reallocation of capital toward markets with more favorable regulatory conditions. Long-term power purchase agreements (PPAs), tax equity structures, and the use of hedging instruments also provide partial insulation from policy-driven market volatility.

ONSHORE WIND RISK MITIGATION

To address social acceptance challenges, Grenergy implements structured community engagement programs early in the project lifecycle, emphasizing transparent communication on local benefits such as employment and infrastructure investment. Detailed environmental and noise impact assessments are integrated into the permitting process, ensuring compliance with evolving regulatory standards. Technology selection and site optimization reduce visual and acoustic impact, while project diversification between wind and solar limits concentration risk in markets more exposed to local opposition.

GRID ACCESS RISK MITIGATION

Grenergy manages grid access risk through early reservation of interconnection capacity and continuous coordination with transmission system operators. The company conducts grid feasibility and congestion studies during early-stage development and secures backup sites in high-demand regions to preserve optionality. Technical teams design flexible grid connection layouts that can accommodate regulatory adjustments or shared infrastructure. Long-term relationships with grid authorities in Spain, Chile, and Colombia enhance predictability of interconnection timelines.

CONSTRUCTION RISK MITIGATION

Construction risks are mitigated through fixed-price, turnkey EPC contracts with reputable international and regional contractors, combined with performance guarantees and liquidated damage clauses. Standardized engineering templates and centralized procurement reduce cost variability across projects. The company maintains a diversified supplier base to avoid dependence on single vendors, while project monitoring systems track progress and costs in real time. Insurance coverage for delay-in-startup (DSU), construction all-risk, and third-party liabilities further protect project economics.

OPERATION AND MAINTENANCE (O&M) RISK MITIGATION

Grenergy minimizes operational risks by maintaining in-house O&M capabilities supported by predictive maintenance systems and digital performance monitoring. Long-term service agreements (LTSAs) with equipment manufacturers ensure availability guarantees and spare-part access. Continuous performance benchmarking and proactive asset health analytics reduce downtime and improve energy yield. Physical and cyber-resilience programs protect operational assets against weather events and digital vulnerabilities, enhancing overall reliability.

POWER PRICE AND PPA MARKET RISK MITIGATION

Exposure to merchant price volatility is reduced through long-term PPAs, hedging instruments, and geographic diversification across regulated and liberalized markets. The company's risk management policy defines minimum contracted revenue thresholds for operational assets, ensuring predictable cash flows. Corporate PPAs are negotiated with creditworthy offtakers under conservative counterparty criteria, while flexible contract tenors and hybrid pricing models allow adaptation to market cycles.

FINANCIAL AND INTEREST RATE RISK MITIGATION

Interest rate exposure is actively managed through fixed-rate project financing and interest rate swaps. The company maintains conservative debt maturity profiles aligned with project cash flows and employs natural hedging strategies by matching debt currency to project revenues. Grenergy's strong equity base and proven access to green financing instruments provide resilience against tightening credit conditions.

COUNTERPARTY / OFFTAKER RISK MITIGATION

Grenergy conducts comprehensive credit assessments of offtakers and diversifies its PPA portfolio across utilities, corporates, and governments. Contract structures include collateral mechanisms, step-in rights, and termination clauses to safeguard revenue streams. Continuous monitoring of offtaker credit metrics and proactive renegotiation reduce exposure to defaults or payment delays.

SUPPLY CHAIN AND TECHNOLOGY RISK MITIGATION

To address supply chain volatility, Grenergy maintains multi-sourcing arrangements for critical components and long-term framework agreements with tier-one suppliers. The company employs forward procurement and logistics hedging to secure delivery schedules and cost predictability. Technological obsolescence is mitigated through close collaboration with OEMs, ongoing performance benchmarking, and adoption of bankable, proven technologies with strong warranty and service coverage.

MACROECONOMIC AND POLITICAL RISK MITIGATION

Grenergy mitigates country-specific risks through portfolio diversification across Europe and Latin America, with exposure caps per jurisdiction. Political and economic developments are continuously monitored, and projects in higher-risk markets are structured with enhanced return thresholds, export credit insurance, or multilateral financing (e.g., IFC, IDB). Local partnerships and compliance programs strengthen resilience to regulatory or policy shifts.

CLIMATE AND ENVIRONMENTAL RISK MITIGATION

The company integrates climate resilience into project design through comprehensive site assessments and structural adaptations (elevated mounting, reinforced foundations, drainage systems). Insurance coverage against extreme weather events and environmental liability protection further limit exposure. Continuous biodiversity and environmental monitoring ensure compliance with ESG standards and support community acceptance, reinforcing long-term project viability.

Grenergy's risk mitigation strategy is characterized by diversification, contractual risk transfer, and operational control. By integrating technical, financial, and regulatory safeguards throughout the development cycle, the company converts potential vulnerabilities into managed exposures. This structured risk management framework supports stable returns, preserves asset integrity, and enhances the overall resilience and quality of Grenergy's renewable energy portfolio.

VALUE CREATION STRATEGY

VALUE CREATION ACTIONS AND EBITDA BRIDGE

The following table outlines Grenergy's value creation strategy, linking each strategic initiative to the actions required and its estimated EBITDA contribution over the next five years. Starting from the 2024 reported EBITDA baseline, the analysis illustrates how the company can reach its base case through core development, asset rotation, IPP growth, and operational excellence, while additional upside is generated from storage deployment, financial optimization, and ESG positioning.

Table 1: Value creation table and EBITDA impact

Description	Sponsor-Controlled Actions	Incremental EBITDA (€m)	Cumulative EBITDA (€m)
2025 LTM EBITDA	Baseline performance (pre-transaction).	–	174
Pipeline Growth & Diversification	Accelerate permitting through local partnerships; allocate capex toward high-IRR markets (Spain, Chile, Colombia); strengthen interconnection rights; embed storage in project design to capture premium PPAs.	26	200
Asset Rotation (RTB Sales)	Execute structured sales of 1–1.5 GW/year at Ready-to-Build stage; recycle proceeds into higher-margin IPP and hybrid assets; use portfolio rotation to delever and fund growth internally.	59	259
IPP Portfolio Expansion	Retain >2.5 GW of operating assets under long-term PPAs; optimize revenue mix between merchant and contracted offtake; renegotiate tariffs and extend tenors to stabilize recurring EBITDA.	49	308
EPC & O&M Excellence	Vertical integration of EPC execution; deploy digital twin monitoring and predictive maintenance; reduce O&M cost/MW by 10–15%; standardize procurement and logistics to lift construction margins.	12	320
Base Case	Consolidated effect of organic development, disciplined rotation, and operational optimization.	–	319.6
Storage Integration	Build and monetize 28 GWh storage pipeline; capture ancillary-service revenues and arbitrage spreads; form JV with battery OEMs to secure cost curve advantage.	21	341
Financial Discipline & Green Financing	Refinance existing debt at LBO closing; introduce green bond or sustainability-linked loan tranches to lower WACC by 50–75 bps; optimize project-level leverage (70/30 debt-equity).	6.5	347.5
ESG & Market Positioning	Achieve top-quartile ESG rating; win corporate PPAs at premium pricing; qualify for EU Taxonomy and Just Transition incentives; enhance valuation multiple at exit.	3.7	351
Inorganic Growth (optional upside)	Acquire regional development platforms or late-stage portfolios (0.5–1 GW) to accelerate pipeline scale; integrate via shared procurement and financing; target 10–15% IRR accretion.	10 – 15 (illustrative)	~365
Upside Case	Full execution of base + storage + inorganic + ESG levers.	–	~365

The EBITDA bridge below illustrates how Grenergy's value creation levers translate into financial performance. Starting from the 2024 baseline, incremental contributions from pipeline growth, asset rotation, IPP expansion, and operational efficiencies build the base case, while additional upside is generated through storage deployment, financial discipline, and ESG-driven positioning. This visual representation highlights the stepwise progression from current earnings to the full potential under both the base and upside scenarios.

The sponsor's value creation strategy is driven by a combination of operational, financial, and strategic levers designed to enhance cash generation, optimize capital efficiency, and expand Grenergy's platform value through targeted growth initiatives:

1) **Portfolio optimization:** Asset rotation and selective IPP retention are the core cash flow levers; they increase capital velocity and portfolio yield.
2) **Financial engineering:** Refinancing and ESG-linked funding lower cost of capital and improve equity returns.
3) **Operational improvements:** O&M digitalization and EPC integration boost margin per MW and smooth cash generation.
4) **Expansion into adjacencies:** Storage and hybridization capture price premiums and ancillary revenues.
5) **Inorganic growth:** Bolt-on acquisitions accelerate scale, increasing exit valuation through multiple expansion.

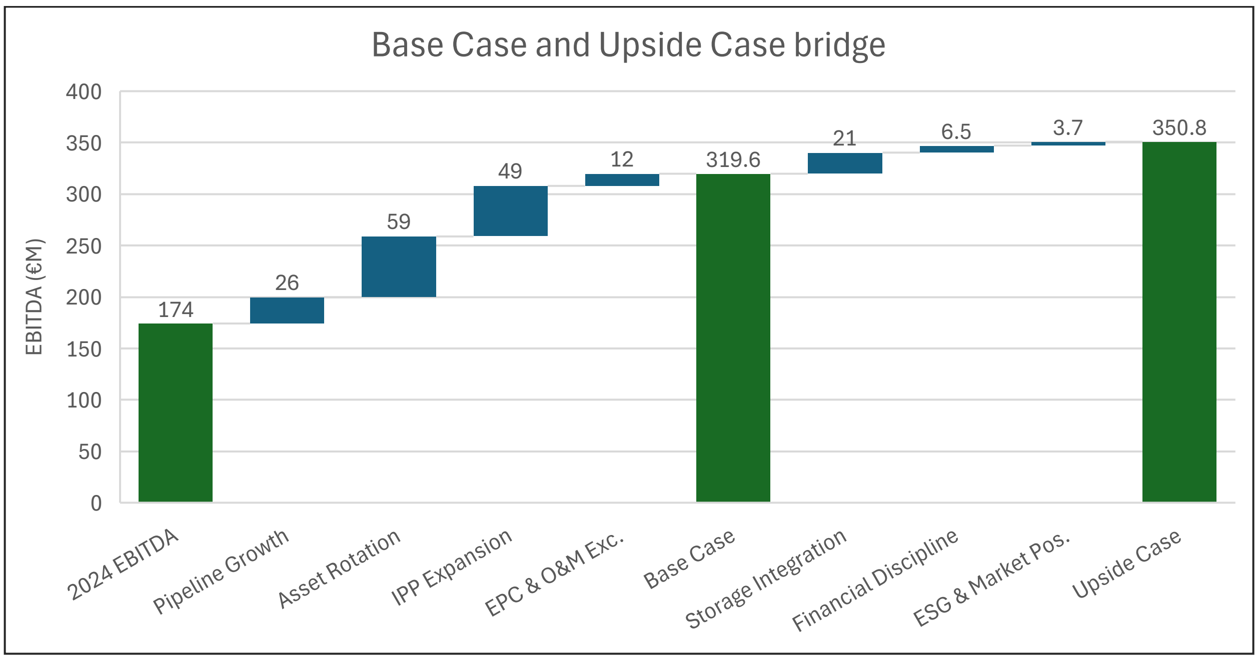


Figure 5: Base Case and Upside Case bridge

POTENTIAL COMING FROM INORGANIC GROWTH

A potential upside to Grenergy's value creation strategy could arise from inorganic growth through targeted acquisitions and strategic partnerships. While the current base and upside cases are driven primarily by organic levers, pipeline expansion, asset rotation, and storage integration, selective M&A activity could accelerate capacity growth, diversify geographic exposure, and enhance technological capabilities. Acquiring late-stage development platforms or operational portfolios in high-growth markets such as North America, Southern Europe, or Chile would provide immediate scale and predictable cash flows, complementing Grenergy's existing build-to-sell and IPP strategies. Moreover, partnerships with battery technology firms or grid infrastructure players could fast-track entry into storage and hybridization opportunities, strengthening competitive positioning in dispatchable renewables. Such transactions would also unlock synergies in procurement, financing, and O&M, potentially adding incremental EBITDA beyond the current upside case. By maintaining financial discipline and targeting accretive, synergistic acquisitions, inorganic growth represents a flexible lever to accelerate Grenergy's transition toward a larger, more integrated global renewable platform.

STRUCTURING & LEGAL

INVESTMENT VEHICLES STRUCTURING

The acquisition structure has been designed to balance financing flexibility, tax efficiency, and exit optionality while preserving clear seniority between different layers of capital. It integrates sponsor equity, potential management participation, mezzanine/PIK financing, and senior secured debt within a streamlined framework that minimizes complexity but retains investor and lender protections. The diagram below illustrates the final structure and the role of each entity within the transaction.

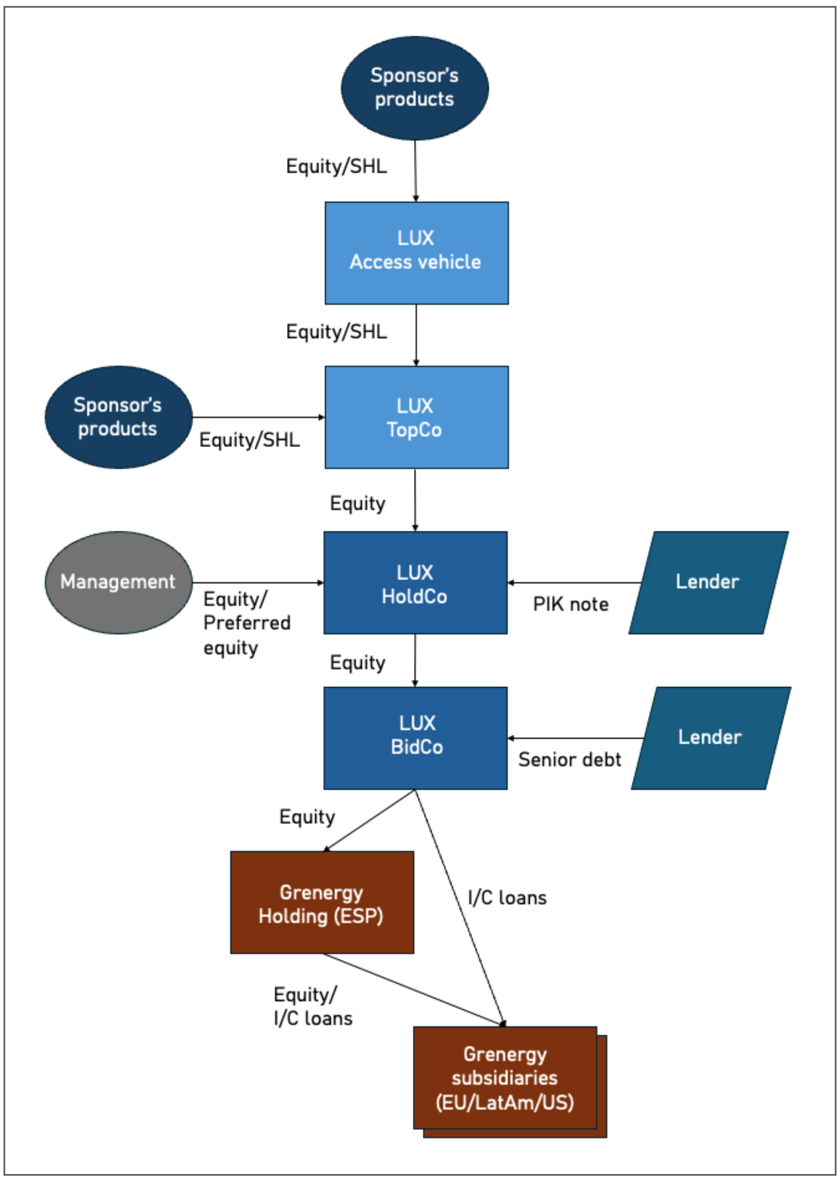


Figure 6: Acquisition structure

STRUCTURING OVERVIEW

1. **Sponsor's Products / Funds**
    a) The investment capital is provided by the sponsor's managed funds or co-investment vehicles.
    b) These are the ultimate equity providers backing the Grenergy investment.
2. **Access Vehicle (Luxembourg / Cayman Islands / Delaware)**
    a) Optional entry point designed to accommodate co-investors or specific LPs with tax/regulatory requirements.
    b) Provides flexibility for syndication of equity interests, parallel investments, or feeder fund structures within the EU framework.
3. **Lux TopCo**
    a) Primary holding company for the sponsor within the EU investment perimeter.
    b) Provides treaty access, efficient repatriation of dividends, and serves as the clean exit vehicle for a future divestment.
    c) Holds equity in the downstream Lux HoldCo and consolidates sponsor ownership.
4. **Lux HoldCo**
    a) Layer where management participates through direct equity or preferred equity instruments.
    b) Issues PIK notes to mezzanine/junior lenders, ensuring they sit structurally above BidCo and hence subordinate to senior debt.
    c) Acts as the consolidation point for sponsor, management, and mezzanine financing before capital is injected into BidCo.
5. **Lux BidCo**
    a) Direct acquisition vehicle incurring senior secured debt under Luxembourg or English-law documentation.
    b) Senior lenders are structurally closest to operating assets, giving them collateral protection.
    c) Serves as the immediate parent of Grenergy Holding (ESP), the Spanish operational holding company.
6. **Grenergy Holding (ESP)**
    a) Spanish holding entity that consolidates Grenergy's operational subsidiaries and SPVs across Europe, Latin America, and the U.S.
    b) Receives equity and intercompany loans from Lux BidCo, facilitating local financing and capital allocation.
    c) Maintains substance in Spain, aligning with regulatory, tax, and ESG governance standards.
7. **Grenergy Subsidiaries (EU/LatAm/US)**
    a) Operating entities responsible for project development, construction, and renewable-asset operation.
    b) SPVs dedicated to individual renewable energy projects within Grenergy's portfolio and development pipeline.
    c) Generate revenues and operating cash flows that are upstreamed to the Spanish holding company via dividends or I/C loan repayments.
    d) Cash is ultimately used to service senior debt at Lux BidCo and distribute returns to equity holders at the Lux level.

KEY FEATURES OF THE STRUCTURE

1. **Seniority preserved:** Senior debt at Lux BidCo ranks ahead of the HoldCo PIK instrument and all equity layers, maintaining clear creditor protection.
2. **Management aligned:** Management co-invests alongside the sponsor at Lux HoldCo through equity or preferred equity, fully subordinated to lender claims.
3. **Flexibility:** The combination of the Luxembourg Access Vehicle and Lux TopCo accommodates diverse international investors, facilitates syndication, and ensures tax-efficient capital flows.

4. **Exit-ready:** The sponsor can execute an exit through multiple routes, sale of Lux TopCo (sponsor-to-sponsor transaction), Lux HoldCo (if the acquirer assumes PIK debt), or Lux BidCo (cleanest option for a strategic or industrial buyer).
5. **Operational integration:** The Spanish holding and its project SPVs allow direct ownership of renewable assets and pipelines across Europe, Latin America, and the U.S., ensuring operational transparency and regulatory substance.

EXIT STRATEGY

Grenergy's diversified renewable platform and asset rotation model position it for multiple attractive exit pathways, depending on market conditions and investor objectives.

Sponsor Sale (Secondary Buyout)
A private equity or infrastructure sponsor could acquire Grenergy to expand its renewable generation portfolio, scale its development pipeline, or gain exposure to regulated and merchant markets across Europe and Latin America. This route provides liquidity to existing investors while enabling further platform growth under new ownership.

Initial Public Offering (IPO)
A listing on a European exchange (e.g., Madrid, Amsterdam, or Euronext) would provide access to public equity markets, broaden investor participation, and offer a liquid currency for future project acquisitions. Grenergy's recurring cash flows, operational track record, and exposure to global decarbonization trends make it well-suited for public market valuation at infrastructure or green growth multiples.

Strategic Sale
A sale to a large strategic investor, such as a utility, energy major, or integrated renewable developer, offers potential synergies through asset integration, power trading optimization, and shared development pipelines. This pathway could unlock substantial strategic value beyond standalone financial returns.

Each option represents a credible route to realizing value, with the ultimate choice driven by Grenergy's maturity, portfolio composition, and prevailing market appetite for renewable infrastructure platforms.

LEGAL, REGULATORY, AND TAX ASSESSMENT

As part of this theoretical exercise, a full legal and regulatory review was not conducted. Given the complexity of Grenergy's international operations, these analyses are essential in a live transaction but remain outside the scope here. On the tax side, a preliminary optimization framework is considered to minimize leakage and ensure flexibility for a tax-efficient exit.

03

COMPANY

OPERATING MODEL AND PIPELINE

COMPANY DESCRIPTION

Grenergy Renovables, S.A. is a Spanish IPP specializing in renewable energy. Founded in 2007 and headquartered in Madrid, the company develops, finances, builds, and operates solar photovoltaic and wind energy projects, complemented by energy storage initiatives. Its fully integrated business model covers the entire value chain, from greenfield project development through construction, operation, and maintenance to asset management and selective asset rotation. Grenergy is active in Europe, Latin America, and the U.S., with a diversified pipeline exceeding several gigawatts of solar, wind, and storage capacity. Since December 2015, its shares have been listed on the Spanish stock market.

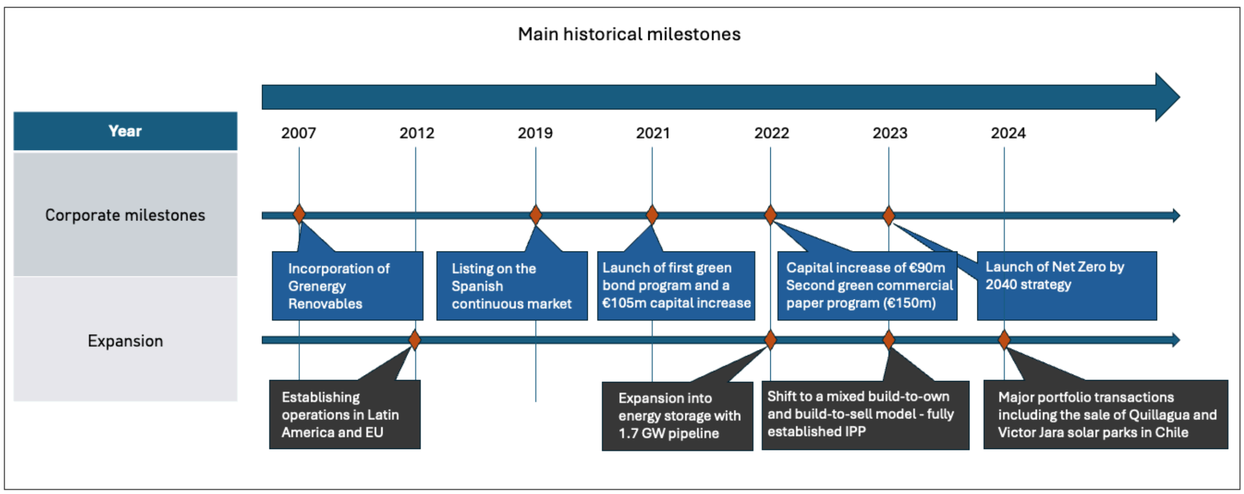


Figure 7: Historical milestones and expansion

GEOGRAPHIC FOOTPRINT

Grenergy's geographic footprint reflects a strong focus on Latin America and Southern Europe, complemented by a growing presence in North America and selected European markets. In 2024, the company generated the majority of its revenues in Chile (≈57%), followed by Spain (≈23%) and Colombia (≈10%), confirming the strategic weight of both its Chilean utility-scale portfolio and its Spanish IPP operations. Secondary contributions came from Peru, Argentina, and Mexico, while Italy, the United States, and the United Kingdom accounted for smaller but strategically relevant shares, underpinning Grenergy's diversification and pipeline growth in new geographies. This distribution highlights the firm's dual strategy of consolidating leadership in Latin America while expanding into Europe and the U.S. to secure long-term, balanced growth.

Figure 8: Geographic footprint and percentage of revenues generated by country

GRENERGY'S BUSINESS MODELS AND LIFECYCLE FUNCTIONS

Grenergy combines two complementary business models that allow it to balance growth, capital recycling, and long-term stability.

1) **Build-to-Sell**: The company develops projects, mainly solar PV and wind, through permitting, financing, and construction, and then sells them at RTB or operational stage. This generates upfront margins and capital gains, which are reinvested into new projects.
   High margins are crystallized upon sale (one-off capital gains), but they are non-recurring. This model provides liquidity for pipeline expansion.
2) **Build-to-Own (IPP Model)**: In parallel, Grenergy retains selected projects in its portfolio, operating them as an IPP. These assets provide predictable cash flows through long-term PPAs and secure a recurring revenue base.
3) **Complementary Services**: The company also offers O&M and asset management services and is increasingly integrating energy storage solutions to enhance grid stability and asset value.
   This model provides smaller revenue share but steady income streams, enhancing project value and diversification.

Across the project **development lifecycle**, Grenergy assumes multiple functions that support both models:

1) **Origination & Development** – site selection, permitting, land acquisition, environmental and grid studies.
   Value creation through early-stage project rights; low capital intensity but high risk.
2) **Financing & Structuring** – securing equity, debt, and long-term PPAs.
   Unlocks bankability of projects; increases valuation multiple for potential sale.

3) **EPC** – designing and managing construction.
Captures construction margin, though often passed to contractors; creates value by moving assets closer to revenue generation.
4) **Commissioning & Sale (Build-to-Sell)** – delivering projects to buyers and crystallizing value.
One-off revenue and EBITDA uplift from transaction gains.
5) **Operation & Maintenance (Build-to-Own)** – ensuring technical performance of owned assets.
Predictable EBITDA contribution, driven by production levels and contracted PPAs.
6) **Asset Management & Trading** – optimizing revenues through commercial management and market operations.
Incremental EBITDA improvements through market arbitrage and efficient asset management.

This mix of transaction-driven development and long-term asset ownership makes Grenergy a flexible, vertically integrated renewable energy company.

The estimates in this bridge were developed by starting from Grenergy's reported 2024 segment EBITDA, which distinguishes between Development & Construction (Build-to-Sell) and Energy (IPP, Build-to-Own). The Build-to-Sell margin of roughly 87 k€/MWp was derived by dividing development EBITDA by the gigawatts sold, and then decomposed into origination, financing, EPC, and sale contributions. To bridge this to the Build-to-Own model, the one-off sale margin was deducted, and instead the recurring earnings from operating assets were added, giving an average of about 164 k€/MWp per year. This recurring value was split between O&M (about 130 k€/MWp) and Asset Management & Trading (about 36 k€/MWp), based on peer benchmarks and the nature of Grenergy's business.

The reason O&M accounts for the largest share is that it effectively captures the revenue from contracted electricity sales under long-term PPAs. These revenues are stable, high-margin, and scale directly with installed capacity, making them the core driver of recurring EBITDA for an IPP. Asset management, while important, adds a smaller layer of optimization on top of this base. Thus, O&M dominates the EBITDA/MWp in the Build-to-Own model because it represents the monetization of the full production of the plant, year after year.

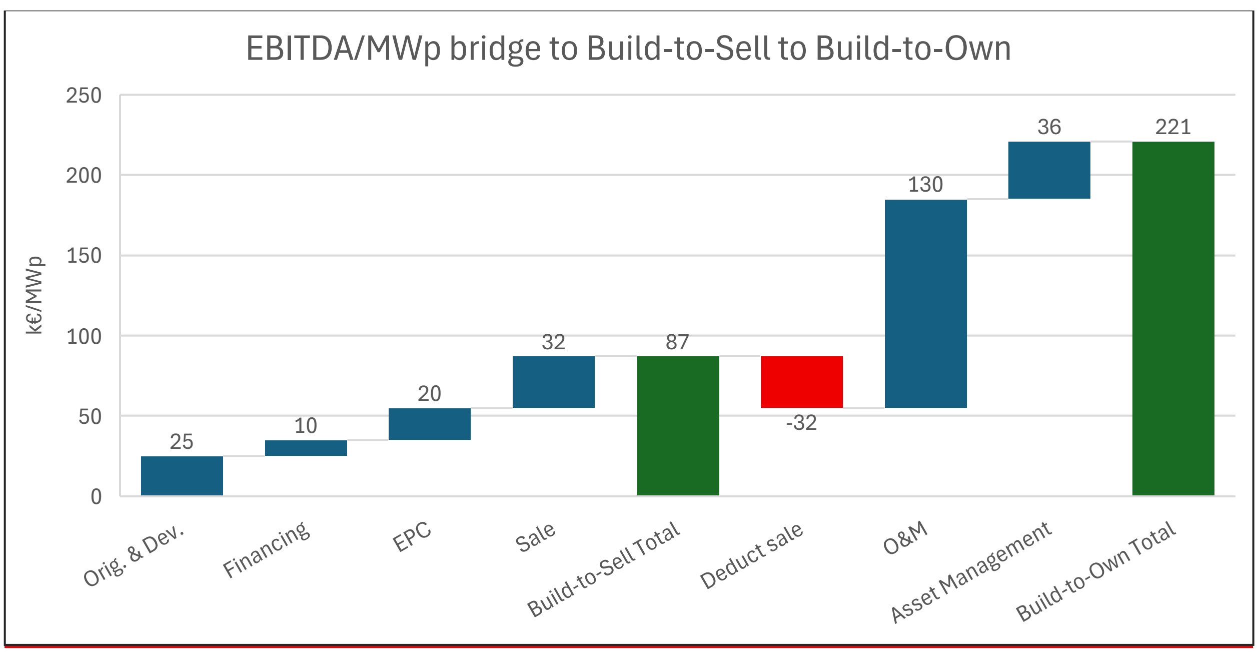


Figure 9: Contribution of each phase of the development cycle

The chart below shows the evolution of EBITDA by division for Grenergy between 2021 and 2024. It highlights the growing dominance of the Development & Construction segment, which accelerates sharply from 2022 onwards, supported by asset rotation and project execution. At the same time, Energy (IPP) shows steady growth, reflecting the increasing contribution of long-term contracted generation assets. Commercialization and Services remain minor contributors to overall EBITDA, underscoring the group's focus on development activities and operational asset ownership as the main value drivers.

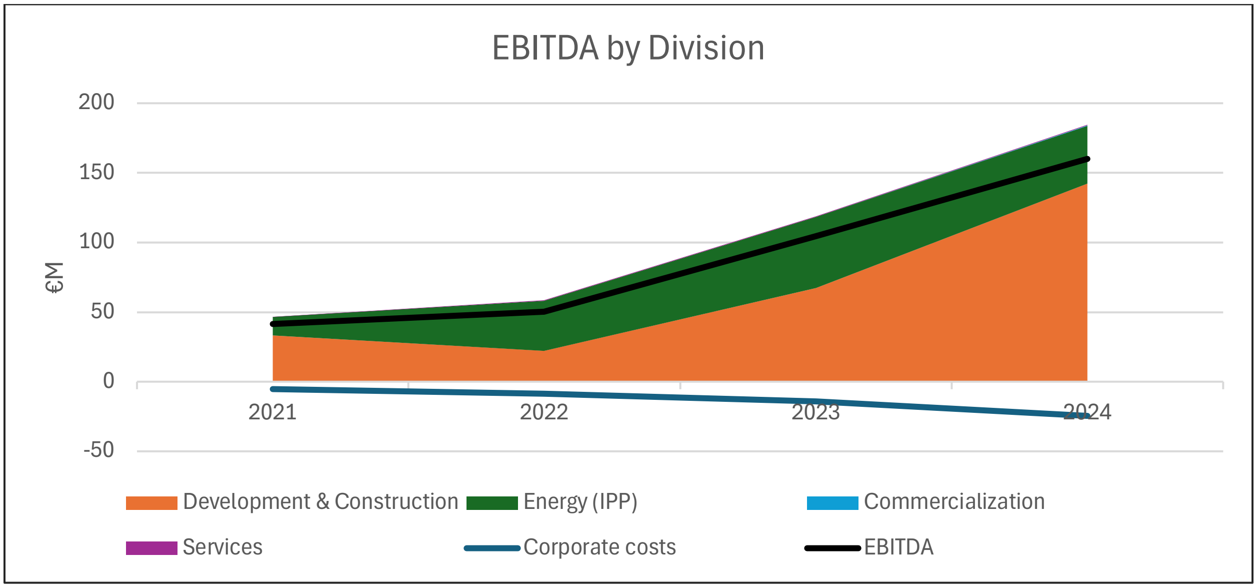


Figure 10: EBITDA by division

GRENERGY'S 2024 OPERATIONAL FOOTPRINT AND EVOLVING GLOBAL PIPELINE

As of year-end 2024, Grenergy's operating portfolio reached around 1.1 GW of installed capacity, complemented by approximately 1 GWh of battery storage, marking the first significant integration of storage into its IPP base. The portfolio remains heavily concentrated in Chile and Spain, with additional smaller footprints in Colombia, Peru, Argentina, and Mexico. At the same time, the company is advancing an ambitious construction pipeline of 2.0–2.5 GW of new PV capacity and roughly 9 GWh of storage, anchored by the Oasis de Atacama cluster in Chile and supported by projects in Spain, Colombia, and early developments in the U.S. and other European markets. This balance between a growing operational base and a storage-heavy construction pipeline reflects Grenergy's strategic pivot toward hybrid PV-plus-BESS platforms across its core geographies.

Table 2: Grenergy portfolio (end 2024, estimates based on annual report)

Country/Region	PV in Operation (MW)	BESS in Operation (MWh)	Under Construction (MW)	Under Construction (MWh BESS)
Chile	500 (PV)	500	>1,000 (PV)	>8,000
Spain	400 (PV + small wind)	500	Several hundred (PV)	<500
Colombia	100 (PV)	–	200 (PV)	100
Peru	40 (wind: Duna, Huambos)	–	100 (PV)	<100
Argentina	24 (Kosten wind)	–	–	–
Mexico	Minor PV (10s MW)	–	–	–
USA	–	–	Small PV + storage	<100
Other Europe (Italy, UK, etc.)	Limited	–	Small PV + storage	<100
Total	1,100 MW	1,000 MWh	2,000–2,500 MW	9,000 MWh

The chart highlights the pace and geography of Grenergy's capacity build-out. Chile and Spain clearly dominate the portfolio, while other markets such as Colombia, Peru, Argentina, and Mexico remain relatively marginal. The growth curve shows that the company achieved most of its scale-up between 2020 and 2023, after which capacity leveled off. This flattening reflects the company's strategy of rotating mature assets while selectively retaining projects to balance capital recycling with recurring revenue generation.

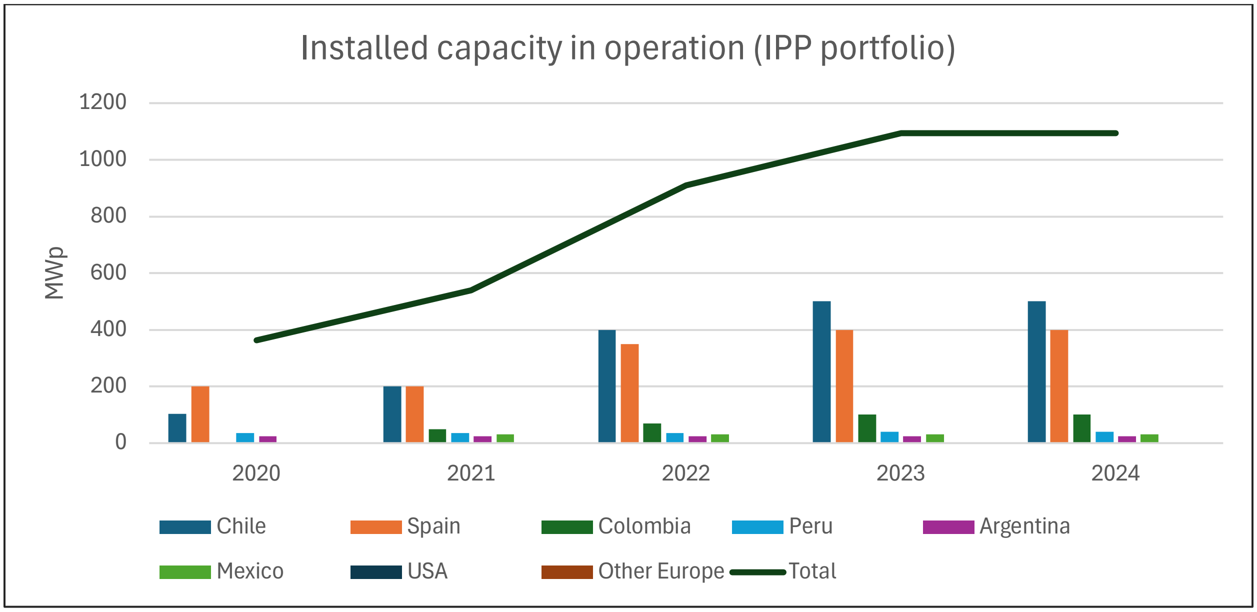


Figure 11: Evolution of the IPP portfolio

This snapshot of the pipeline illustrates the scale and composition of Grenergy's growth platform. The portfolio is overwhelmingly solar PV, with nearly 17 GW identified across different stages, complemented by a substantial 27 GWh of storage projects. The early and advanced development stages represent the largest share, showing that much of the pipeline is still maturing before reaching construction. Around 2 GW is already shovel-ready, and a further 2–2.5 GW with roughly 9 GWh of storage is under construction, largely anchored by the Oasis de Atacama cluster in Chile. Wind currently represents a marginal share, with just 24 MW in operation and no new projects reported. Overall, the data underscores a strategic pivot toward hybrid PV-plus-storage platforms, diversified geographically but still highly dependent on the progress of large-scale Chilean and Spanish projects.

Table 3: Global pipeline (end of 2024, estimates based on annual report)

Country/Region	Solar PV (MW)	Wind (MW)	BESS (MWh)	Notes
Early / Identified	6,500	–	6,000	Development options across all hubs
Advanced Development	5,000	–	6,000	Europe, LatAm, USA
RTB, secured	2,000	–	5,000	Mix of Spain, Chile, Colombia
Under Construction	2,000–2,500	–	9,000	Mainly Chile (Oasis de Atacama), Spain, LatAm
Total Platform	16,600	24	26,900	99% solar + storage, negligible wind

The apparent decline in the pipeline from 2023 to 2024 does not signal a slowdown in activity, but rather the effect of asset rotation and project reclassification. In 2024, Grenergy sold major projects (such as the Oasis de Atacama phases 1–3 in Chile and Belinchón in Spain) and simultaneously advanced others into construction or operation. As a result, volumes in the "early" and "advanced" stages decreased because part of that pipeline moved forward into the IPP portfolio or was monetized through sales. In parallel, new capacity was added through acquisitions (for example, 1 GW of PV and 6 GWh of storage acquired in Chile in late 2024), which replenishes the early-stage pipeline. This dynamic is typical of Grenergy's hybrid model: the pipeline does not grow linearly year over year, but cycles between early development, construction, operation, and asset rotation.

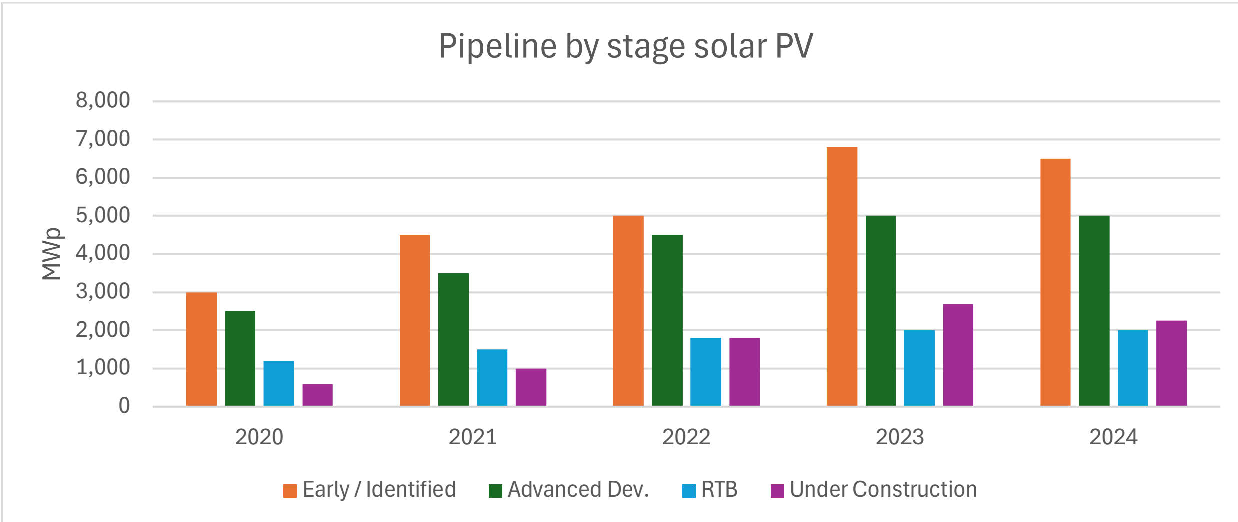


Figure 12: Pipeline by stage solar PV

The BESS pipeline shows how quickly storage has become a core element of Grenergy's growth strategy. Until 2021 there was no material activity, but from 2022 onwards storage volumes scaled sharply, reaching close to 27 GWh by 2023–2024. The chart highlights a particularly strong jump in projects under construction in 2023, largely driven by the Oasis de Atacama cluster in Chile, one of the largest hybrid PV-plus-storage platforms globally. By 2024, volumes remain high across all stages, indicating that new acquisitions and developments have offset the partial rotation of projects. This confirms that storage is no longer just complementary but a central growth engine, positioning Grenergy to capture value from grid stability and hybrid renewable platforms.

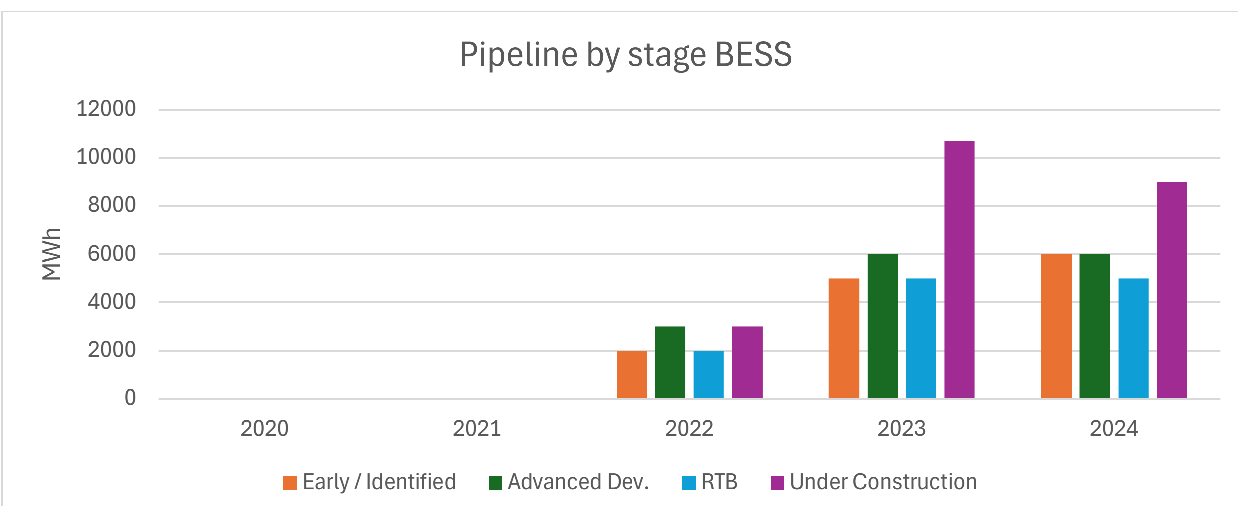


Figure 13: Pipeline by stage BESS

ASSET MANAGEMENT & TRADING

As part of its vertically integrated model, Grenergy complements project development and ownership with asset management and trading capabilities. These activities ensure that operational plants not only perform efficiently but also capture maximum commercial value in electricity markets, strengthening recurring revenues for both owned and third-party assets.

- **Technical Management** – Oversight of O&M providers, real-time monitoring of plant performance, predictive maintenance, and compliance with grid, environmental, and safety standards to ensure reliability and optimize generation output.
- **Commercial Management** – Structuring and administration of PPAs, managing electricity sales through long-term contracts or merchant exposure, and applying hedging and market arbitrage strategies to maximize and stabilize revenues.
- **Regulatory and Compliance Management** – Monitoring of evolving electricity market rules, renewable support schemes, and environmental obligations to ensure plants remain compliant and eligible for incentives.
- **Financial Administration** – Handling project-level accounting, invoicing for PPAs, debt service management, and coordination with lenders and investors.
- **Investor and Client Reporting** – Providing performance, financial, and sustainability reporting for both Grenergy-owned assets and third-party clients.
- **Lifecycle Value Optimization** – Assessing opportunities for asset repowering, hybridization with BESS, or asset rotation depending on market conditions.

In Grenergy's financial structure, asset management and O&M activities are grouped under the Services segment. While relatively small in absolute terms, they provide a steady and recurring source of income that complements the more volatile development business and the capital-intensive IPP portfolio.

- In 2023, Services generated about €14 million in revenue and €6 million in EBITDA, a modest share compared to the core segments.
- In 2024, results remained broadly stable, with revenues in the mid-teens and EBITDA in the high single digits, representing less than 5% of group totals.

THE VALUE OF ENERGY STORAGE

Energy storage has become a central pillar of Grenergy's strategy, positioned as a key enabler to enhance the profitability and resilience of its solar PV pipeline. By co-locating large-scale Battery Energy Storage Systems (BESS) with PV projects, the company can optimize energy dispatch, stabilize revenues, and capture value that would otherwise be lost to curtailments or low-price hours. Storage also strengthens project bankability, as it allows Grenergy to structure more flexible and attractive PPAs, while supporting long-term asset value by turning intermittent renewables into more reliable baseload-like supply. This explains why storage has scaled so rapidly in the pipeline, with more than 26 GWh integrated across projects by 2024.

Functions of Battery Energy Storage Systems (BESS)

- **Energy Shifting** – Store excess solar production during peak generation hours and release it during demand peaks, capturing higher market prices.
- **Peak Shaving and Load Management** – Reduce grid demand during peak hours to minimize costs and avoid penalties.
- **Firming of Renewable Output** – Smooth variability in solar and wind generation, ensuring more predictable power supply.
- **Curtailment Reduction** – Absorb surplus energy that would otherwise be curtailed, improving plant utilization.
- **Grid Balancing and Ancillary Services** – Provide frequency regulation, voltage support, and spinning reserve to enhance system stability.
- **Capacity Market Participation** – Bid stored energy into capacity markets, creating an additional revenue stream.
- **Black Start Capability** – Support grid recovery after outages by restarting generation units.

- **Hybridization Value** – Enable PV-plus-storage projects to offer baseload-like supply profiles, improving the attractiveness of long-term PPAs.

Adding BESS to PV projects can significantly enhance profitability by enabling price arbitrage, curtailment recovery, and participation in ancillary markets. While exact €/MWp impacts are not disclosed in Grenergy's reports, the following ranges are derived from market spreads and peer benchmarks, providing a directional view of potential EBITDA uplift:

- **PPA-firmed PV with 2–3h BESS** (paired 0.25–0.5 MW / 0.5–1.5 MWh per MWp): +10–20% EBITDA/MWp (€15–€35k per MWp-yr).
- **Merchant or hybrid PV with 4h BESS** (paired 0.5–1.0 MW / 2–4 MWh per MWp): +25–40% EBITDA/MWp (€30–€65k per MWp-yr).
- **Curtailment recovery** (where relevant): +5–15% EBITDA/MWp, overlapping with merchant uplift.
- **Ancillary services/capacity stack**: +3–10% EBITDA/MWp depending on market rules.

The chart illustrates the incremental EBITDA uplift when pairing PV with BESS, broken down into arbitrage, curtailment recovery, and ancillary services. In the conservative case, the uplift reaches around €20k/MWp-yr, while in the upper range, it approaches €45k/MWp-yr. The visual highlights that arbitrage is the primary driver, with curtailment recovery and ancillary revenues providing additional contributions. It should be noted that these figures are not official disclosures, but directional estimates based on market assumptions and peer benchmarks.

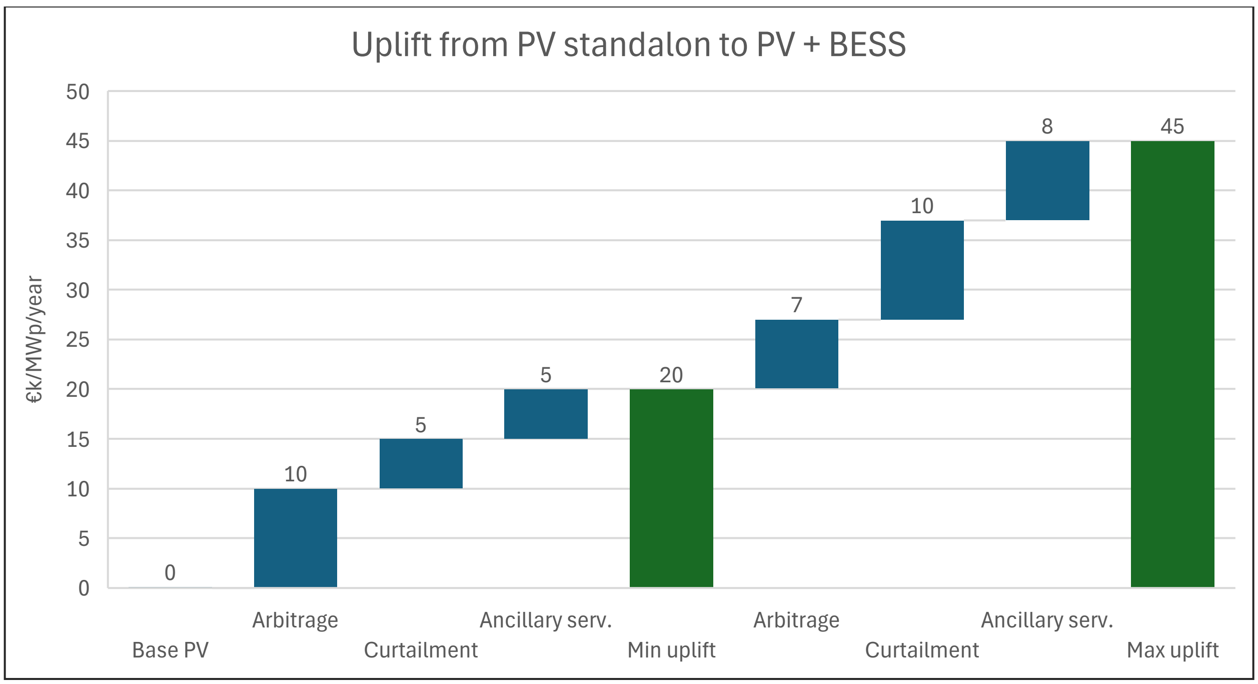


Figure 14: The advantage of combining PV and BESS together

M&A

Across 2021–2024, Grenergy complemented its organic growth with targeted M&A and asset rotation transactions. In 2021, the company focused on consolidating control over its pipeline, acquiring minority stakes in project subsidiaries to reinforce its development platform. In 2022, expansion was driven by selective acquisitions in Latin America, where the group secured additional solar and wind assets to strengthen its presence in Chile and Peru. The most significant milestone came in 2023, when Grenergy advanced its asset rotation strategy through disposals of mature projects, using the proceeds to finance new developments and storage initiatives. In 2024, the major transaction was the sale of 100% of its Peruvian portfolio (77 MW wind and 97 MW solar) for USD 150 million, marking a strategic divestment that crystallized value and freed resources for reinvestment in Spain and Chile. This sequence of transactions reflects a consistent strategy: rotate operational assets, capture value, and recycle capital into high-growth development and storage projects.

ESG STRATEGY

Grenergy has embedded sustainability into its business model through a General Sustainability Policy that spans climate change, biodiversity protection, circular economy, workforce well-being, and ethical conduct. This policy is operationalized in the ESG Roadmap 2024–2026, which defines six core dimensions, climate, environment, people, value chain, sustainable finance & innovation, and corporate governance, supported by 17 levers, 44 commitments, and more than 100 actions.

The strategy is anchored in several key commitments:

- Achieve carbon neutrality across Scopes 1, 2, and 3 by 2040.
- Maintain a positive biodiversity footprint throughout operations.
- Link employee variable compensation to ESG targets starting in 2025.
- Ensure that more than 90% of CAPEX is EU Taxonomy-aligned.
- Strengthen governance through CSRD-compliant reporting and robust ESG risk oversight.

Governance structures ensure accountability and execution. The Board of Directors and the Appointments, Remuneration, and Sustainability Committee oversee sustainability matters, while an internal Sustainability Committee monitors performance and manages impacts, risks, and opportunities under a double materiality framework.

On the social front, Grenergy promotes human rights due diligence, diversity, equality, and safety across its workforce and supply chain. Beginning in 2025, it will roll out a Corporate Social Management Plan to foster local community development, expand employment opportunities, and enhance quality of life in areas where it operates.

Together, these environmental, social, and governance pillars position Grenergy as a renewable energy player that not only pursues decarbonization but also ensures resilience, transparency, and positive community impact.

WORKFORCE OVERVIEW

Grenergy's workforce has expanded significantly over the last three years, mirroring the company's rapid growth and internationalization. The headcount increased from just over 300 employees in 2022 to nearly 600 by 2024, with most of the growth concentrated in technical and operational roles. Key workforce trends include:

- **Rapid workforce expansion**: total headcount almost doubled between 2022 (303) and 2024 (591), in line with the acceleration of renewable projects under development and construction.
- **Technical staff dominate**: technical roles grew from 150 in 2022 to 350 in 2024, accounting for nearly 60% of the workforce and underscoring the company's engineering-driven profile.
- **Management structure**: the number of directors and senior managers remained stable (around 24 combined across 2022–2024), indicating that growth was concentrated in operational layers rather than top-heavy expansion.
- **Laborers** expanded moderately, rising from 98 in 2022 to 142 in 2024 (+45%), consistent with the scaling of construction activities.
- **Gender diversity**: in 2024, the workforce totaled 625 employees, with women representing 32% of staff, and stronger female presence in technical and departmental leadership roles.

MANAGEMENT INCENTIVES

Grenergy's management equity plan (illustrative) is structured around two components: (i) a pari passu investment in the sponsor's preferred equity, giving management the same contractual return and downside exposure as other investors, and (ii) a sweet-equity allocation on the common equity, granting management 15% of residual proceeds once the preferred is repaid. A ratchet increases this allocation to 17.5% if the sponsor achieves a gross MOIC above 3.0x (measured before management incentives). This design ensures management contributes meaningful capital, shares in the preferred downside protection, and participates disproportionately in upside creation through the sweet-equity strip.

Assumptions:

- Entry equity value: €2.0bn
- Preferred at entry: €1.5bn (sponsor + management)
- Preferred return: 10% compounded annually
- Holding period: 3 years → $1.10^3 = 1.331$
- Management rollover: €100m into preferred (pari passu) → 6.67% of the pref layer
- Sweet equity: 15% of common (ratchets to 17.5% if sponsor gross MOIC > 3.0x)
- Exit equity value: €3.0bn

Waterfall at exit (€3.0bn):

- Preferred repayment (principal + accrued return):
    a) Principal: €1.5bn
    b) Accrued pref return: $[1.5\times1.10^3 - 1]=0.499$bn
    c) Total pref repaid: €1.999bn ≈ €2.0bn
    d) Management share of pref: $100\times1.10^3 = 133.1$m
    (this is their €100m plus compounded 10% return paid before any common)
- **Common equity pool:**
  $3.0-2.0=1.0$bn
- **Management sweet equity on common:**
    a) Base strip (15%): €150m
    b) Ratchet (17.5%) if hurdle met: €175m
- **Total management proceeds:**
    a) Without ratchet: 133.1+150=283.1m
    b) With ratchet: 133.1+175=308.1m

Return metrics:

- **Management MOIC:**
    a) Without ratchet: 283.1/100=2.83x
    b) With ratchet: 308.1/100=3.08x
- **Sponsor MOIC (gross, before MEP):** 3.0/2.0=1.50x
- **Envy ratio (Management MOIC ÷ Sponsor MOIC):**
    a) Without ratchet: 2.83÷1.50=1.89x
    b) With ratchet: 3.08÷1.50=2.05x

04

MARKET & INDUSTRY

MACROECONOMIC OUTLOOK

Europe is facing a period of modest growth coupled with gradually easing inflation, though a range of risks could pull forecasts either up or down. Major institutions suggest GDP growth in the euro area will hover around 0.8–1.2% in 2025 and 2026, below historical averages. (Nomura's European outlook)

Inflation has been a central concern. Headline inflation is falling from elevated levels but is expected to remain slightly above or close to the European Central Bank's (ECB's) target of 2%, particularly in 2025. Core inflation (excluding volatile components like energy and food) is slowly declining as wage pressures moderate and euro appreciation helps reduce goods-price inflation. (ECB economic outlook)

Monetary policy is in a delicately balanced phase. ECB decisive action (including rate cuts) is constrained by uncertainty about global trade (especially U.S. tariffs), energy price volatility, and political risk in key EU countries. The risk of inflation undershooting or overshooting the 2% target is closely watched. (Reuters ECP on inflation)

On the demand side, private consumption is expected to recover somewhat driven by easing financing conditions and real incomes, though consumer sentiment remains fragile. External demand (exports from Europe) is projected to be weak, given slower global trade growth and persistent geopolitical headwinds. (ECB economic outlook)

Risks to this outlook include:

- continued energy-price shocks (due to geopolitical developments)
- trade policy uncertainty (tariffs, protectionism)
- weak productivity growth and structural constraints in some large economies (Germany, France)
- the possibility of disinflation turning into deflation in specific sectors or regions

Table 4: Economic outlook indicators

Indicator	2025 Forecast	2026 Forecast	2027 Forecast
Real GDP growth	1.2%	1.0%	1.3%
Headline inflation (HICP)	2.1%	1.7%	1.9%
Core inflation (excluding food & energy)	2.4%	1.9%	1.8%
Unemployment rate	6.3%	6.3%	6.2%

- **Growth Outlook**: Europe's modest growth implies steady but subdued electricity demand expansion. For Grenergy, this favors long-term renewable integration but limits near-term demand surges.
- **Inflation Path**: With inflation converging near 2%, financing conditions should stabilize. This reduces pressure from high interest rates, supporting Grenergy's capital-intensive investments in solar, wind, and storage.

- **Labor Market**: Stable unemployment near 6% indicates resilience. For Grenergy, this suggests access to a stable workforce, though wage growth could still influence operating costs.
- **Energy Transition Context**: Moderate growth combined with disinflation supports the EU's decarbonization agenda. Renewables and storage projects remain strategically important to ensure energy security without reigniting inflation.

SPAIN: MACROECONOMIC OUTLOOK

Spain is expected to continue growing at a pace significantly above the Euro-area average over the next couple of years, although a gradual slowdown is anticipated.

- **GDP Growth**:
  In 2025, growth is forecast at around 2.4-2.7%, depending on source. (ECB on economic outlook for Spain) In 2026, the growth rate is expected to moderate to about 1.7-2.0%. (BBVA on Spain's economic outlook)
- **Inflation**:
  Inflation in Spain is projected to ease over time, as energy price pressures and supply-side shocks moderate. Estimates put inflation at around 2.3-2.5% in 2025, falling toward 1.7-2.0% in 2026.
- **Unemployment / Labor Market**:
  The unemployment rate is expected to decline gradually dropping from over 11% recently to just under 10% by 2026. Job creation is being supported by a strong labor market, real wage gains, and ongoing inward migration.
- **Public Finances & Debt**:
  Spain's government deficit is set to decline (e.g. to around **-2.8% of GDP** in 2025 and further in 2026), as temporary support measures wind down and energy-related costs ease. Public debt (debt-to-GDP) is expected to remain high (100%+) but with signs of slight decline or stabilization.
- **Drivers of Growth**:
  a) Strong **domestic demand**: private consumption remains the main engine, helped by wage growth and employment gains.
  b) **Investment**: Expected to pick up in 2025-26, boosted by implementation of the EU Recovery & Resilience Plan (RRRP) and favorable financing conditions.
  c) **Tourism & services** remain important growth contributors.
- **Risks / Challenges**:
  a) Global trade tensions and tariff barriers are a threat to export growth. Weak external demand could reduce the contribution of net exports to GDP.
  b) Inflation rebound risks if energy or commodity prices spike again. Also, imported inflation remains a concern.
  c) Labor cost increases and potential bottlenecks (e.g. in housing, infrastructure) could exert upward cost pressures.
  d) Fiscal constraints: managing deficit and debt under EU fiscal rules while supporting growth.

Table 5: Spain's economic outlook indicators

Indicator	2025 Forecast	2026 Forecast	2027 Forecast
Real GDP growth	2.6%	1.8%	1.9%
Headline inflation (HICP)	2.4%	1.8%	1.9%
Unemployment rate	10.4%	9.8%	9.5%
Government deficit (% GDP)	-2.8%	-2.5%	-2.3%

- **Growth**: Spain is expected to significantly outperform the euro area in 2025, thanks to strong consumption, resilient labor markets, and EU Recovery & Resilience Plan (RRRP) investments. Growth normalizes closer to EU averages in 2026–27.
- **Inflation**: Moderating toward 2%, broadly aligned with ECB targets, giving households relief in real incomes while maintaining purchasing power.
- **Labor market**: Unemployment remains elevated compared to EU peers, but shows a clear downward trajectory, falling below 10% by 2026.
- **Fiscal position**: Spain continues to reduce its deficit and debt, though both remain high, leaving limited fiscal space if new shocks materialize.

LATAM: MACROECONOMIC OUTLOOK

LatAm macro snapshot with strongest focus on Chile as the main market for Grenergy.

Table 6: LatAm's GDP and inflation forecasts

Country	2025 GDP growth (forecast)	Inflation trajectory (key point)
Chile	2.25–2.75%	Disinflation continues; 3% target expected by 3Q-2026. (Trading Economics)
Mexico	0.8–1.0%	Disinflation ongoing; 3% target expected by 3Q-2026. (El País)
Peru	2.7–3.0%	Inflation contained; 2.2% in 2025, inside target band. (itau)
Argentina	5.5%	Fast disinflation baseline; 20–25% by end-2025 (high uncertainty). (IMF)

Chile (main market):

- **GDP Growth**: Chile is expected to grow 2.25–2.75% in 2025, supported by monetary easing, stronger domestic demand, and stable copper production. Growth is above its recent average but still vulnerable to commodity price volatility.
- **Inflation**: Headline inflation is on a disinflationary path, converging to the Central Bank's 3% target by Q3-2026. This allows for gradual interest rate normalization, easing financing conditions for capital-intensive renewable projects. (Trading Economics)
- **Risks**: Copper price swings, global demand for critical minerals, climate events (El Niño/La Niña), and policy shifts in permitting and storage revenue frameworks. For Grenergy, Chile remains the most stable LATAM hub for project development and financing.

Mexico:

- **GDP Growth**: Forecast at 0.8–1.0% in 2025, reflecting weaker global trade and slower investment. Growth remains below regional peers.
- **Inflation**: Inflation is projected to decline toward 3% by Q3-2026, but near-term stickiness may keep financing conditions tighter than in Chile. (El País)
- **Implications**: Mexico's manufacturing base and energy demand growth provide long-term opportunities, though regulatory and tariff risks remain relevant for renewables.

Peru:

- **GDP Growth**: Expected at 2.7–3.0% in 2025, with resilience from domestic demand and mining exports.
- **Inflation**: Stabilized within the 2% target band, providing room for monetary easing. (Itaú)
- **Implications**: Positive macro environment for renewables, though execution risks (social tensions, permitting delays) can affect large-scale projects.

Argentina:

- **GDP Growth**: The IMF baseline suggests 5.5% growth in 2025 following contractionary years, driven by stabilization measures and exports.
- **Inflation**: Disinflation is progressing but remains high, projected at 20–25% by end-2025, with significant uncertainty tied to FX regime and policy execution. (IMF)
- **Implications**: Financing conditions remain fragile, with high country risk premiums. Renewable investments face volatility in PPA pricing and FX convertibility.

GLOBAL ENERGY OUTLOOK

ENERGY TRENDS

Global energy markets are undergoing a structural transformation, shaped by rising demand, the rapid scale-up of clean technologies, and growing pressure to ensure resilience and decarbonization. The acceleration of electrification across buildings, transport, and industry, coupled with cost declines in renewables and storage, is setting new benchmarks for investment and policy priorities.

- **Global energy demand**
  a) Grew 2.2% in 2024, while electricity demand rose 4.3%
  b) Projected to continue expanding at 3.9% annually through 2027, with low-emissions sources covering all net growth
- **Energy demand by sector**
  a) Buildings: about 30% of final energy consumption (34% if embodied energy is included), with cooling loads rising fastest
  b) Industry: about 37% of final use (≈166 EJ in 2022), led by steel, cement, and chemicals
  c) Electric vehicles: consumed 180 TWh in 2024, expected to reach 780 TWh by 2030, driven increasingly by trucks and commercial fleets
- **Solar PV outlook**
  a) Added 245 GW in 2024, raising cumulative global capacity to 1,198 GW
  b) Prices for modules continued falling, supporting record installations in Europe (71 GW) and the US (47 GW)
- **BESS**
  a) 69 GW installed in 2024, nearly doubling global stock to 155 GW
  b) Forecast to expand several-fold by 2030 as utility-scale projects and grid flexibility needs accelerate
- **Regional dynamics**
  a) Europe: policy-driven expansion under the EU Green Deal ensures continued PV and storage investment, with rising emphasis on grid stability and flexibility
  b) Latin America: Chile remains a leader in renewables penetration and storage pilots, Peru and Colombia advance utility-scale projects, and Mexico’s policy uncertainty contrasts with strong long-term demand
  c) Asia: China dominates PV manufacturing and installations, while India expands renewables deployment to meet fast-rising demand; both markets drive global cost curves down

This chart illustrates the evolution of global installed power capacity by source between 2020 and projected levels for 2035. It highlights how solar PV and wind drive nearly all new growth, with solar showing the steepest acceleration after 2025, rising from under 1 TW in 2020 to around 6 TW by 2035. Wind also expands strongly, while hydro and nuclear remain largely flat, reflecting limited new capacity opportunities. Fossil fuel capacity holds steady in the near term but gradually declines in share, underscoring the structural shift toward renewables. Overall, the chart captures the global transition to a cleaner energy mix, with solar and wind becoming the backbone of future electricity supply.

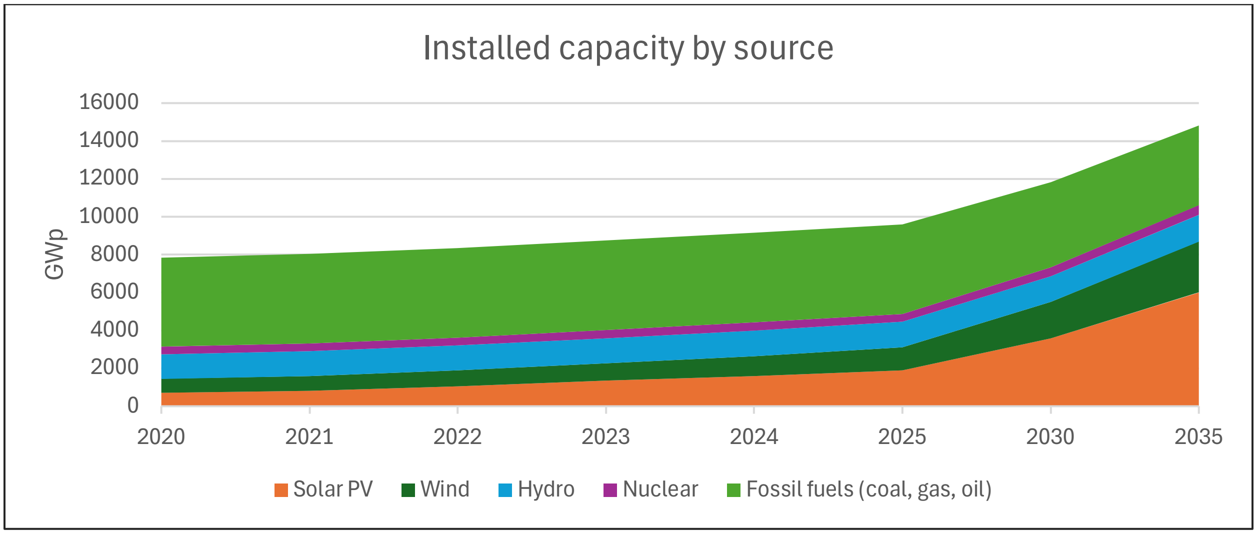


Figure 15: Installed capacity by source

RENEWABLE TRENDS IN THE TRANSPORTATION SECTOR

Transport energy is still dominated by oil, but the contribution of renewable fuels is starting to grow and becomes more visible when disaggregated. The first chart tracks the development of renewable fuels between 2020 and 2035, while the second provides a snapshot of the overall fuel mix in 2025. Together, they show both the scale of the challenge and the pace of change.

The stacked area chart shows how electricity and hydrogen rise from negligible levels in 2020 to several thousand TWh by 2035.
a) Electricity grows steeply after 2025, reflecting rapid EV adoption.
b) Hydrogen remains small but expands post-2030, driven by heavy-duty trucks and pilot projects in aviation and shipping.
c) Biofuels and natural gas show steady but limited increases, maintaining a small share of the total mix.

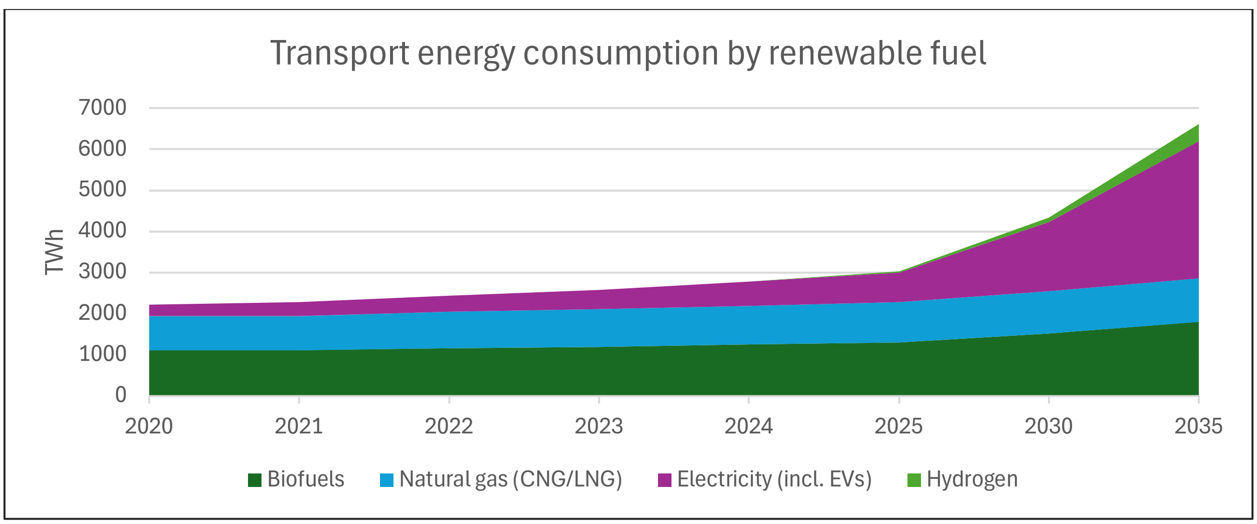


Figure 16: Renewables in the transportation sector

The pie chart for 2025 highlights that oil still accounts for about 90 percent of transport energy demand.
a) Biofuels make up roughly 4 percent, mainly through blending mandates in road fuels and initial

penetration in aviation.
b) Natural gas contributes about 3 percent, concentrated in specific markets like freight and public transport.
c) Electricity is just emerging with around 3 percent, while hydrogen remains close to zero at this stage.

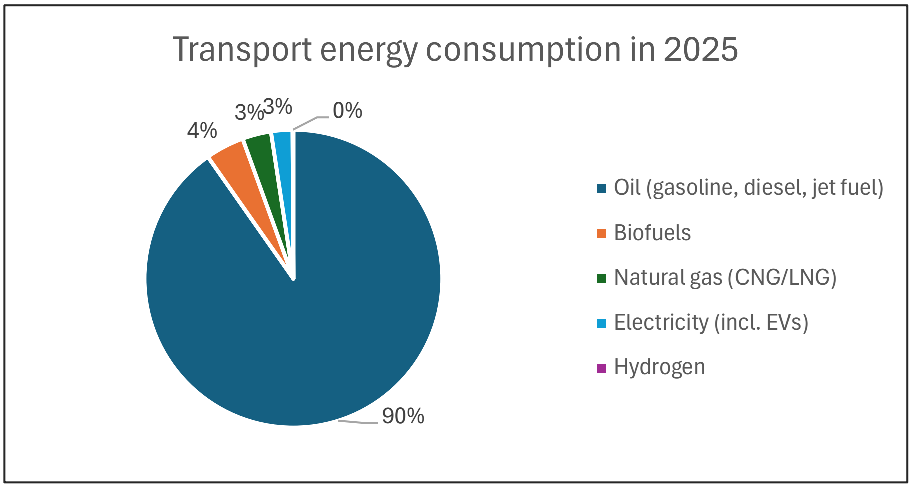


Figure 17: Overview of the transportation consumption in 2025

These two visuals together underline the dual reality of transport energy: the persistence of oil as the dominant source in the near term, and the accelerating growth of renewable alternatives that will reshape the sector by the 2030s.

GLOBAL BUILDING ENERGY CONSUMPTION BY FUEL

This chart shows the evolution of global building energy consumption by fuel between 2020 and 2035. It highlights how electricity becomes the dominant source, growing from around 8,000 TWh in 2020 to more than 12,000 TWh in 2035, driven by the rapid uptake of heat pumps, air conditioning, and digital appliances. Fossil fuels gradually lose ground: natural gas remains substantial but slowly declines, while oil and coal use are phased out almost entirely. District heating and renewable sources such as biomass, solar thermal, and geothermal provide steady but more modest contributions. Overall, the picture is one of electrification taking the lead in decarbonizing buildings, while traditional fossil fuels shrink to a residual role.

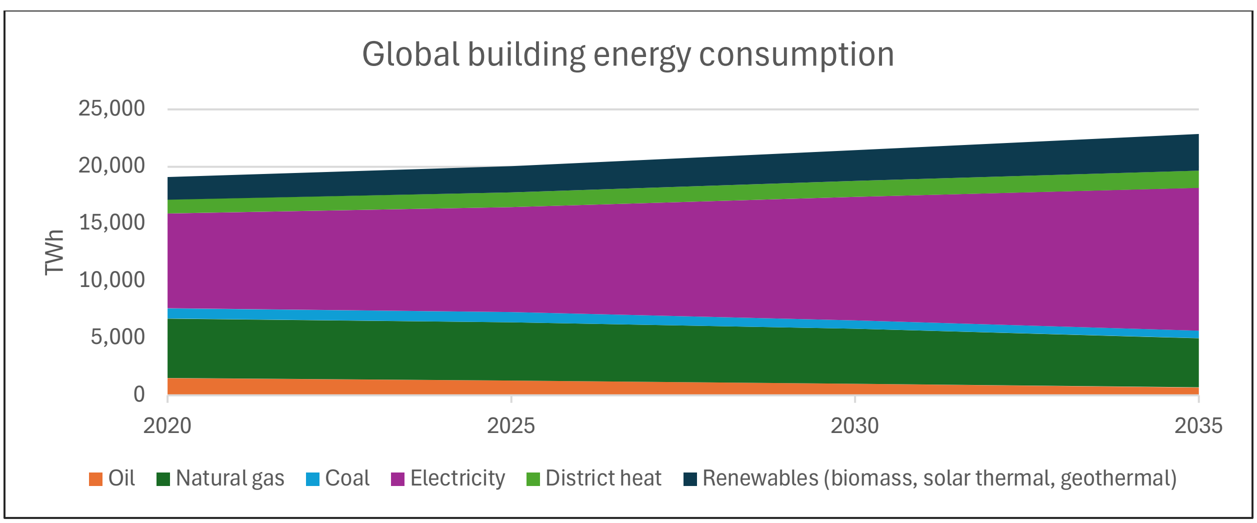


Figure 18: Global building energy consumption

GLOBAL INDUSTRIAL ENERGY CONSUMPTION

Unlike buildings, where electrification dominates quickly, and transport, where oil still rules, industry shows a slower and more complex transition. Coal remains entrenched in steel, cement, and chemicals, while electricity gains importance through process electrification and new technologies. Natural gas remains relevant, often as a transition fuel, while biomass and waste provide incremental decarbonization. By 2035, the industrial sector is more diversified but still heavily fossil-dependent, underlining the challenge of deep decarbonization in heavy industry.

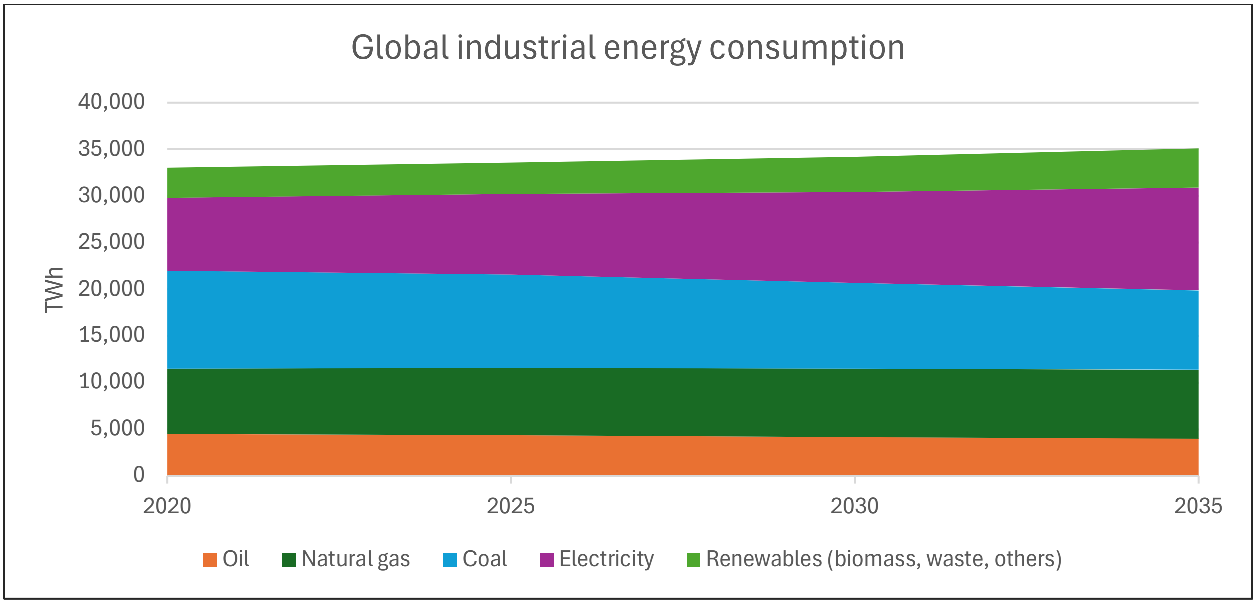


Figure 19: Global industrial energy consumption

ENVIRONMENTAL POLICIES IN EUROPE AND LATIN AMERICA

Environmental policies in Europe and Latin America are converging on the goal of accelerating decarbonization, but they differ in scope, instruments, and pace of implementation.
In Europe, the regulatory framework is among the most advanced worldwide.

- The European Green Deal and Fit-for-55 package set binding targets for emissions reductions.
- The EU Emissions Trading System provides a robust carbon pricing mechanism.
- Renewable energy and efficiency directives impose quotas and standards across sectors.
- Public financing, taxonomy-aligned investments, and mandatory climate disclosure reinforce private sector alignment.

In Latin America, policies are more heterogeneous but increasingly ambitious.

- Chile has legislated carbon neutrality by 2050, uses renewable auctions, and promotes green hydrogen roadmaps.
- Colombia and Peru are developing carbon pricing schemes and scaling renewable integration.
- Brazil combines biofuel blending mandates with stronger deforestation controls.
- Limited financing and institutional capacity remain challenges, but renewable resource endowments provide strong growth potential.

LCOE ACROSS DIFFERENT ENERGY SOURCES IN SPAIN

This chart compares the estimated levelized cost of electricity (LCOE) across different energy sources in Spain, showing the range between minimum and maximum values in €/MWh. The results illustrate the strong cost competitiveness of renewables: utility-scale solar PV and onshore wind are consistently the cheapest options, with LCOEs often below €40–50/MWh at the low end. Offshore wind is more expensive but still competitive compared to fossil fuels, with significant cost reduction potential as technology matures. In contrast, natural gas, coal, and nuclear new builds show higher and more volatile ranges, reflecting fuel price exposure, capital intensity, and regulatory risks. Overall, the chart highlights that Spain's future generation mix is structurally tilted toward solar and wind, supported by their superior economics relative to conventional sources.

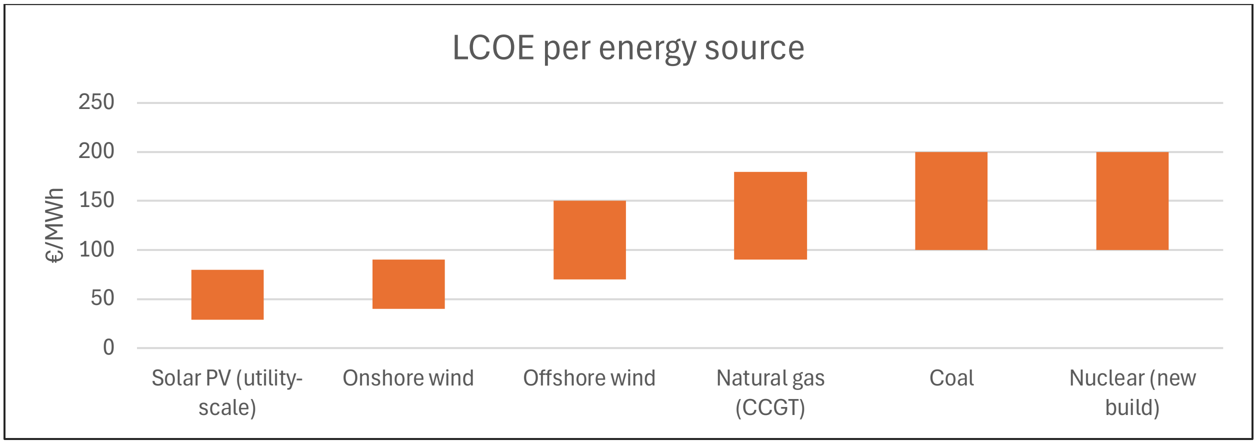


Figure 20: Estimated LCOE per energy source in Spain

LCOE ACROSS DIFFERENT ENERGY SOURCES IN CHILE

This chart presents estimated LCOE in Chile by energy source, expressed as ranges in €/MWh. It highlights the striking competitiveness of solar PV and onshore wind, which deliver electricity at the lowest cost globally, with values starting as low as €25–30/MWh under optimal conditions. Hybrid solar plus CSP with storage is more expensive but provides firm capacity that can compete with natural gas. Hydropower maintains moderate costs but faces geographic and environmental constraints. In contrast, fossil fuel technologies such as natural gas, coal, and diesel show much higher and more volatile LCOEs, reflecting fuel price dependency and import exposure. Overall, the chart underscores why Chile's energy strategy is centered on solar and wind complemented by storage, as they clearly outcompete non-renewable alternatives in both cost and long-term security.

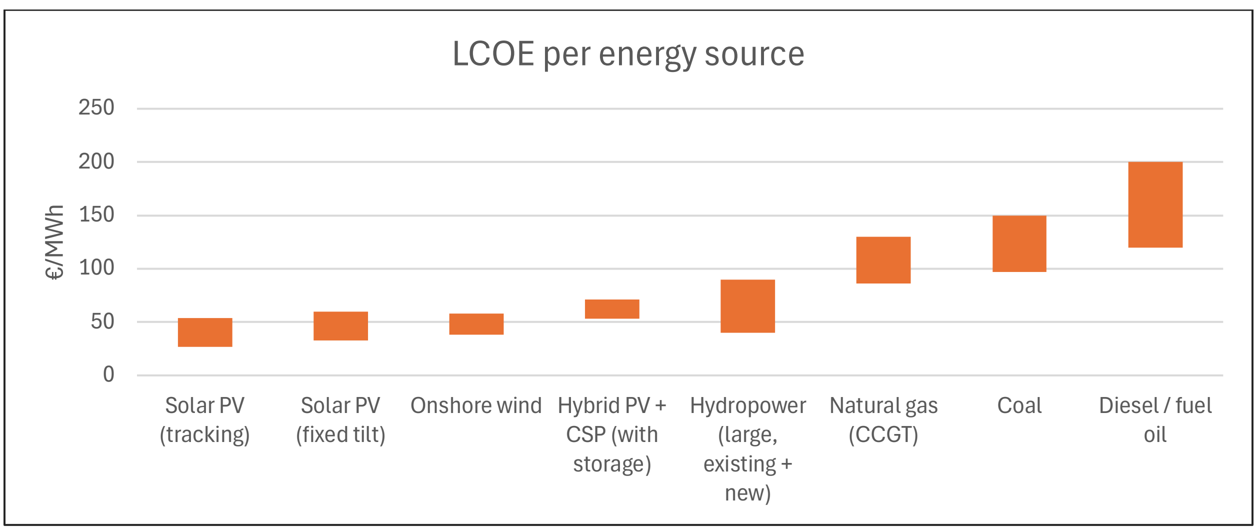


Figure 21: Estimated LCOE per energy source in Chile

COMPARISON OF LCOS AND ENERGY DENSITY ACROSS STORAGE TECHNOLOGIES

The chart compares the Levelized Cost of Storage (LCOS) across different technologies with their corresponding energy density. Lithium-ion batteries show a balanced profile, combining relatively low LCOS with high volumetric density, making them the current mainstream solution. Flow and zinc batteries offer competitive costs but much lower densities, limiting their applications to stationary systems. Lead-acid remains the most expensive option with modest density, reflecting its declining competitiveness. Hydrogen exhibits attractive energy density but higher LCOS, while pumped storage has the lowest LCOS but negligible density, requiring large-scale infrastructure. Thermal storage sits in the middle, offering predictable costs and moderate density, positioning it as a niche solution in CSP and grid applications.

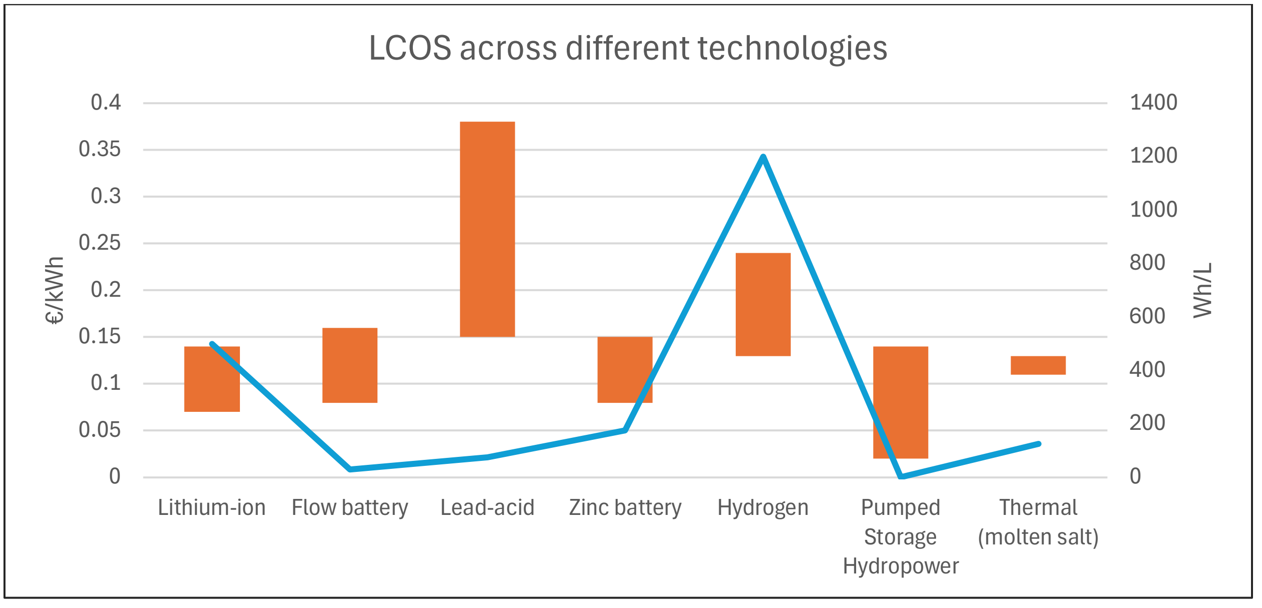


Figure 22: LCOS and energy density across different technologies

ELECTRICITY PRICE OUTLOOK

The chart illustrates the evolution of wholesale electricity prices in Spain and Chile between 2021 and 2030, expressed in €/MWh. Spain experienced a sharp spike during the energy crisis of 2021–2022, with prices peaking above €160/MWh, followed by a rapid normalization toward the €60/MWh range from 2024 onward. Chile shows the opposite trajectory: after a correction in 2022, prices stabilize around €150/MWh and gradually decline to nearly €130/MWh by 2030, reflecting ongoing renewable build-out and reduced reliance on imported fuels.

The historical figures (2020–2023) are based on OMIE annual averages for Spain and SEN averages for Chile. The forward-looking data for Spain (2024–2030) are derived from OMIP futures contracts, which provide market-implied expectations of baseload prices. For Chile, the projections come from long-term modeling (Aurora / Coordinador Eléctrico Nacional scenarios), which incorporate assumptions on renewable deployment, demand growth, and fuel costs.

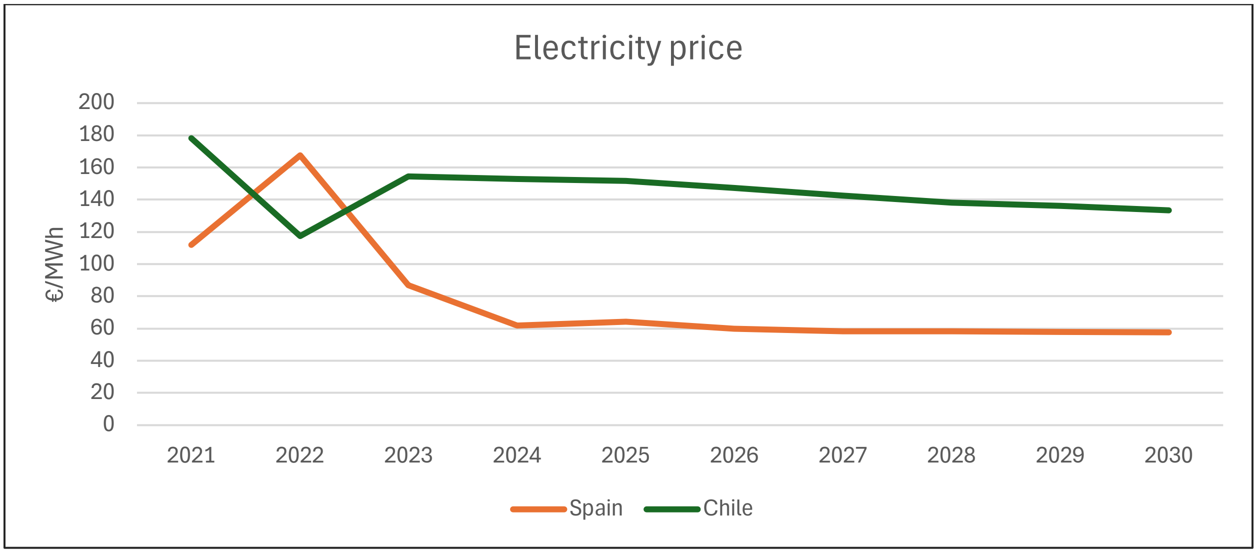


Figure 23: Electricity prices past and future for the main markets

PPA OUTLOOK

Power Purchase Agreements (PPAs) continue to shape renewable energy deployment across Spain and Chile, enabling developers to secure offtake certainty and investors to underwrite project returns. The PPA market is becoming more competitive, and price pressures are increasingly visible.

Key observations and trends:

- In Spain, PPA auctions have historically cleared at €14.9 to €28.9/MWh (2021 pay-as-bid auctions).
- Corporate PPAs in Spain currently trade in the €25–€35/MWh range for highly competitive solar projects.
- Wind PPAs in Spain reached around €55.50/MWh in Q3 2024, suggesting some upward mobility in more mature technologies.
- Across Europe, average solar PPA offers in Q2 2025 dropped to €59.62/MWh, a 20% year-over-year decline.
- New 10–15 year PPAs in Europe are being reported around €76/MWh on average.
- In Chile, non-regulated (private) PPAs now account for 60% of energy contract volumes.
- Recent long-duration Chilean PPAs integrate battery storage and nighttime delivery, e.g. a 15-year deal with Copec EMOAC covering overnight periods.

The PPA figures illustrate the discount and risk transfer mechanisms relative to wholesale volatility, and they are directionally consistent with the wholesale projections shown in the previous paragraph.

MARKET ANALYSIS

METRICS AND METHODOLOGY

To assess how attractive a renewable energy market is, investors and operators must evaluate a set of structural metrics that determine both growth potential and risk profile. These metrics, when ranked by relative importance, provide a framework to benchmark markets and prioritize capital allocation.

Key metrics ranked by importance:

1. **Regulatory stability** – A predictable and transparent framework for permitting, tariffs, and renewable integration is the single most critical factor. Policy volatility or retroactive changes can destroy project economics regardless of fundamentals.
2. **PPA and merchant pricing dynamics** – Long-term contract availability and strike prices define revenue visibility, while merchant exposure determines volatility and upside. This directly drives project bankability.
3. **Grid and infrastructure readiness** – Transmission capacity and interconnection access dictate whether projects can actually deliver output. Curtailment risks erode returns even in markets with strong fundamentals.
4. **Total market size for PV and renewables** – The growth runway in terms of demand, pipeline, and policy targets sets the scale of opportunity. Larger markets attract more capital and sustain developer portfolios.
5. **Capital market conditions** – The cost of debt, equity, and access to green financing are decisive in determining competitiveness of bids and IRRs. Tight financing conditions can stall growth.
6. **Demand outlook** – Load growth from electrification, hydrogen, and industrial demand anchors long-term offtake needs. Weak demand caps renewable penetration.
7. **Technology and resource profile** – High irradiation levels, wind speeds, or hybrid potential (PV + BESS) improve project economics and reduce LCOE.
8. **Market consolidation and competition** – The structure of the developer/operator landscape influences margins and barriers to entry. Highly fragmented markets can depress returns, while consolidated ones may create barriers but allow pricing discipline.
9. **Policy incentives and carbon pricing** – Subsidies, tax credits, and CO_2 price signals enhance competitiveness and accelerate adoption but are secondary to core regulatory stability.
10. **Current market share of Grenergy (or target player)** – Relevant for benchmarking strategic positioning, but its importance lies more in competitive analysis than in defining overall market attractiveness.

MARKETS ATTRACTIVENESS

This table benchmarks the attractiveness of renewable energy markets across Spain, Chile, the broader EU, and Latin America by applying ten key metrics that drive investment decisions. These cover regulatory stability, pricing dynamics, infrastructure readiness, and financing conditions, alongside structural factors such as demand outlook, resource quality, competition, incentives, and market positioning. The comparison highlights both the relative strengths and bottlenecks in each geography, providing a structured framework to assess where opportunities are most compelling and risks most pronounced.

The analysis underscores a few clear contrasts. Spain combines strong resource fundamentals and an active PPA market but suffers from grid saturation and policy volatility. Chile stands out for exceptional solar resources and growing PPA penetration, yet transmission bottlenecks and regulatory inconsistency remain material risks. Across the EU, regulatory stability, deep capital markets, and carbon pricing mechanisms are robust strengths, although fierce competition and interconnection queues dilute margins. Broader LatAm markets offer vast renewable potential and attractive demand growth, but weak grid infrastructure, higher financing costs, and limited policy stability weigh heavily on bankability. These high and low points define where opportunities can be scaled immediately versus where risk premiums must be carefully priced in.

Table 7: Markets attractiveness comparison

Metric	Spain	Chile	EU (ex-Spain)	LatAm (ex-Chile)
1. Regulatory stability	Medium-High – EU directives, but frequent interventions (e.g. windfall taxes).	Medium – framework maturing, but frequent rule changes and delays.	High – strong EU governance, though national interventions exist.	Medium-Low – diverse frameworks, some retroactive risks.
2. PPA & merchant pricing	Active PPA market (€25–55/MWh), strong liquidity; merchant optionality.	Growing PPA depth, non-regulated clients 60% of contracts.	Mature PPA markets in Nordics/DE/IT, but pricing tightening.	Fragmented; PPAs emerging in Brazil, Mexico, Colombia.
3. Grid & infrastructure readiness	Grid saturation risk in high-PV regions; curtailment emerging.	Transmission bottlenecks; grid expansion ongoing.	Generally strong but interconnection queues are long.	Weak in several markets; Brazil improving, others lagging.
4. Market size (PV & renewables)	Large – Iberia among EU's top pipelines.	Medium – strong growth but total system size smaller.	Very large – EU-wide decarbonization targets.	Large potential, especially Brazil, Mexico, Colombia.
5. Capital market conditions	Favorable, access to EU banks, multilaterals, green bonds.	Improving; multilaterals and local banks active.	Very favorable; deep capital markets across EU.	Mixed; financing costs higher, reliant on multilaterals.
6. Demand outlook	Stable growth, electrification and green hydrogen driving demand.	Rising demand from mining, industry, and electrification.	Strong – driven by EU decarbonization and electrification policies.	Positive in larger economies, but volatility in demand growth.
7. Resource & technology profile	Excellent solar irradiation, strong wind resources.	Exceptional solar, solid wind, potential for PV+BESS.	Mixed; strong wind in Nordics, offshore wind scaling.	Exceptional solar in many regions, wind potential uneven.
8. Market consolidation & competition	High competition, crowded developer landscape.	Moderately fragmented; room for consolidation.	Highly competitive, strong incumbents.	Fragmented; consolidation opportunities exist.
9. Policy incentives & carbon pricing	EU ETS supports pricing; auctions provide support.	Renewable tenders exist; no strong carbon pricing yet.	ETS in place, subsidies and CFDs widely used.	Limited carbon pricing; some renewable auctions.
10. Current market share of Grenergy	Medium presence, active pipeline.	Strong presence, positioned as key developer.	Limited exposure relative to large incumbents.	Active in selected LatAm markets beyond Chile.

The chart illustrates the installed capacity of solar PV (blue) versus other renewables (orange) across major European and Latin American markets. Germany clearly dominates in Europe, having surpassed 100 GW of solar PV, while Brazil stands out in LatAm with over 200 GW of total renewables, largely from hydro complemented by 45 GW of solar. Spain is also a major player with 36–40 GW of PV, reflecting its strong pipeline and high irradiation. Other European markets such as France, Italy, and the UK show balanced mixes of solar and other renewables, whereas LatAm markets beyond Brazil (Mexico, Chile, Colombia, Peru, Argentina) remain comparatively smaller in absolute terms but with strong growth trajectories.

In the context of the earlier table and market attractiveness analysis, this chart highlights the scale dimension: Europe offers large, mature markets with heavy PV penetration and competitive dynamics, while LatAm shows vast potential but remains uneven, with Brazil dominating through legacy hydro and Chile carving a niche in PV. When combined with metrics such as regulatory stability, grid readiness, and WACC, the data confirms that Spain and Germany are attractive but congested and competitive, whereas Chile and Brazil represent opportunity tempered by higher risk profiles and structural bottlenecks.

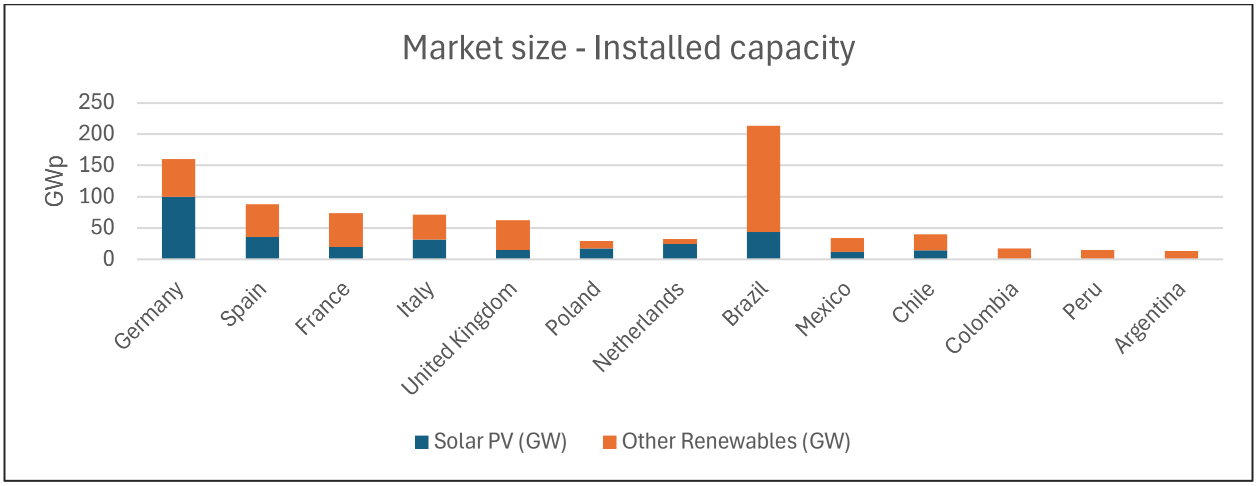


Figure 24: Installed capacity by country

This chart shows the prevailing carbon price levels across the main European and Latin American markets. European countries (Spain, Germany, France, Italy, Poland, Netherlands) are all aligned around €70/tCO_2 under the EU ETS, while the United Kingdom operates its own ETS at €52/tCO_2. In Latin America, only Chile applies a meaningful carbon tax (€5/tCO_2 equivalent), while Brazil, Mexico, Colombia, Peru, and Argentina remain effectively at zero.

These policy differences have a direct impact on PV market dynamics. In Europe, high carbon prices increase the marginal cost of fossil generation, pushing up wholesale prices and improving the relative competitiveness of solar PV. This strengthens the PPA market, reduces the merchant risk for developers, and provides long-term policy certainty that attracts capital at lower WACC levels. By contrast, in most Latin American markets the absence of a carbon price means that solar PV competes primarily on natural resource quality, financing conditions, and policy support schemes. Chile stands out as a partial exception: although its carbon tax is too low to reshape dispatch economics, it has helped frame the narrative for broader renewable penetration.

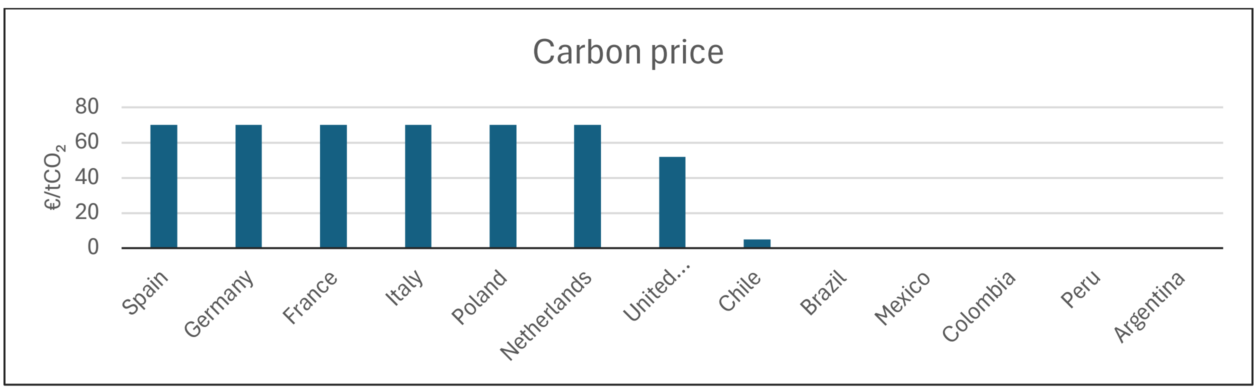


Figure 25: Carbon prices by country

The contrast in this chart reinforces why Europe is structurally more attractive for renewables on policy grounds, while Latin America's opportunity lies in low-cost resources and demand growth rather than explicit carbon cost signals.

This chart compares the weighted average cost of capital (WACC) across key European and Latin American markets. European countries such as Germany, France, and the Netherlands enjoy low WACC levels around 6%, reflecting stable regulatory frameworks, mature financial markets, and abundant liquidity. Spain, Italy, and the UK sit slightly higher at 7%, while Poland already shows higher risk at 8%. In contrast, Latin American markets carry significantly higher financing costs: Chile around 10%, Brazil, Mexico, Colombia, and Peru around 10–10.5%, and Argentina at the extreme with 14%, reflecting elevated macroeconomic and political risk.

For a PV developer like Grenergy, WACC is critical because it directly influences project economics and competitive positioning. Lower WACC markets allow developers to bid more aggressively in auctions and PPAs while still achieving target returns, which is why Europe often produces the lowest strike prices. In higher-WACC markets such as Chile or Brazil, developers must secure stronger PPA terms or integrate storage to offset risk premiums. For Argentina, the elevated cost of capital makes pure merchant or short-tenor PPA projects nearly unbankable without additional guarantees. Ultimately, WACC differences explain why Grenergy may diversify geographically: leveraging stable, low-risk European returns while capturing upside in higher-risk but resource-rich Latin American markets.

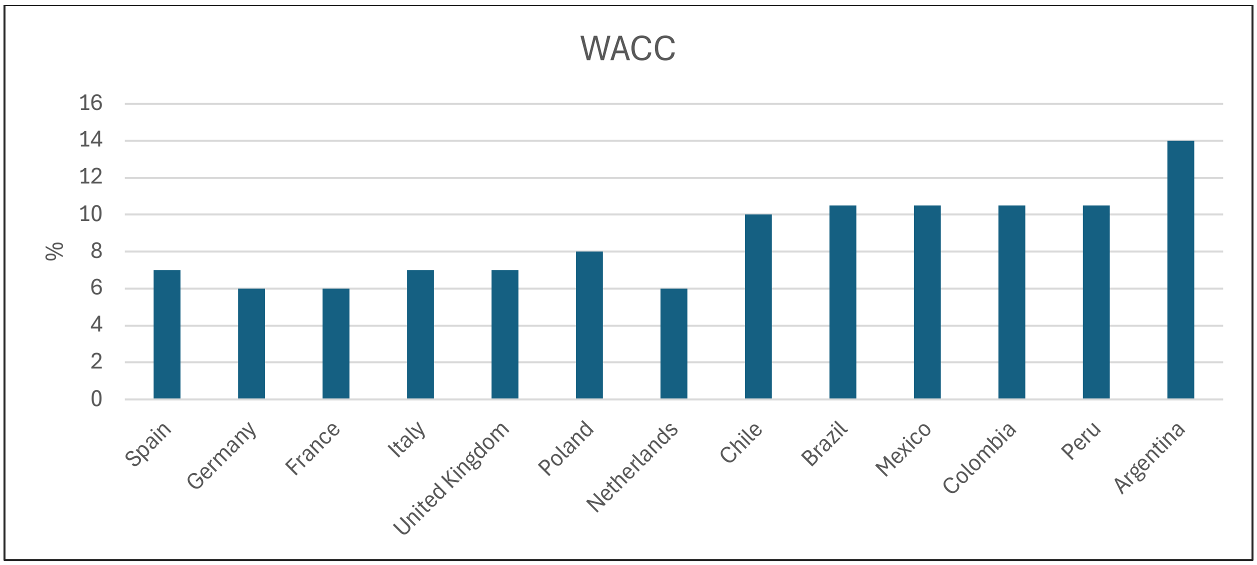
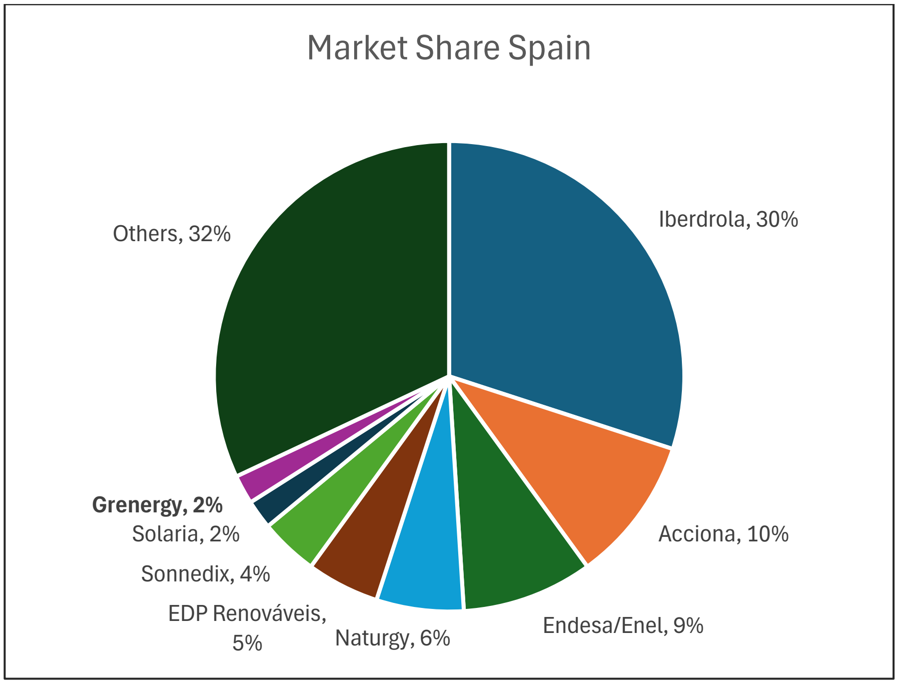


Figure 26: Cost of capital for financing projects

COMPETITORS ACROSS THE MAIN MARKETS

In the markets where Grenergy operates (primarily Spain and Latin America), it competes with both large incumbents and agile independent players. In Spain, major names such as Acciona Energía**,** Iberdrola/EDP Renováveis**,** Solaria Energía, and utilities with integrated renewables platforms dominate market share in generation, development, and EPC services. Among independents and regional developers, competitors include Statkraft**,** Ignis Energía, and Matrix Renewables, these players often compete with Grenergy in development pipelines and project execution. In Latin America, leading developers like Enel Green Power and Iberdrola have strong footholds in markets like Chile and Colombia, leveraging scale, local presence, and financial muscle to capture large PPA and EPC contracts. While precise market-share statistics are hard to obtain in public sources for each country segment, Grenergy is a mid-sized player relative to these giants, but distinguishes itself through nimble development, vertical integration, and focus on solar + storage hybridization.



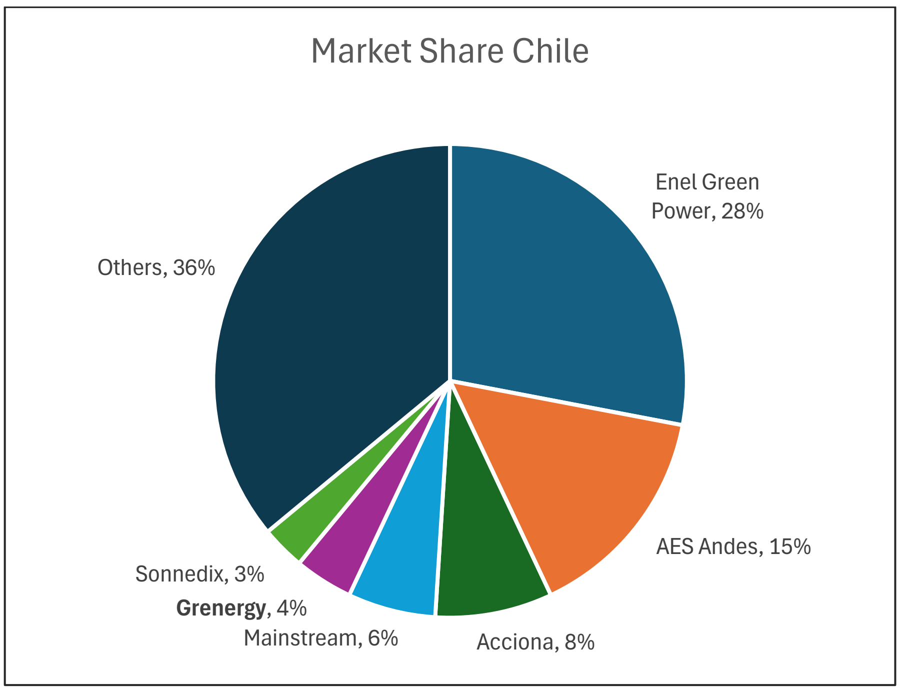


Figure 27: Market share in Spain and Chile

In Spain, Grenergy holds around 1–2% of installed renewable capacity, but its pipeline and hybrid (solar + storage) projects give it outsized growth potential relative to incumbents.

In Chile, with ~4% share, Grenergy's position is stronger thanks to early entry, local execution capabilities, and storage expansion, making it one of the few independents competing effectively with utilities.

05

FINANCIAL ANALYSIS

HISTORICAL FINANCIALS

MAIN HISTORICAL FINANCIAL METRICS

The chart shows Grenergy's remarkable revenue expansion, with total revenues growing at a CAGR of 60% since 2015 and reaching €722m in 2024. The sharp rise in 2023–2024 stems mainly from the Development and Construction division, which accounted for over €550m of revenues in 2024, as the company accelerated project deliveries in Spain and Latin America. Other income, though slightly lower than in 2023, remained substantial at €191m, reflecting high levels of capitalized project work and insurance-related recoveries. Importantly, EBITDA climbed to €160m in 2024, with margins improving to 25.1% from the low 17.1% in 2022, as operating leverage and project execution gains offset softer contributions from the Energy division due to asset disposals and fewer operating plants. Overall, the chart highlights how Grenergy has transitioned into a high-scale renewable developer with resilient profitability, balancing rapid top-line growth with margin discipline.

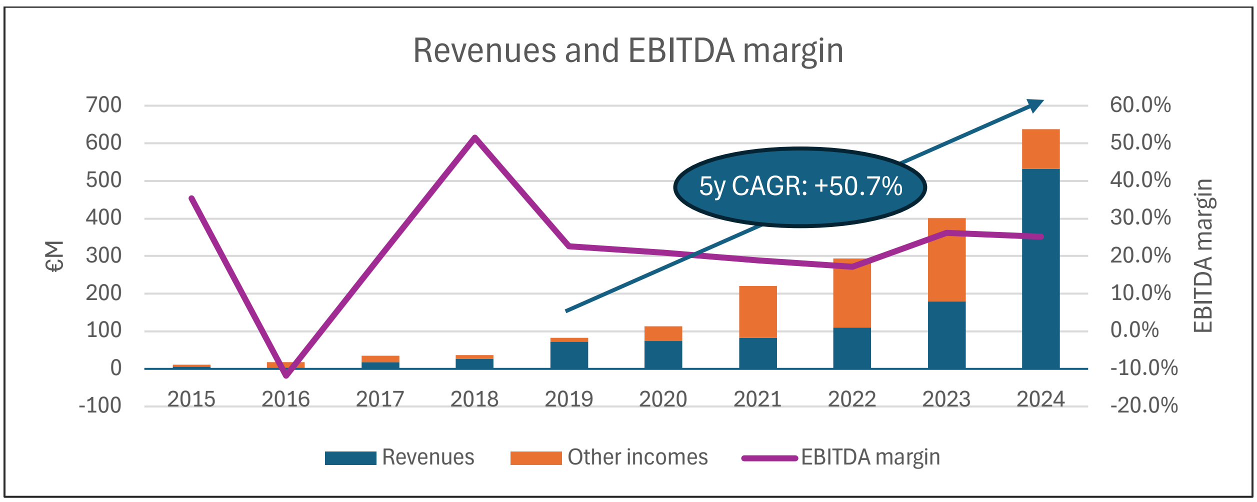


Figure 28: Revenues and EBITDA margin and 5y revenues CAGR

In 2024, Grenergy's revenues were well diversified across its business lines, though strongly dominated by Development & Construction. This division contributed €550.3m, or roughly three-quarters of total revenues, driven by the sale of large-scale solar and wind projects in Spain and Latin America. The Energy (IPP) business, which encompasses electricity sales from operational assets, added €60.5m, providing a recurring and more stable revenue base, albeit representing a smaller share of the group total. Meanwhile, the Commercialization division generated €28.1m, essentially breakeven, reflecting the trading of energy and hedging-related activities. Lastly, Services (O&M and asset management) contributed around €4.0m, a modest amount in absolute terms but one that complements the portfolio with predictable, contract-based income. This revenue split highlights the centrality of project sales in Grenergy's model, balanced by recurring streams from energy generation and services.

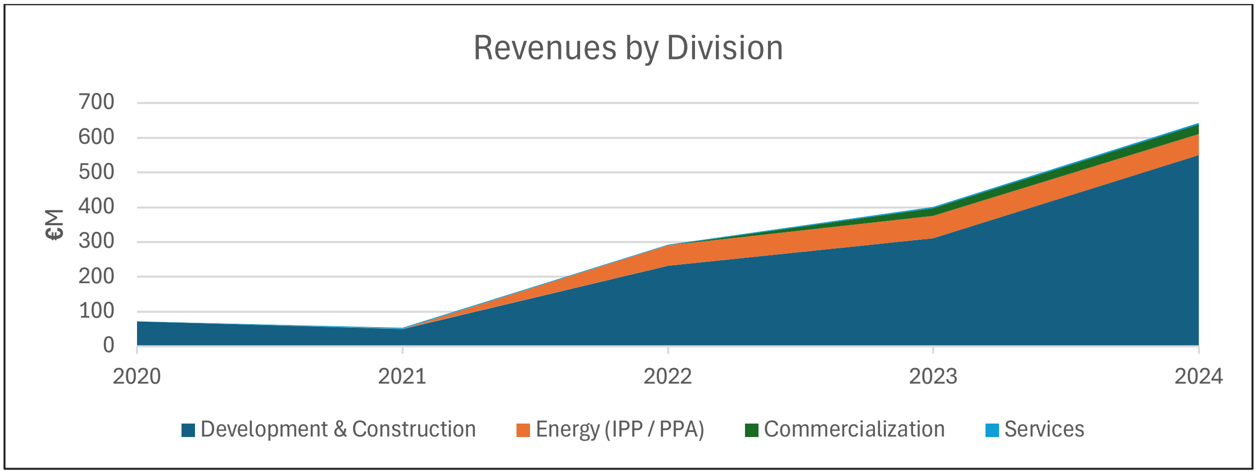


Figure 29: Revenues by division

This chart illustrates how the unit economics discussed earlier translate into Grenergy's consolidated revenues by division. Development & Construction clearly dominates, with revenues of €550.3m in 2024 reflecting the lumpy but high-margin nature of project sales. The Energy (IPP) division, though much smaller at €60.5m, represents the long-cycle, annuity-like business, delivering stable cashflows supported by high EBITDA margins. Commercialization brought in €28.1m, which aligns with the low-margin trading profile we outlined: large revenue volumes but negligible EBITDA contribution. Finally, Services accounted for €4.0m, consistent with its recurring but smaller role as an O&M and asset management provider. Together, the chart and the unit economics highlight Grenergy's hybrid model: Development generates the bulk of revenues and short-term profits, while IPP, Commercialization, and Services provide diversification, stability, and strategic support for long-term value creation.

DEVELOPMENT & CONSTRUCTION UNIT ECONOMICS

This illustrative unit economics model for Development & Construction reflects the typical cashflow profile of Grenergy's build-and-sell business when financed with a balanced mix of debt and equity. The first two years are marked by heavy outflows, with €1.2m of development and construction costs split equally between debt and equity. In year 3, the project is sold for €1.62m, yielding an EBITDA margin of 26% in line with Grenergy's reported 2024 performance. After repaying the debt, equity receives a net inflow of €822k, generating an equity ROI of 43% and an equity IRR of 26%. A minor outflow of €50k follows in year 4, reflecting residual administrative costs, but this is not included in the EBITDA margin calculation since EBITDA is measured at the moment of sale and only matches revenues against the directly attributable project costs. This profile highlights the capital intensity and lumpiness of the development cycle, while also illustrating how moderate leverage amplifies equity returns without altering the underlying operational profitability.

Table 8: Unit economics example - Development & Construction (Build & Sell Projects)

Year	Revenues (€k)	OPEX (€k)	CAPEX (€k)	Debt Cashflow (€k)	Equity Cashflow (€k)	Notes
1	0	-50	-700	+375	-375	50% funded by debt, 50% by equity
2	0	-100	-300	+150	-150	Second stage funding
3	1,622	-150	-50	-600	+822	Sale proceeds, debt repaid, balance to equity
4	0	-50	0	0	-50	Residual admin

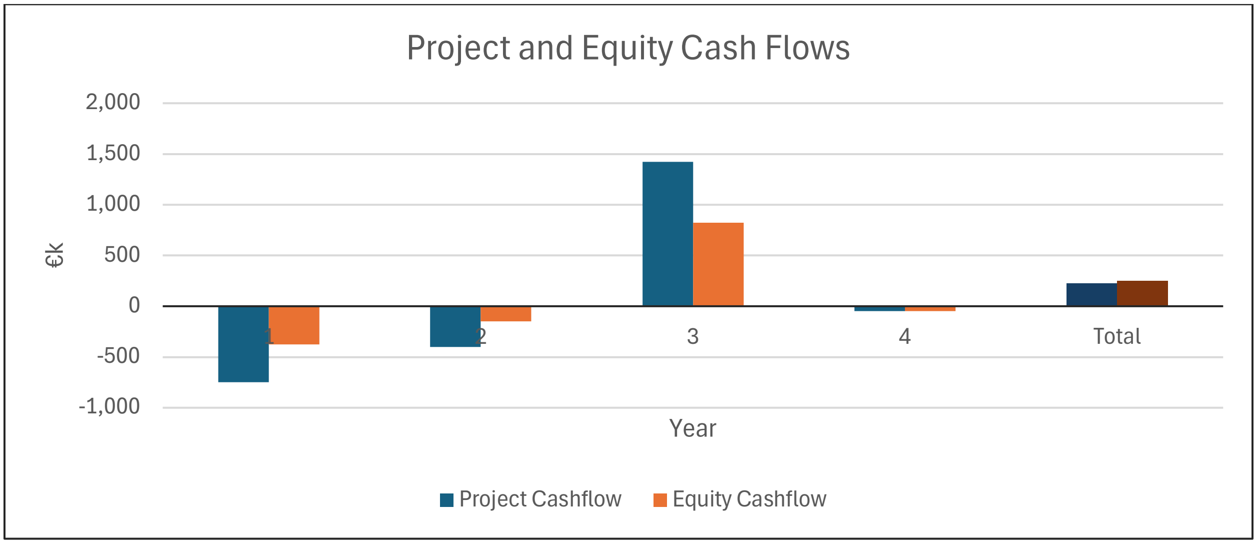


Figure 30: Development & Construction (Build & Sell Projects) unit economics cashflow

IPP UNIT ECONOMICS

This illustrative unit economics model for the IPP (Energy) business line shows the typical profile of an own-and-operate renewable asset under project finance. In year 1, the plant requires a €1.0m investment, of which 75% is funded with debt and 25% with equity. Once operational, the project generates around €120k in annual revenues against modest operating expenses of €38k, resulting in an EBITDA margin of 69% that is consistent with Grenergy's 2024 segment performance. After sustaining CAPEX, annual equity cashflows stabilize at about €62k, which are received steadily throughout the PPA life (here illustrated over 20 years). This structure highlights the contrast with Development: returns are slower to materialize, but highly predictable, with leverage boosting the equity IRR to the high-teens range, reflecting the long-duration, annuity-like nature of the IPP business.

Table 9: Unit economics example - IPP

Year	Revenues (€k)	OPEX (€k)	CAPEX (€k)	Debt Flow (€k)	Equity Flow (€k)	Notes
1	0	-20	-1,000	+750	-250	Construction
2–16	150	-38	-20	-72	+20	Debt amortization years (15 years)
17–20	150	-38	-20	0	+92	Debt-free equity cashflows

This illustrative unit economics model for the IPP (Energy) business line reflects the cashflow profile of a 1 MWp solar PV plant financed with 75% debt and 25% equity. The €1m construction cost in year 1 is mostly debt-funded, leaving an upfront equity outlay of €250k. Once operational, the plant generates about €150k in annual revenues, against modest OPEX (€38k) and sustaining CAPEX (€20k), yielding an EBITDA margin of 75%. After servicing annual debt obligations of €72k, equity receives €20k per year during the 15-year amortization phase, rising to €92k once debt is repaid. Over a 20-year horizon, this structure delivers an equity IRR of 7%, in line with typical market benchmarks for utility-scale renewables. It should be noted, however, that this scenario excludes subsidies or incentive mechanisms (such as feed-in tariffs or green certificates) that frequently enhance project returns in many renewable markets.

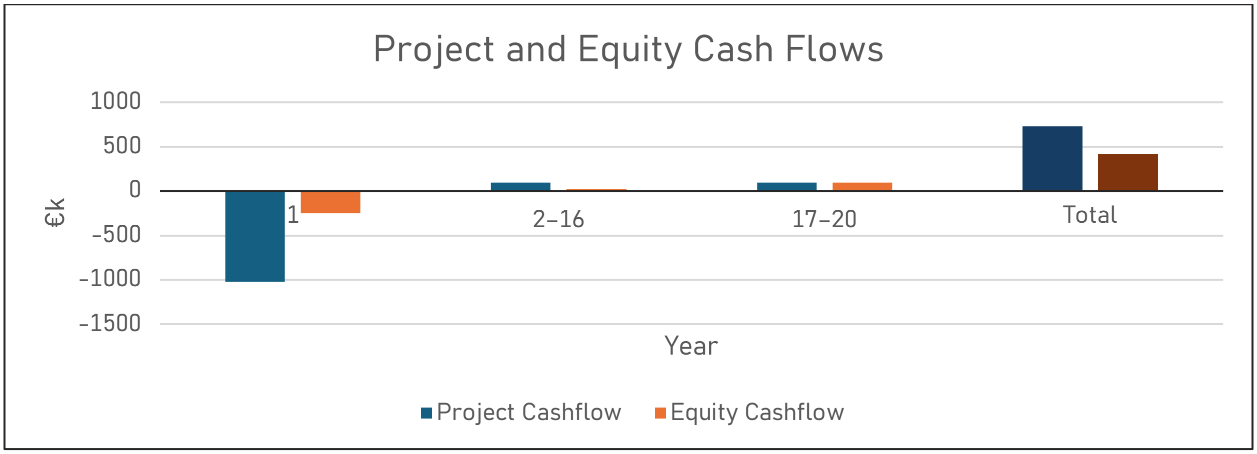


Figure 31: IPP unit economics cashflow

Grenergy's two core business lines exhibit sharply contrasting unit economics. In Development & Construction (Build & Sell), projects are highly capital-intensive during the early years, with equity absorbing significant upfront costs. However, once a project is sold, the revenues are crystallized in a single lump-sum transaction that delivers both scale and margin. In our illustrative model, a €1.6m sale against €1.2m of accumulated costs yields an EBITDA margin of 26%, consistent with Grenergy's reported 2024 performance. After factoring in 50% debt financing, equity commits €575k and receives €822k back at the point of sale, for a net gain of €247k. This corresponds to an ROI of about 43% and an IRR of about 26%, underscoring the short-cycle, high-return nature of Development.

By contrast, the IPP (Energy) business follows a long-cycle, annuity-like profile. A 1 MWp plant with €1m CAPEX is funded 75% with debt and 25% with equity. Once operational, it generates around €150k in annual revenues against modest OPEX, producing an EBITDA margin of about 75%. After sustaining CAPEX and debt service, equity receives modest cash inflows of about €20k per year during the 15-year amortization period, which increase to about €92k per year once the debt is fully repaid. Over a 20-year horizon, this structure delivers an ROI of roughly 167% and an equity IRR of around 7%. While the absolute returns are lower than in Development, the cashflows are stable, recurring, and less exposed to timing risk. Importantly, this simplified scenario excludes subsidies or incentive mechanisms that often support renewable IPPs in practice.

Overall, Development provides lumpy but high-margin profits and rapid capital recycling, whereas IPP generates stable, predictable cashflows over decades, albeit at lower equity IRRs. Together, they balance Grenergy's portfolio between growth-driven returns and long-term cashflow visibility.

COMMERCIALIZATION UNIT ECONOMICS

This unit economics snapshot for the Commercialization business line highlights its role as a high-volume, low-margin activity. Out of €1,000k in revenues from power sales, nearly all is absorbed by COGS (€950k) and OPEX (€30k), leaving an EBITDA of only €20k, or about a 2% margin. With negligible CAPEX requirements, the business essentially converts its slim EBITDA margin directly into equity cashflow. This explains why commercialization materially inflates Grenergy's reported revenues but contributes only modestly to overall profitability, serving primarily as a strategic enabler for market access, PPA execution, and portfolio balancing rather than as a core profit driver.

Table 10: Unit economics example – Commercialization

Metric	Value (€k)	Notes
Revenues	1,000	Power sales at market or PPA prices
COGS	-950	Cost of power purchased
OPEX	-30	Trading desk, systems, overhead
EBITDA	20	Margin after costs (2%)
CAPEX	0	Minimal IT and system requirements

SERVICES UNIT ECONOMICS

The Services business line generates steady, recurring income with relatively attractive margins and low capital intensity. For every €1m of service revenues, about €650k is consumed by personnel and subcontractor costs, leaving €350k of EBITDA, or a margin of 35%. With minimal CAPEX requirements, equity cashflows closely track EBITDA. This makes Services a stable cash generator with solid profitability on a recurring basis, although its absolute contribution is smaller compared to Development or IPP. Strategically, it supports Grenergy's integrated model by ensuring reliable operation of its plants while also offering opportunities to earn third-party service revenues.

Table 11: Unit economics example – Services

Metric	Value (€k)	Notes
Revenues	1,000	Asset management & O&M service fees
OPEX	-650	Personnel, materials, subcontractors
EBITDA	350	35% margin, typical of service contracts
CAPEX	0	Minimal investment required

QUALITY OF EARNINGS

Grenergy's reported 2024 EBITDA of €160m requires some adjustments to properly assess earnings quality. While the group continues to show strong operational delivery, several items distort the picture. Insurance recoveries of €2.6m boosted results but are non-recurring. In addition, €105.5m of "work performed by the entity and capitalized" reflects internal project development costs booked as income; this is standard industry practice but represents non-cash contributions rather than realized margins. Finally, an arbitration settlement on the Escuderos project led to a €6.4m financial cost below EBITDA, illustrating the presence of exceptional items impacting bottom-line profitability.

Adjustments to reported EBITDA 2024

- Reported EBITDA: €160m
- Less insurance recoveries (non-recurring): –€2.6m
- Capitalized project work: €105.5m flagged as non-cash (not deducted, but highlighted as an earnings quality caveat)
- Arbitration settlement: no EBITDA impact (recognized below EBITDA as a financial cost)
- Adjusted EBITDA (clean basis): €157m

On this adjusted basis, Grenergy's EBITDA margin remains broadly consistent with the reported 25.1%, but the correction highlights that part of the performance stems from accounting treatment of development activity and minor one-offs. This underscores the importance of distinguishing between cash-generating operations and earnings that rely on capitalization or exceptional items when assessing sustainability of profitability.

EBITDA BRIDGE

This bridge illustrates how Grenergy's reported 2024 EBITDA of €160m is built up and how its quality of earnings can be assessed. Starting from €642.9m in revenues from external sales, the company recognized €105.5m of capitalized project development work and €14.6m of other income, bringing the total income basis to €763m. After deducting €478.5m of direct costs, €89m of personnel expenses, and €35.5m of other operating expenses, reported EBITDA reached €160m. Adjusting for €2.6m of insurance recoveries reduces this to €157.4m on a recurring basis. However, since €105.5m of this comes from capitalized work, which is non-cash, the underlying cash EBITDA is closer to €52m. The bridge highlights that while headline EBITDA margins appear healthy, a large share stems from accounting capitalization rather than recurring, cash-generating operations, underscoring the importance of distinguishing between reported profitability and sustainable cash earnings.

Table 12: EBITDA bridge

Step	Value (€m)	Notes
Revenues (sales to 3rd parties)	642.9	Development & Construction, Energy, Commercialization, Services
+ Work performed and capitalized	105.5	Internal project development costs (non-cash)
+ Other income	14.6	Includes €2.6m insurance recoveries
Total income basis	763	Matches reported figure
– COGS & operating expenses	-478.5	Materials, subcontractors, park maintenance, OPEX
– Personnel expenses	-89	Wages, salaries, social security
– Other operating expenses	-35.5	Leases, professional services, etc.
Reported EBITDA	160	As disclosed
– Insurance recoveries (one-off)	-2.6	Non-recurring income
Adjusted EBITDA	157.4	"Clean" EBITDA, recurring basis
– Work performed and capitalized	-105.5	Non-cash element flagged
Cash EBITDA (underlying)	51.9	Proxy for cash-generating EBITDA

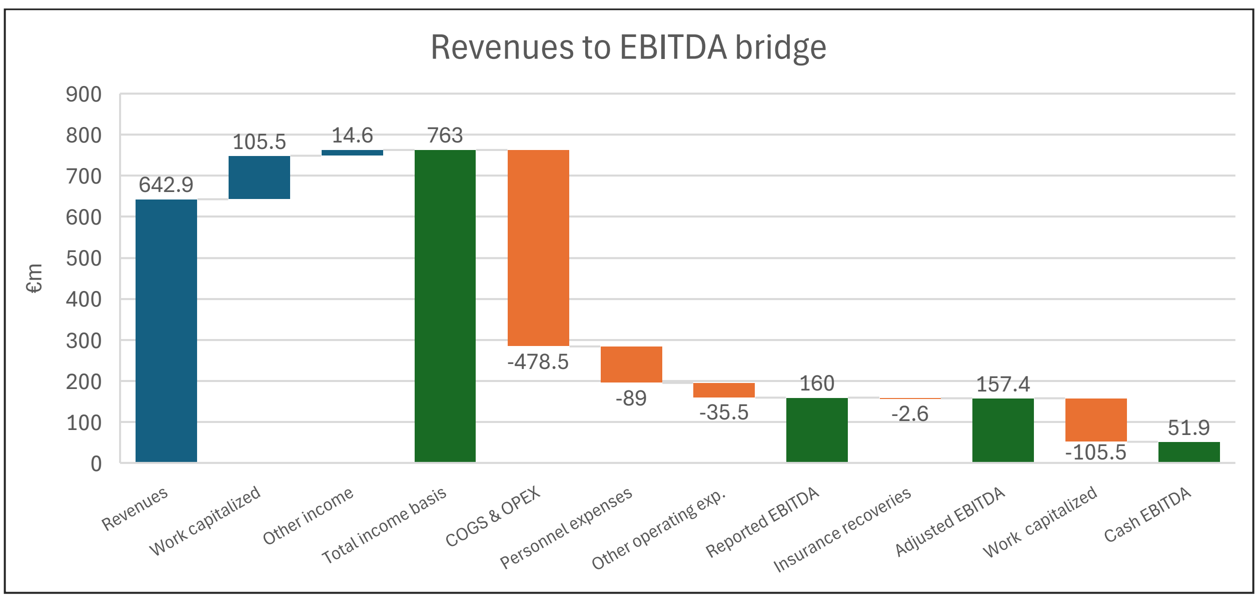


Figure 32: EBITDA bridge

RECONCILIATION: IFRS REPORTED EBITDA VS. ADJUSTED LBO EBITDA

Grenergy's 2024 consolidated financial statements report an IFRS EBITDA of **€132.6 million**, which, following the company's subsequent corrections and segment disclosures, has been restated to **€160.0 million**. This restatement primarily reflects the reclassification of development-related margins and capitalization adjustments within the *Development & Construction* and *Energy (IPP)* divisions. Specifically, the revised segment breakdown shows €142.3 million from *Development and Construction*, €41.5 million from *Energy*, €0.3 million from *Commercialization*, and €0.5 million from *Services*, offset by a €(24.6) million corporate cost allocation.

While these adjustments partly stem from accounting reclassifications that include capitalized internal work, they coincide with a year of **exceptionally strong operational cash generation**. The Consolidated Cash Flow Statement shows **€350 million of cash flow from operations**, driven by inflows from receivables collection, inventory conversion, and supplier financing linked to a record project delivery cycle. This indicates that the uplift in EBITDA, although influenced by accounting treatment, was broadly supported by real operating activity.

For consistency and comparability, this analysis follows the company's restated guidance and applies the €160.0 million EBITDA figure as the baseline in the LBO model, recognizing it as a fair representation of Grenergy's operating scale in 2024. Nonetheless, further due diligence would be required to assess the sustainability of such cash conversion and normalize for cyclical working-capital effects.

BASE CASE

INCOME STATEMENT

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Revenue	113.4	220.2	293.0	400.2	637.1	764.4	848.5	941.8	1,045.4	1,160.4	1,288.1
Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Revenue	**113.4**	**220.2**	**293.0**	**400.2**	**637.1**	**764.4**	**848.5**	**941.8**	**1,045.4**	**1,160.4**	**1,288.1**
OPEX	(89.2)	(177.9)	(241.4)	(294.2)	(498.7)	(587.6)	(644.8)	(715.8)	(784.1)	(870.3)	(966.0)
OPEX % revenues	*78.6%*	*80.8%*	*82.4%*	*73.5%*	*78.3%*	*76.9%*	*76.0%*	*76.0%*	*75.0%*	*75.0%*	*75.0%*
Gross Profit	**24.3**	**42.3**	**51.6**	**106.1**	**138.4**	**176.8**	**203.6**	**226.0**	**261.4**	**290.1**	**322.0**
Fuel & Purchased Power	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Ops. and Maintenance	(0.2)	(0.3)	(0.6)	(0.4)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)
Selling General & Admin Exp.	(0.4)	(0.6)	(0.8)	(1.2)	(1.7)	(1.7)	*(1.7)*	*(1.7)*	*(1.7)*	*(1.7)*	*(1.7)*
Depreciation & Amort.	(0.8)	(7.1)	(14.2)	(17.9)	(24.2)	(27.3)	(30.1)	(33.1)	(36.4)	(40.0)	(44.0)
Operating income (EBIT)	**22.9**	**34.3**	**36.0**	**86.6**	**111.8**	**147.1**	**171.1**	**190.5**	**222.5**	**247.6**	**275.6**
Interest income	0.2	0.0	0.5	1.8	1.4	3.1	2.0	2.0	2.0	2.0	2.0
Interest expense	(2.6)	(9.3)	(19.6)	(34.9)	(45.1)	(47.6)	(90.2)	(94.4)	(103.0)	(103.0)	(94.4)
Net interest income	**(2.4)**	**(9.3)**	**(19.1)**	**(33.1)**	**(43.7)**	**(44.5)**	**(88.2)**	**(92.4)**	**(101.0)**	**(101.0)**	**(92.4)**
Other non-operating expense	(5.2)	(4.9)	(3.3)	(1.2)	8.0	0.5	(2.0)	(2.0)	(2.0)	(2.0)	(2.0)
EBT	**15.3**	**20.1**	**13.5**	**52.3**	**76.0**	**103.0**	**81.0**	**96.1**	**119.6**	**144.7**	**181.1**
Unusual items	0.3	(1.9)	(6.2)	0.0	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)
EBT incl. unusual items	**15.6**	**18.2**	**7.3**	**52.3**	**74.6**	**101.6**	**79.6**	**94.7**	**118.2**	**143.3**	**179.7**
Taxes	(0.4)	(2.1)	3.0	(1.1)	(15.0)	(15.8)	(14.6)	(17.3)	(21.5)	(26.0)	(32.6)
Minority Int. in Earnings	0.1	0.3	0.0	0.0	0.2	0.2	0.0	0.0	0.0	0.0	0.0
Net income	**15.3**	**16.4**	**10.3**	**51.1**	**59.9**	**86.1**	**65.0**	**77.4**	**96.6**	**117.2**	**147.1**
Net income margin	13.5%	7.4%	3.5%	12.8%	9.4%	11.3%	7.7%	8.2%	9.2%	10.1%	11.4%

EBITDA RECONCILIATION

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
EBIT (GAAP)	**22.9**	**34.3**	**36.0**	**86.6**	**111.8**	**147.1**	**171.1**	**190.5**	**222.5**	**247.6**	**275.6**
Depreciation and amortization	0.8	7.1	14.2	17.9	24.2	27.3	30.1	33.1	36.4	40.0	44.0
Deal-related D&A	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Restructuring and other nonrecurring charges	0.0	0.0	0.0	0.0	24.1	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA	**23.7**	**41.4**	**50.1**	**104.5**	**160.0**	**174.3**	**201.2**	**223.6**	**258.9**	**287.7**	**319.6**
EBITDA margin	20.9%	18.8%	17.1%	26.1%	25.1%	22.8%	23.7%	23.7%	24.8%	24.8%	24.8%
Stock based compensation	0.2	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other expenses	0.0	0.0	0.0	0.0	(2.6)	0.0	0.0	0.0	0.0	0.0	0.0
Adjusted EBITDA	**24.1**	**41.8**	**50.3**	**104.7**	**157.4**	**174.6**	**201.5**	**223.9**	**259.2**	**287.9**	**319.8**
Adj. EBITDA margin	21.2%	19.0%	17.2%	26.2%	24.8%	22.8%	23.7%	23.8%	24.8%	24.8%	24.8%

BALANCE SHEET

ASSETS

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Cash	20.6	69.0	105.9	121.8	374.4	100.0	100.0	100.0	100.0	100.0	100.0
Short Term Investments	6.5	8.0	1.5	0.3	1.1	6.4	0.0	0.0	0.0	0.0	0.0
Trading Asset Securities	0.0	0.0	1.5	1.2	0.5	0.0	0.0	0.0	0.0	0.0	0.0
Accounts receivable	30.3	56.3	47.9	44.5	45.4	93.9	67.9	75.3	83.6	92.8	103.0
Accounts receivable % revenues	26.7%	25.6%	16.3%	11.1%	7.1%	12.3%	8.0%	8.0%	8.0%	8.0%	8.0%
Other receivables	13.2	26.1	33.0	69.7	45.6	0.0	50.9	56.5	62.7	69.6	77.3
Total accounts receivable	**43.5**	**82.4**	**80.9**	**114.2**	**91.0**	**93.9**	**118.8**	**131.9**	**146.4**	**162.5**	**180.3**
Inventory	18.2	17.3	6.6	142.8	196.8	231.5	251.5	279.2	305.8	339.4	376.8
Inventory % OPEX	20.4%	9.8%	2.7%	48.6%	39.5%	39.4%	39.0%	39.0%	39.0%	39.0%	39.0%
Other Current Assets	0.0	0.0	9.0	8.4	2.6	11.7	11.0	12.0	13.0	14.0	15.0
Total Current Assets Exc. Cash	61.7	99.7	96.5	265.5	290.4	337.1	381.3	423.0	465.1	515.9	572.1
Total Current Assets	**88.7**	**176.7**	**205.4**	**388.7**	**666.4**	**443.5**	**481.3**	**523.0**	**565.1**	**615.9**	**672.1**
Gross Property, Plant & Equipment	152.2	410.3	631.6	801.1	1,023.0	1,386.7	1,580.7	1,774.1	1,866.8	1,958.8	2,150.0
Accumulated Depreciation	(2.2)	(8.4)	(21.3)	(37.3)	(42.9)	(48.4)	(54.4)	(61.0)	(68.3)	(76.3)	(85.1)
Net PP&E	**150.0**	**401.9**	**610.3**	**763.8**	**980.1**	**1,338.4**	**1,526.3**	**1,713.1**	**1,798.5**	**1,882.5**	**2,064.9**
Goodwill	0.0	0.0	0.0	5.7	5.7	0.0	6.0	6.0	6.0	6.0	6.0
Intangible assets	9.1	0.1	0.2	0.1	0.6	6.3	6.3	6.3	6.3	6.3	6.3
Long-term Investments	0.0	1.0	21.5	16.9	36.3	0.0	0.0	0.0	0.0	0.0	0.0
Deferred tax assets	10.2	25.4	47.3	44.1	54.6	64.4	64.4	64.4	64.4	64.4	64.4
Other Long-Term Assets	0.1	0.1	2.4	47.3	131.8	154.7	16.7	16.7	16.7	16.7	16.7
Total Assets	**258.2**	**605.2**	**887.3**	**1,266.7**	**1,875.6**	**2,007.2**	**2,100.9**	**2,329.4**	**2,457.0**	**2,591.7**	**2,830.3**

LIABILITIES

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Accounts Payable	40.3	76.8	85.1	103.8	193.5	252.2	280.0	320.0	370.0	450.0	530.0
Accrued Exp.	1.4	3.6	3.0	3.1	7.9	0.0	8.0	8.0	8.0	8.0	8.0
Short-term Borrowings	1.7	0.0	2.2	68.4	83.1	100.6	105.8	116.1	116.1	105.8	95.4
Curr. Port. of LT Debt	18.6	72.8	114.9	149.0	216.4	256.6	268.5	292.3	292.3	268.5	244.7
Curr. Port. of Leases	0.7	1.4	1.5	3.0	4.9	5.5	5.6	6.0	6.0	5.6	5.3
Curr. Income Taxes Payable	0.6	0.1	0.3	2.5	2.4	0.0	2.5	2.5	2.5	2.5	2.5
Other Current Liabilities	2.5	5.1	14.3	8.0	110.8	110.0	121.0	133.1	146.4	161.1	177.2
Total current liabilities, EOP	**65.8**	**159.7**	**221.3**	**338.0**	**618.8**	**724.9**	**791.4**	**878.0**	**941.3**	**1,001.5**	**1,063.1**
Long-Term Debt	130.3	248.5	358.0	485.7	647.7	770.1	806.3	878.8	878.8	806.3	733.9
Long-Term Leases	4.2	11.1	26.1	50.8	65.9	79.5	83.6	91.6	91.6	83.6	75.5
Def. Tax Liability, Non-Curr.	5.6	14.4	20.4	33.7	59.6	63.0	63.0	63.0	63.0	63.0	63.0
Other Non-Current Liab., Total	3.4	12.5	16.4	14.3	9.6	22.0	22.0	22.0	22.0	22.0	22.0
Total Liabilities	**209.4**	**446.1**	**642.2**	**922.6**	**1,401.7**	**1,659.5**	**1,766.3**	**1,933.4**	**1,996.7**	**1,976.4**	**1,957.5**
Common Stock	8.5	9.8	10.7	10.7	10.3	10.0	10.0	10.0	10.0	10.0	10.0
Additional Paid-In Capital	6.1	109.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9
Retained Earnings	51.4	73.7	92.8	139.4	150.8	138.8	116.2	177.6	241.9	397.0	654.5
Treasury Stock	(8.1)	(17.6)	(19.7)	(33.0)	(17.4)	0.0	(20.0)	(20.0)	(20.0)	(20.0)	(20.0)
Comprehensive Inc. and Other	(8.7)	(16.1)	(37.4)	28.2	131.7	0.0	30.0	30.0	30.0	30.0	30.0
Total Common Equity	**49.2**	**159.7**	**245.3**	**344.2**	**474.3**	**347.7**	**335.1**	**396.5**	**460.8**	**615.9**	**873.4**
Minority Interest	(0.4)	(0.6)	(0.2)	(0.2)	(0.4)	0.0	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)
Total Equity	**48.8**	**159.1**	**245.1**	**344.0**	**473.9**	**347.7**	**334.6**	**396.0**	**460.3**	**615.4**	**872.9**
Total Liabilities & Equity	**258.2**	**605.2**	**887.3**	**1,266.7**	**1,875.6**	**2,007.2**	**2,100.9**	**2,329.4**	**2,457.0**	**2,591.7**	**2,830.3**

Cash from operating activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Net income	15.3	16.4	10.3	51.1	59.9	86.1	65.0	77.4	96.6	117.2	147.1
Depreciation and amortization	0.8	7.1	14.2	17.9	24.2	27.3	30.1	33.1	36.4	40.0	44.0
Other amortizations	0.0	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0	0.0	0.0
(Gain) Loss On Sale of Assets	0.0	0.0	0.0	0.0	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)
Total Asset Writedown	0.2	1.9	0.0	3.4	17.2	17.2	18.0	18.0	18.0	18.0	18.0
Stock based compensation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other Operating Activities	1.5	11.2	(6.2)	(8.8)	30.3	42.0	42.0	42.0	42.0	42.0	42.0
Change in Acc. Receivable (Balance sheet)	(18.0)	(38.9)	1.5	(33.3)	23.2	(2.9)	(24.9)	(13.1)	(14.5)	(16.1)	(17.9)
Change in Acc. Receivable (correction)	0.0	2.0	(1.9)	(2.2)	6.6	32.7	0.0	0.0	0.0	0.0	0.0
Change in Acc. Receivable	**(18.0)**	**(36.9)**	**(0.4)**	**(35.5)**	**29.8**	**29.8**	**(24.9)**	**(13.1)**	**(14.5)**	**(16.1)**	**(17.9)**
Change in Inventories (Balance sheet)	(9.1)	0.8	10.7	(136.2)	(53.9)	(34.7)	(20.0)	(27.7)	(26.6)	(33.6)	(37.3)
Change in Inventories (correction)	0.0	(25.5)	0.0	110.4	80.2	61.0	0.0	0.0	0.0	0.0	0.0
Change in Inventories	**(9.1)**	**(24.7)**	**10.7**	**(25.8)**	**26.3**	**26.3**	**(20.0)**	**(27.7)**	**(26.6)**	**(33.6)**	**(37.3)**
Change in Acc. Payable (balance sheet)	1.4	36.5	8.3	18.7	89.7	58.8	27.8	40.0	50.0	80.0	80.0
Change in Acc. Payable (correction)	0.0	1.9	(1.3)	65.6	84.0	114.9	20.0	20.0	20.0	20.0	20.0
Change in Acc. Payable	**1.4**	**38.4**	**7.0**	**84.3**	**173.7**	**173.7**	**47.8**	**60.0**	**70.0**	**100.0**	**100.0**
Change in Other Net Operating Assets (balance sheet)	(0.4)	0.0	(9.0)	0.6	5.8	(9.1)	0.7	(1.0)	(1.0)	(1.0)	(1.0)
Change in Other Net Operating Assets (correction)	0.0	0.5	11.8	(54.0)	(13.2)	(65.0)	5.0	5.0	5.0	5.0	5.0
Change in Other Net Operating Assets	**(0.4)**	**0.5**	**2.8**	**(53.4)**	**(7.4)**	**(74.1)**	**5.7**	**4.0**	**4.0**	**4.0**	**4.0**
Cash from operating activities	**(8.3)**	**13.9**	**38.4**	**33.3**	**350.8**	**325.0**	**160.5**	**190.5**	**222.7**	**268.3**	**296.7**

Cash from investing activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A
Capital expenditures	(80.3)	(198.1)	(189.8)	(366.3)	(648.8)	(740.4)	(800.0)	(900.0)	(1,000.0)	(1,100.0)	(1,200.0)
Sales of PP&E	0.1	0.0	-	95.8	339.9	339.9	600.0	700.0	900.0	1,000.0	1,000.0
Cash acquisitions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Divestitures	0.0	0.0	0.0	0.0	0.0	31.4	0.0	0.0	0.0	0.0	0.0
Purchase/Sale of Intangibles	0.0	0.0	(0.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Cash from Investments	0.5	(2.5)	(9.3)	1.8	7.6	6.8	0.0	0.0	0.0	0.0	0.0
Cash from investing activities	**(79.6)**	**(200.6)**	**(199.3)**	**(268.7)**	**(301.3)**	**(362.3)**	**(10.0)**	**(200.0)**	**(100.0)**	**(100.0)**	**(200.0)**

Cash from financing activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A
Short Term Debt Issued	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long Term Debt issued	79.7	179.7	317.9	526.4	500.4	500.0	400.0	550.0	500.0	500.0	600.0
Total Debt Issued	**79.7**	**179.7**	**317.9**	**526.4**	**500.4**	**500.0**	**400.0**	**550.0**	**500.0**	**500.0**	**600.0**
Short Term Debt Repaid	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long-Term Debt Repaid	(4.8)	(46.0)	(207.0)	(246.5)	(260.9)	(331.0)	(350.0)	(450.0)	(500.0)	(600.0)	(700.0)
Total Debt Repaid	**(4.8)**	**(46.0)**	**(207.0)**	**(246.5)**	**(260.9)**	**(331.0)**	**(350.0)**	**(450.0)**	**(500.0)**	**(600.0)**	**(700.0)**
Net change in Debt	**70.3**	**134.0**	**112.8**	**282.9**	**255.5**	**194.4**	**57.5**	**115.0**	**0.0**	**(115.0)**	**(115.0)**
Preferred dividend (cash)	0.0	0.0	0.0	0.0	0.0	(354.2)	(193.0)	(75.5)	(122.7)	(83.3)	(11.7)
Issuance of common stocks	16.3	161.3	119.1	16.0	13.3	13.3	0.0	0.0	0.0	0.0	0.0
Repurchase of Common Stock	(16.0)	(59.6)	(30.2)	(41.6)	(33.7)	(39.9)	0.0	0.0	0.0	0.0	0.0
Revolver						0.0	0.0	0.0	0.0	0.0	0.0
Cash from financing activities	**75.2**	**235.3**	**199.8**	**254.2**	**219.1**	**(211.8)**	**(143.0)**	**24.5**	**(122.7)**	**(183.3)**	**(111.7)**
FX adjustments	4.6	(0.3)	(1.9)	(3.0)	(16.0)	(25.4)	(7.5)	(15.0)	0.0	15.0	15.0
Net change in cash	**(8.1)**	**48.4**	**37.0**	**15.9**	**252.6**	**(274.4)**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**

BASE CASE ASSUMPTIONS

Financial Data & Macro

- Last reported year: 2024
- Historical revenue CAGR (2020–2024): 53.9%
- Projected revenue CAGR (2025–2029): 11.0% (more sustainable on the long run)
- Debt interest rate → 8.0% projected (higher leverage structure)
- Interest earned on cash: 2.0%
- Tax rate: 18.0% (in line with historical effective rate)

Operating Metrics

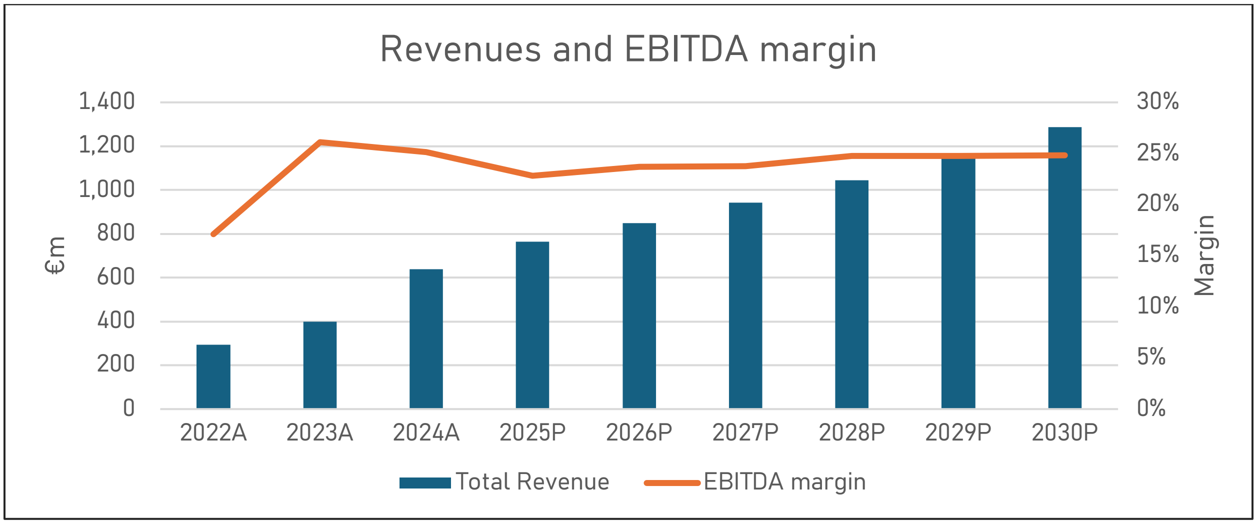
- OPEX: 77% of revenues, gradually improving to 75% by 2029
- CAPEX: ranging between €750m and €1,200m
- Sales of PP&E: ranging between €600m and €1,000m
- D&A: rises at 10% growth rate

Capital Structure

- Initial leverage in line with outstanding debt at acquisition: €650m
- Regular dividend recapitalization throughout the ownership cycle
- Net debt at exit: €1,050m

Dividends

- Regular dividend recapitalization throughout the ownership cycle



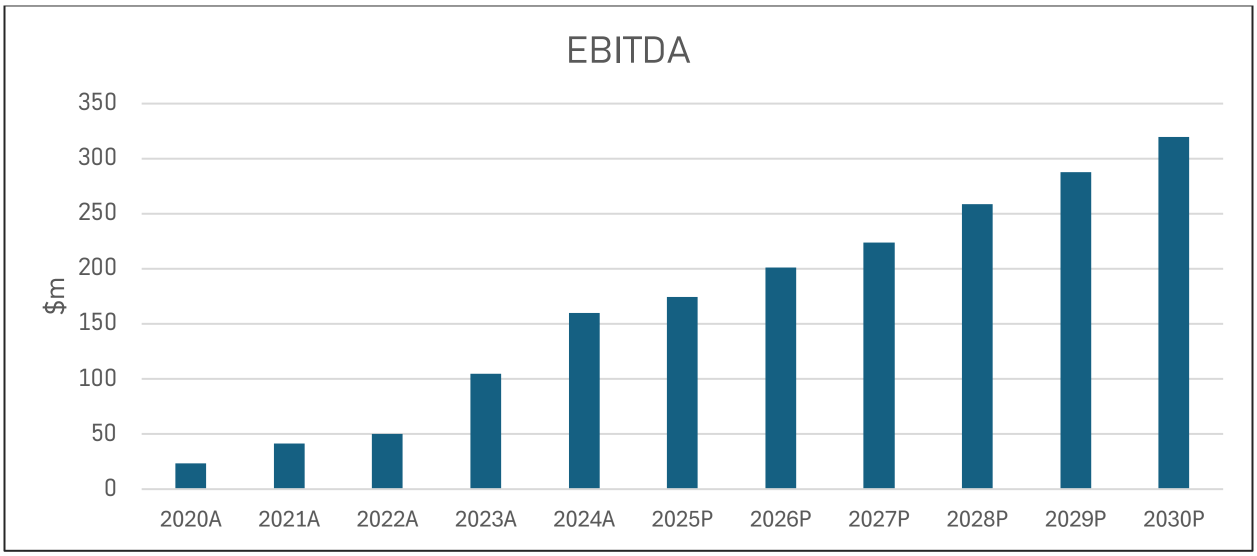
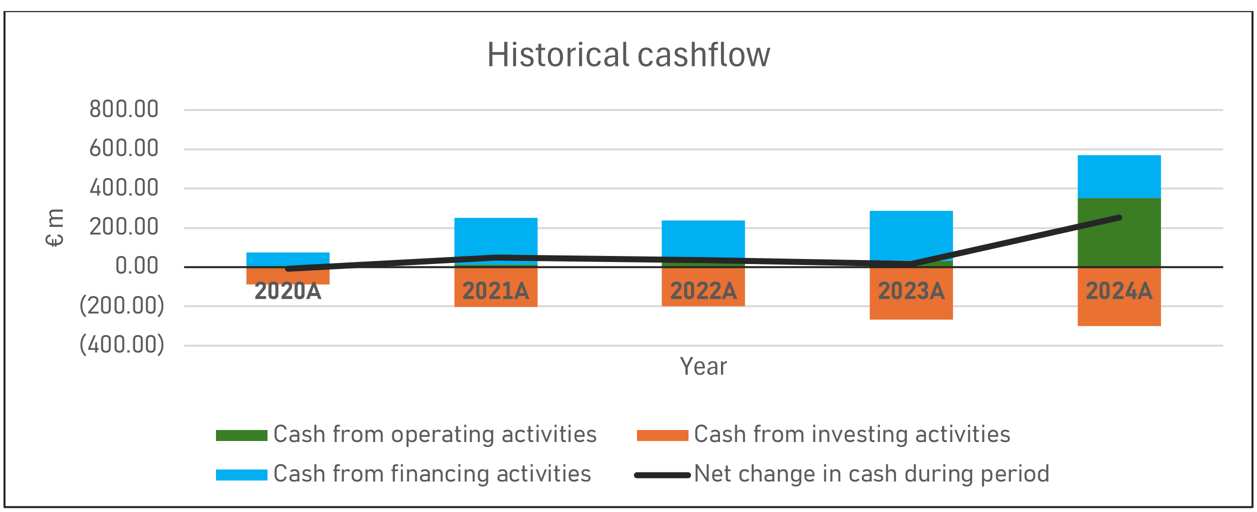


Figure 33: Revenues and EBITDA



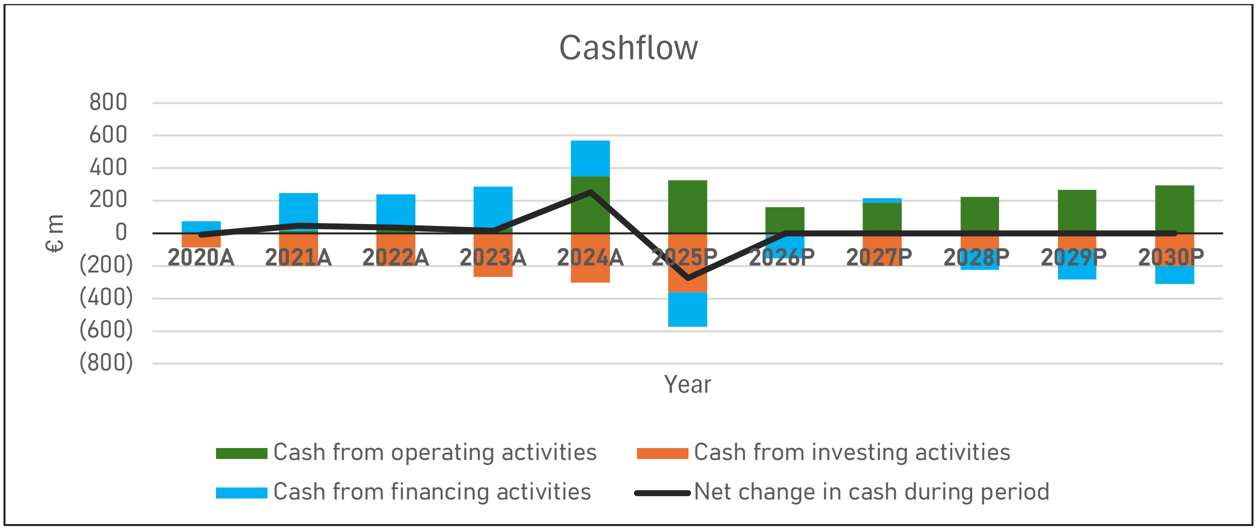


Figure 34: Historical and forecasted cashflow

In this Base Case, reported revenues also incorporate work capitalized, meaning costs incurred in the development and construction of projects are recognized as additions to assets on the balance sheet and simultaneously treated as revenue. This presentation reflects the economics of a build-and-hold/rotate business model, but it differs from IFRS accounting where such capitalized amounts are not included in the revenue line. As a result, margins and growth rates appear higher than on a purely statutory basis, while cash conversion and working-capital metrics require careful interpretation.

Key implications:

- **Definition:** Work capitalized consists of internally incurred development and construction costs (e.g., labor, materials, overhead) that are booked as assets (PP&E or inventory) and mirrored as revenue in this model.
- **Impact on P&L:** Including capitalized work inflates total revenue and gross profit, which enhances operating and EBITDA margins relative to statutory IFRS revenue presentation.
- **Cash conversion:** Because capitalized work does not generate immediate cash inflows, EBITDA is structurally higher than operating cash flow during heavy build periods.
- **Balance sheet link:** These amounts increase PP&E or inventory. When projects are sold, prior capitalization is realized through proceeds and derecognition of the asset.
- **Working capital:** Accounts receivable remain low relative to “revenue” since a portion of the top line is internal capitalization rather than external billings; accounts payable often provide a natural source of funding during project build.
- **Comparability:** For benchmarking or covenant analysis, it is important to distinguish between revenue including capitalized work and IFRS revenue, as KPIs like EBITDA margin or Net Debt/EBITDA will differ significantly.
- **Sensitivity:** Any slowdown in project execution reduces the level of work capitalized, compressing reported revenue and EBITDA while leaving overhead relatively fixed.
- **Transparency:** A clear reconciliation between revenue including work capitalized and statutory IFRS revenue is recommended to avoid overstating growth and profitability.

Table 13: Revenue reconciliation: including vs. excluding work capitalized (€m)

Fiscal Year	Revenue incl. Work Capitalized (Base Case)	IFRS Revenue (Audited)	Difference	% of Base Case attributable to work capitalized
2020A	113.4	101.5	+11.9	10.5%
2021A	220.2	120.4	+99.8	45.3%
2022A	293.0	110.6	+182.4	62.2%
2023A	400.2	179.1	+221.1	55.2%
2024A	637.1	214.1	+423.0	66.4%

- The difference between the two columns represents capitalized work (development and EPC activity recognized as asset creation rather than customer billing).
- The share of revenue attributable to capitalization increases substantially after 2021, reaching two-thirds of reported revenues by 2024.
- This uplift explains the stronger gross margins and EBITDA margins observed in the Base Case relative to statutory IFRS accounts.
- For clarity, IFRS revenues reflect only external sales, while the Base Case reflects both external sales and internal project capitalization.

Financial outlook:

- **Revenue growth:** Reported revenues rise sharply from €113m in 2020A to €637m in 2024A, a CAGR of nearly 54%. This acceleration is driven both by external sales and by the increasing share of work capitalized, which by 2024 accounts for two-thirds of the reported top line.
- **Profitability:** Gross profit expands from €24m in 2020A to €138m in 2024A, with EBITDA climbing from €24m to €136m over the same period. Margins, however, are flattered by capitalization: the IFRS view shows lower growth and profitability, with only €214m revenue in 2024A.
- **Operating leverage:** EBIT strengthens from €23m in 2020A to €112m in 2024A, showing clear operating leverage. Yet part of this expansion comes from capitalization mechanics rather than purely from commercial revenue growth.
- **Net income:** Bottom-line profitability follows the same trajectory, rising from €15m in 2020A to €60m in 2024A. The net margin stabilizes around 9–13% depending on year, again supported by capitalization effects.
- **Cash flow disconnect:** While EBITDA grows strongly, cash flow from operations does not fully keep pace due to the non-cash nature of capitalized revenues and the working-capital intensity of the model. This results in periods where accounting profitability outstrips cash generation.
- **Balance sheet expansion:** Assets increase from €258m in 2020A to nearly €1.9bn by 2024A, largely reflecting the accumulation of capitalized costs in PP&E and inventory. Liabilities rise in parallel with higher leverage, consistent with the build-and-rotate model.
- **Financial profile by 2024:** By the last actual year, the business shows scale with €637m in revenues (management view), €112m EBIT, and €60m net income. However, the heavy reliance on capitalized work means financial evolution is tightly linked to construction activity and asset rotation cycles, rather than recurring external revenues alone.

UPSIDE CASE

INCOME STATEMENT

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Revenue	113.4	220.2	293.0	400.2	637.1	764.4	871.4	993.4	1,132.5	1,291.0	1,471.8
Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Revenue	**113.4**	**220.2**	**293.0**	**400.2**	**637.1**	**764.4**	**871.4**	**993.4**	**1,132.5**	**1,291.0**	**1,471.8**
OPEX	(89.2)	(177.9)	(241.4)	(294.2)	(498.7)	(587.6)	(662.3)	(755.0)	(860.7)	(981.2)	(1,118.6)
OPEX % revenues	*78.6%*	*80.8%*	*82.4%*	*73.5%*	*78.3%*	*76.9%*	*76.0%*	*76.0%*	*76.0%*	*76.0%*	*76.0%*
Gross Profit	**24.3**	**42.3**	**51.6**	**106.1**	**138.4**	**176.8**	**209.1**	**238.4**	**271.8**	**309.8**	**353.2**
Fuel & Purchased Power	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Ops. and Maintenance	(0.2)	(0.3)	(0.6)	(0.4)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)
Selling General & Admin Exp.	(0.4)	(0.6)	(0.8)	(1.2)	(1.7)	(1.7)	*(1.7)*	*(1.7)*	*(1.7)*	*(1.7)*	*(1.7)*
Depreciation & Amort.	(0.8)	(7.1)	(14.2)	(17.9)	(24.2)	(27.3)	(30.1)	(33.1)	(36.4)	(40.0)	(44.0)
Operating income (EBIT)	**22.9**	**34.3**	**36.0**	**86.6**	**111.8**	**147.1**	**176.6**	**202.9**	**233.0**	**267.4**	**306.8**
Interest income	0.2	0.0	0.5	1.8	1.4	3.1	2.0	2.0	2.0	2.0	2.0
Interest expense (enter as -)	(2.6)	(9.3)	(19.6)	(34.9)	(45.1)	(47.6)	(90.2)	(103.0)	(111.5)	(120.0)	(124.3)
Net interest income	**(2.4)**	**(9.3)**	**(19.1)**	**(33.1)**	**(43.7)**	**(44.5)**	**(88.2)**	**(101.0)**	**(109.5)**	**(118.0)**	**(122.3)**
Other non-operating expense (enter as -)	(5.2)	(4.9)	(3.3)	(1.2)	8.0	0.5	(2.0)	(2.0)	(2.0)	(2.0)	(2.0)
EBT	**15.3**	**20.1**	**13.5**	**52.3**	**76.0**	**103.0**	**86.5**	**99.9**	**121.5**	**147.4**	**182.5**
Unusual items	0.3	(1.9)	(6.2)	0.0	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)
EBT incl. unusual items	**15.6**	**18.2**	**7.3**	**52.3**	**74.6**	**101.6**	**85.1**	**98.5**	**120.1**	**146.0**	**181.1**
Taxes (enter expense as -)	(0.4)	(2.1)	3.0	(1.1)	(15.0)	(15.8)	(15.6)	(18.0)	(21.9)	(26.5)	(32.8)
Minority Int. in Earnings	0.1	0.3	0.0	0.0	0.2	0.2	0.0	0.0	0.0	0.0	0.0
Net income	**15.3**	**16.4**	**10.3**	**51.1**	**59.9**	**86.1**	**69.5**	**80.5**	**98.2**	**119.4**	**148.2**
Net income margin	13.5%	7.4%	3.5%	12.8%	9.4%	11.3%	8.0%	8.1%	8.7%	9.3%	10.1%

EBITDA reconciliation

EBIT (GAAP)	**22.9**	**34.3**	**36.0**	**86.6**	**111.8**	**147.1**	**176.6**	**202.9**	**233.0**	**267.4**	**306.8**
Depreciation and amortization	0.8	7.1	14.2	17.9	24.2	27.3	30.1	33.1	36.4	40.0	44.0
Deal-related D&A	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Restructuring and other nonrecurring charges	0.0	0.0	0.0	0.0	24.1	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA	**23.7**	**41.4**	**50.1**	**104.5**	**160.0**	**174.3**	**206.7**	**236.0**	**269.4**	**307.4**	**350.8**
EBITDA margin	20.9%	18.8%	17.1%	26.1%	25.1%	22.8%	23.7%	23.8%	23.8%	23.8%	23.8%
Stock based compensation	0.2	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other expenses	0.0	0.0	0.0	0.0	(2.6)	0.0	0.0	0.0	0.0	0.0	0.0
Adjusted EBITDA	**24.1**	**41.8**	**50.3**	**104.7**	**157.4**	**174.6**	**207.0**	**236.2**	**269.6**	**307.7**	**351.1**
Adj. EBITDA margin	21.2%	19.0%	17.2%	26.2%	24.8%	22.8%	23.8%	23.8%	23.8%	23.8%	23.9%

BALANCE SHEET

ASSETS

Fiscal year	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025P**	**2026P**	**2027P**	**2028P**	**2029P**	**2030P**
ASSETS											
Cash	20.6	69.0	105.9	121.8	374.4	100.0	100.0	100.0	100.0	100.0	100.0
Short Term Investments	6.5	8.0	1.5	0.3	1.1	6.4	0.0	0.0	0.0	0.0	0.0
Trading Asset Securities	0.0	0.0	1.5	1.2	0.5	0.0	0.0	0.0	0.0	0.0	0.0
Accounts receivable	30.3	56.3	47.9	44.5	45.4	93.9	69.7	79.5	90.6	103.3	117.7
Accounts receivable % revenues	26.7%	25.6%	16.3%	11.1%	7.1%	12.3%	8.0%	8.0%	8.0%	8.0%	8.0%
Other receivables	13.2	26.1	33.0	69.7	45.6	0.0	52.3	59.6	67.9	77.5	88.3
Total accounts receivable	**43.5**	**82.4**	**80.9**	**114.2**	**91.0**	**93.9**	**122.0**	**139.1**	**158.5**	**180.7**	**206.0**
Inventory	18.2	17.3	6.6	142.8	196.8	231.5	258.3	294.4	335.7	382.7	436.2
Inventory % OPEX	20.4%	9.8%	2.7%	48.6%	39.5%	39.4%	39.0%	39.0%	39.0%	39.0%	39.0%
Other Current Assets	0.0	0.0	9.0	8.4	2.6	11.7	11.0	12.0	13.0	14.0	15.0
Total Current Assets Exc. Cash	61.7	99.7	96.5	265.5	290.4	337.1	391.3	445.5	507.2	577.4	657.3
Total Current Assets	**88.7**	**176.7**	**205.4**	**388.7**	**666.4**	**443.5**	**491.3**	**545.5**	**607.2**	**677.4**	**757.3**
Gross Property, Plant & Equipment	152.2	410.3	631.6	801.1	1,023.0	1,386.7	1,580.7	1,774.1	1,866.8	1,958.8	2,150.0
Accumulated Depreciation	(2.2)	(8.4)	(21.3)	(37.3)	(42.9)	(48.4)	(54.4)	(61.0)	(68.3)	(76.3)	(85.1)
Net PP&E	**150.0**	**401.9**	**610.3**	**763.8**	**980.1**	**1,338.4**	**1,526.3**	**1,713.1**	**1,798.5**	**1,882.5**	**2,064.9**
Goodwill	0.0	0.0	0.0	5.7	5.7	0.0	6.0	6.0	6.0	6.0	6.0
Intangible assets	9.1	0.1	0.2	0.1	0.6	6.3	6.3	6.3	6.3	6.3	6.3
Long-term Investments	0.0	1.0	21.5	16.9	36.3	0.0	0.0	0.0	0.0	0.0	0.0
Deferred tax assets	10.2	25.4	47.3	44.1	54.6	64.4	64.4	64.4	64.4	64.4	64.4
Other Long-Term Assets	0.1	0.1	2.4	47.3	131.8	154.7	16.7	16.7	16.7	16.7	16.7
Total Assets	**258.2**	**605.2**	**887.3**	**1,266.7**	**1,875.6**	**2,007.2**	**2,110.9**	**2,352.0**	**2,499.1**	**2,653.3**	**2,915.5**

LIABILITIES

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Accounts Payable	40.3	76.8	85.1	103.8	193.5	252.2	280.0	320.0	370.0	450.0	530.0
Accrued Exp.	1.4	3.6	3.0	3.1	7.9	0.0	8.0	8.0	8.0	8.0	8.0
Short-term Borrowings	1.7	0.0	2.2	68.4	83.1	100.6	116.1	126.5	136.8	142.0	136.8
Curr. Port. of LT Debt	18.6	72.8	114.9	149.0	216.4	256.6	292.3	316.1	339.9	351.8	339.9
Curr. Port. of Leases	0.7	1.4	1.5	3.0	4.9	5.5	6.0	6.3	6.7	6.9	6.7
Curr. Income Taxes Payable	0.6	0.1	0.3	2.5	2.4	0.0	2.5	2.5	2.5	2.5	2.5
Other Current Liabilities	2.5	5.1	14.3	8.0	110.8	110.0	121.0	133.1	146.4	161.1	177.2
Total current liabilities, EOP	**65.8**	**159.7**	**221.3**	**338.0**	**618.8**	**724.9**	**825.9**	**912.5**	**1,010.3**	**1,122.2**	**1,201.1**
Long-Term Debt	130.3	248.5	358.0	485.7	647.7	770.1	878.8	951.2	1,023.7	1,059.9	1,023.7
Long-Term Leases	4.2	11.1	26.1	50.8	65.9	79.5	91.6	99.7	107.7	111.7	107.7
Def. Tax Liability, Non-Curr.	5.6	14.4	20.4	33.7	59.6	63.0	63.0	63.0	63.0	63.0	63.0
Other Non-Current Liab., Total	3.4	12.5	16.4	14.3	9.6	22.0	22.0	22.0	22.0	22.0	22.0
Total Liabilities	**209.4**	**446.1**	**642.2**	**922.6**	**1,401.7**	**1,659.5**	**1,881.3**	**2,048.4**	**2,226.7**	**2,378.9**	**2,417.5**
Common Stock	8.5	9.8	10.7	10.7	10.3	10.0	10.0	10.0	10.0	10.0	10.0
Additional Paid-In Capital	6.1	109.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9
Retained Earnings	51.4	73.7	92.8	139.4	150.8	138.8	11.2	85.1	54.0	56.0	279.7
Treasury Stock	(8.1)	(17.6)	(19.7)	(33.0)	(17.4)	0.0	(20.0)	(20.0)	(20.0)	(20.0)	(20.0)
Comprehensive Inc. and Other	(8.7)	(16.1)	(37.4)	28.2	131.7	0.0	30.0	30.0	30.0	30.0	30.0
Total Common Equity	**49.2**	**159.7**	**245.3**	**344.2**	**474.3**	**347.7**	**230.1**	**304.0**	**272.9**	**274.9**	**498.6**
Minority Interest	(0.4)	(0.6)	(0.2)	(0.2)	(0.4)	0.0	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)
Total Equity	**48.8**	**159.1**	**245.1**	**344.0**	**473.9**	**347.7**	**229.6**	**303.5**	**272.4**	**274.4**	**498.1**
Total Liabilities & Equity	**258.2**	**605.2**	**887.3**	**1,266.7**	**1,875.6**	**2,007.2**	**2,110.9**	**2,352.0**	**2,499.1**	**2,653.3**	**2,915.5**

Cash from operating activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Net income	15.3	16.4	10.3	51.1	59.9	86.1	69.5	80.5	98.2	119.4	148.2
Depreciation and amortization	0.8	7.1	14.2	17.9	24.2	27.3	30.1	33.1	36.4	40.0	44.0
Other amortizations	0.0	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0	0.0	0.0
(Gain) Loss On Sale of Assets	0.0	0.0	0.0	0.0	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)
Total Asset Writedown	0.2	1.9	0.0	3.4	17.2	17.2	18.0	18.0	18.0	18.0	18.0
Stock based compensation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other Operating Activities	1.5	11.2	(6.2)	(8.8)	30.3	42.0	42.0	42.0	42.0	42.0	42.0
Change in Acc. Receivable (Balance sheet)	(18.0)	(38.9)	1.5	(33.3)	23.2	(2.9)	(28.1)	(17.1)	(19.5)	(22.2)	(25.3)
Change in Acc. Receivable (correction)	0.0	2.0	(1.9)	(2.2)	6.6	32.7	0.0	0.0	0.0	0.0	0.0
Change in Acc. Receivable	**(18.0)**	**(36.9)**	**(0.4)**	**(35.5)**	**29.8**	**29.8**	**(28.1)**	**(17.1)**	**(19.5)**	**(22.2)**	**(25.3)**
Change in Inventories (Balance sheet)	(9.1)	0.8	10.7	(136.2)	(53.9)	(34.7)	(26.8)	(36.2)	(41.2)	(47.0)	(53.6)
Change in Inventories (correction)	0.0	(25.5)	0.0	110.4	80.2	61.0	0.0	0.0	0.0	0.0	0.0
Change in Inventories	**(9.1)**	**(24.7)**	**10.7**	**(25.8)**	**26.3**	**26.3**	**(26.8)**	**(36.2)**	**(41.2)**	**(47.0)**	**(53.6)**
Change in Acc. Payable (balance sheet)	1.4	36.5	8.3	18.7	89.7	58.8	27.8	40.0	50.0	80.0	80.0
Change in Acc. Payable (correction)	0.0	1.9	(1.3)	65.6	84.0	114.9	20.0	20.0	20.0	20.0	20.0
Change in Acc. Payable	**1.4**	**38.4**	**7.0**	**84.3**	**173.7**	**173.7**	**47.8**	**60.0**	**70.0**	**100.0**	**100.0**
Change in Other Net Operating Assets (balance sheet)	(0.4)	0.0	(9.0)	0.6	5.8	(9.1)	0.7	(1.0)	(1.0)	(1.0)	(1.0)
Change in Other Net Operating Assets (correction)	0.0	0.5	11.8	(54.0)	(13.2)	(65.0)	5.0	5.0	5.0	5.0	5.0
Change in Other Net Operating Assets	**(0.4)**	**0.5**	**2.8**	**(53.4)**	**(7.4)**	**(74.1)**	**5.7**	**4.0**	**4.0**	**4.0**	**4.0**
Cash from operating activities	**(8.3)**	**13.9**	**38.4**	**33.3**	**350.8**	**325.0**	**155.0**	**181.2**	**204.7**	**251.1**	**274.2**

Cash from investing activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A
Capital expenditures	(80.3)	(198.1)	(189.8)	(366.3)	(648.8)	(740.4)	(800.0)	(900.0)	(1,000.0)	(1,100.0)	(1,200.0)
Sales of PP&E	0.1	0.0	-	95.8	339.9	339.9	600.0	700.0	900.0	1,000.0	1,000.0
Cash acquisitions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Divestitures	0.0	0.0	0.0	0.0	0.0	31.4	0.0	0.0	0.0	0.0	0.0
Purchase/Sale of Intangibles	0.0	0.0	(0.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Cash from Investments	0.5	(2.5)	(9.3)	1.8	7.6	6.8	0.0	0.0	0.0	0.0	0.0
Cash from investing activities	**(79.6)**	**(200.6)**	**(199.3)**	**(268.7)**	**(301.3)**	**(362.3)**	**(10.0)**	**(200.0)**	**(100.0)**	**(100.0)**	**(200.0)**

Cash from financing activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A
Short Term Debt Issued	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long Term Debt issued	79.7	179.7	317.9	526.4	500.4	500.0	500.0	600.0	650.0	700.0	800.0
Total Debt Issued	**79.7**	**179.7**	**317.9**	**526.4**	**500.4**	**500.0**	**500.0**	**550.0**	**600.0**	**650.0**	**650.0**
Short Term Debt Repaid	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long-Term Debt Repaid	(4.8)	(46.0)	(207.0)	(246.5)	(260.9)	(331.0)	(350.0)	(450.0)	(500.0)	(600.0)	(700.0)
Total Debt Repaid	**(4.8)**	**(46.0)**	**(207.0)**	**(246.5)**	**(260.9)**	**(331.0)**	**(350.0)**	**(450.0)**	**(500.0)**	**(600.0)**	**(700.0)**
Net change in Debt (including FX correction)	**70.3**	**134.0**	**112.8**	**282.9**	**255.5**	**194.4**	**172.5**	**115.0**	**115.0**	**57.5**	**(57.5)**
Preferred dividend (cash)	0.0	0.0	0.0	0.0	0.0	(354.2)	(272.5)	(66.2)	(189.7)	(193.6)	(31.7)
Issuance of common stocks	16.3	161.3	119.1	16.0	13.3	13.3	0.0	0.0	0.0	0.0	0.0
Repurchase of Common Stock	(16.0)	(59.6)	(30.2)	(41.6)	(33.7)	(39.9)	0.0	0.0	0.0	0.0	0.0
Revolver						0.0	0.0	0.0	0.0	0.0	0.0
Cash from financing activities	**75.2**	**235.3**	**199.8**	**254.2**	**219.1**	**(211.8)**	**(122.5)**	**33.8**	**(89.7)**	**(143.6)**	**(81.7)**
FX adjustments	4.6	(0.3)	(1.9)	(3.0)	(16.0)	(25.4)	(22.5)	(15.0)	(15.0)	(7.5)	7.5
Net change in cash during period	**(8.1)**	**48.4**	**37.0**	**15.9**	**252.6**	**(274.4)**	**0.0**	**(0.0)**	**(0.0)**	**(0.0)**	**0.0**

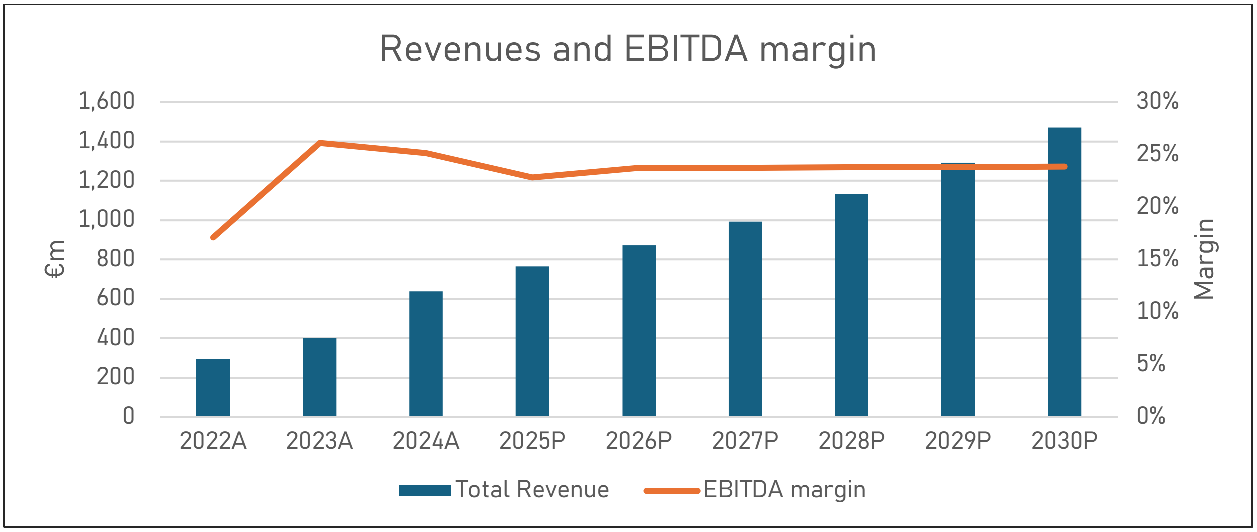
Upside Case Assumptions

Financial Data & Macro
- Last reported year: 2024
- Historical revenue CAGR (2020–2024): 53.9%
- Projected revenue CAGR (2025–2029): 14.0% (considerably more aggressive compared to the base case)
- Debt interest rate → 8.0% projected (higher leverage structure)
- Interest earned on cash: 2.0%
- Tax rate: 18.0%

Operating Metrics
- OPEX: stable at 76% of revenues
- CAPEX: ranging between €750m and €1,200m
- Sales of PP&E: ranging between €600m and €1,000m
- D&A: rises at 12% growth rate

Capital Structure
- Initial leverage in line with outstanding debt at acquisition: €650m
- Regular debt issuances and repayments throughout the ownership cycle with
- Net debt at exit: €1,510

Dividends
- Significant dividend recapitalizations supported by the robust cashflow



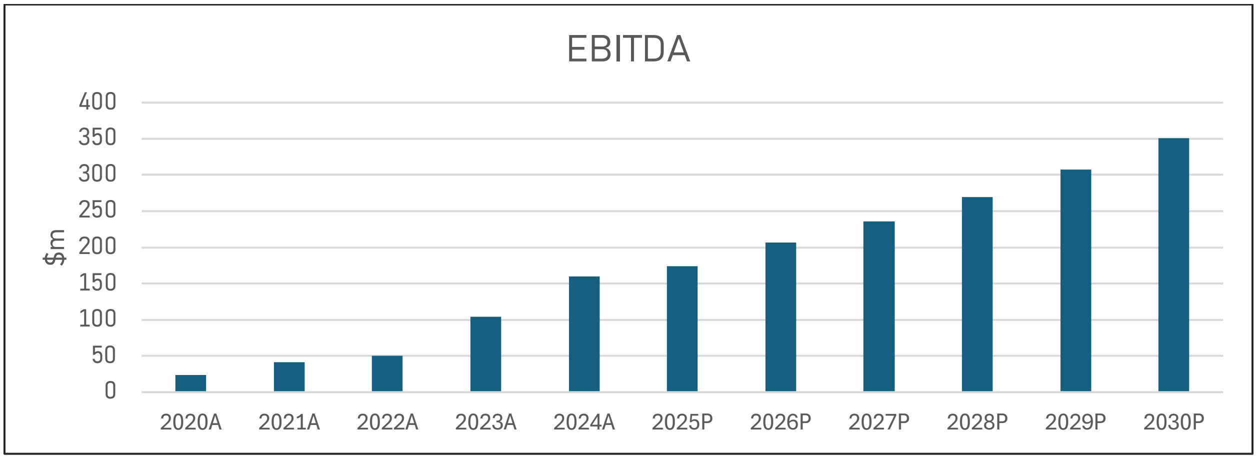
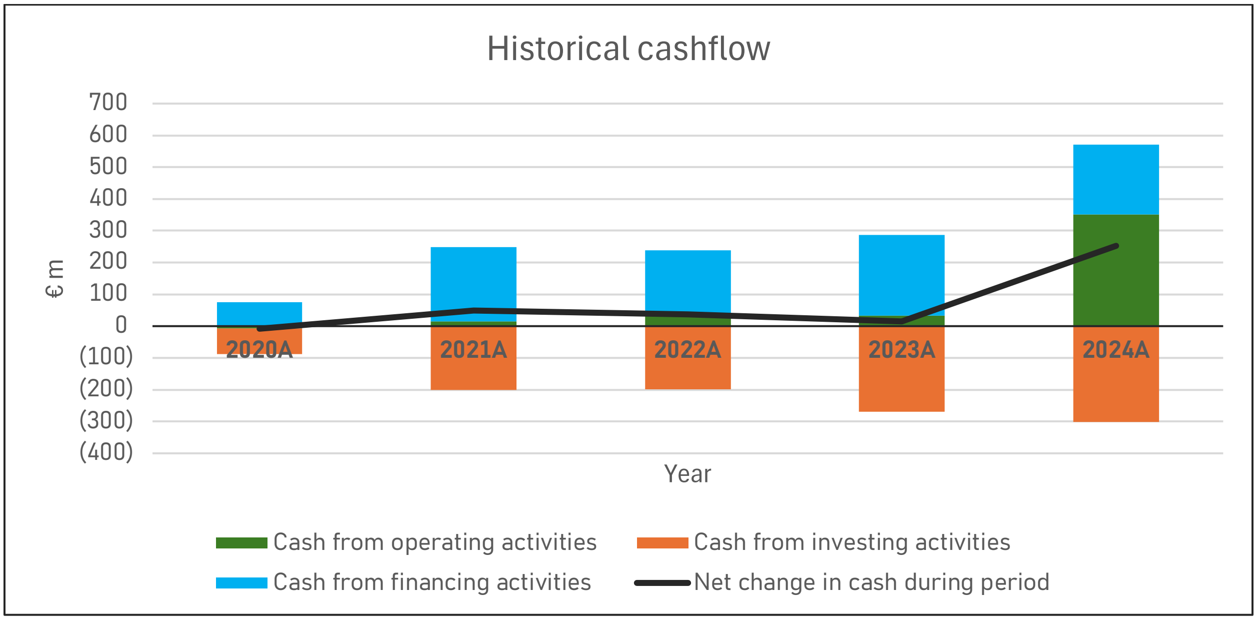


Figure 35: Revenues and EBITDA



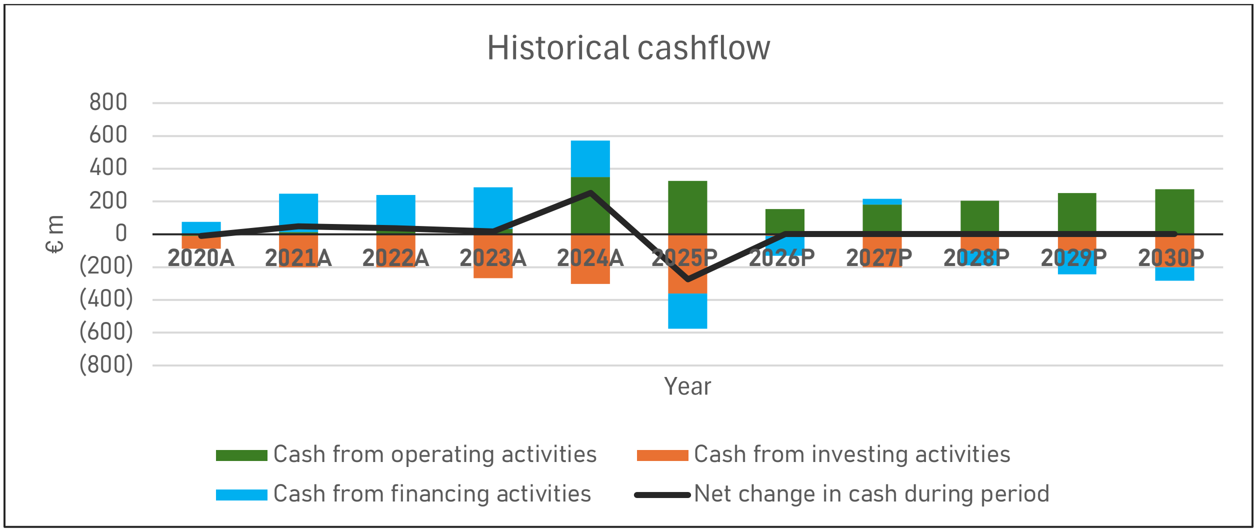


Figure 36: Historical and forecasted cashflow

The Upside Case accelerates growth (2025–2029 revenue CAGR 14%) while holding operating intensity broadly stable (OPEX ≈ 76% of sales). Capex and asset-rotation throughput remain high (capex €0.75–1.2bn, PP&E sales €0.6–1.0bn per year), D&A grows faster (12%), and the capital structure tolerates higher gross leverage at an 8% debt coupon with 18% tax. Results show a steeper ramp in EBITDA and EBIT versus the Base Case, a deliberate pull-forward of distributions via sizeable dividend recaps, and an exit configured around €1.51bn net debt and €351m EBITDA.

Assumptions:

- Top line pace: revenue steps from €637m (2024A) to €1,472m (2030P), with annual prints of €764m, €871m, €993m, €1,133m, €1,291m from 2025–2029.
- Cost envelope: OPEX fixed at 76% of sales from 2026 onward, locking gross margins near 24%.
- Capex and rotation: capex €740m→€1.2bn (2025–2030) offset by PP&E sales €600m→€1,000m, sustaining asset growth while recycling cash.
- Depreciation: D&A expands from €27m (2025P) to €44m (2030P) (12% CAGR), consistent with the capex profile.
- Capital stack: ongoing term issuances and amortization; recurring dividend recapitalizations (largest in 2025–2026).

P&L evolution:

- EBITDA: €174m (2025P) → €351m (2030P); margin stabilizes 23.8% from 2026 onward (vs. 21.3% in 2024A).
- EBIT: €147m → €307m over 2025–2030; EBIT margin expands to 20.8% by 2030.
- Interest burden: gross interest expense rises to €124m (2030P) as debt peaks; EBITDA/interest ≈ 2.3–2.8x across 2026–2030 (2030 ≈ 2.8x).
- Net income: €86m (2025P) dips to €70m (2026P) on higher interest, then climbs to €148m (2030P); NI margin improves to 10.1% by 2030.

Cash flow and conversion:

- CFO: €325m (2025P) compresses to €155m (2026P) on working-capital absorption and scaling, then rebuilds to €274m (2030P) as payables and rotation normalize.

- CFI: deeply negative during heavy build (€362m in 2025A), then moderates with rotation (€200m in peak years); 2026A near €10m reflects outsized asset sales.
- CFF: large dividend recaps (cash outflows: €354m 2025, €273m 2026, €66m 2027, €190m 2028, €194m 2029, €32m 2030) financed alongside net issuances; subsequent years show rising amortization.

Balance sheet and leverage:

- Assets: scale from €1.88bn (2024A) to €2.92bn (2030P), driven by net PP&E €2.06bn.
- Debt path: long-term debt climbs to €1.06bn (2029P) before easing; current portion increases with scheduled amortization.
- Equity dynamics: retained earnings are pulled down by distributions (low point in 2026) then rebuild to €280m (2030P); total common equity rebounds to €499m in 2030.
- Exit setup (2030P): net debt €1.51bn, EBITDA €351m → Net debt/EBITDA 4.3x; interest coverage near 2.8x provides adequate, not ample, cushion.

What's improved versus the Base Case:

- Growth delta: faster revenue trajectory delivers roughly 14–16% higher EBITDA by 2028–2030 than a mid-20s margin Base Case would imply, despite a similar cost ratio.
- Operating scale: higher throughput tightens fixed-cost dilution, lifting EBIT margin to about 21% by 2030.
- Cash cadence: despite heavier interest and distributions, the rotation engine restores CFO to more than €250m by 2029–2030, supporting de-risking at exit.

Key watch-items:

- Rate sensitivity: each +100 bps on average debt cost trims net income by mid- to high-single-digit € millions and pushes coverage closer to 2.5x.
- Rotation execution: any shortfall in PP&E sales versus plan widens CFI, forces incremental debt, or compresses distributions.
- Working-capital discipline: receivables anchored around 8% of revenue from 2026; slippage would pressure CFO in growth years.
- Distribution pacing: front-loaded recaps (2025–2026) elevate leverage; deferral would strengthen equity build but reduce shareholder IRR.

DOWNSIDE CASE

INCOME STATEMENT

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Revenue	113.4	220.2	293.0	400.2	637.1	764.4	802.6	842.7	884.9	929.1	975.6
Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Revenue	**113.4**	**220.2**	**293.0**	**400.2**	**637.1**	**764.4**	**802.6**	**842.7**	**884.9**	**929.1**	**975.6**
OPEX	(89.2)	(177.9)	(241.4)	(294.2)	(498.7)	(587.6)	(634.1)	(665.8)	(707.9)	(743.3)	(780.5)
OPEX % revenues	*78.6%*	*80.8%*	*82.4%*	*73.5%*	*78.3%*	*76.9%*	*79.0%*	*79.0%*	*80.0%*	*80.0%*	*80.0%*
Gross Profit	**24.3**	**42.3**	**51.6**	**106.1**	**138.4**	**176.8**	**168.5**	**177.0**	**177.0**	**185.8**	**195.1**
Fuel & Purchased Power	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Ops. and Maintenance	(0.2)	(0.3)	(0.6)	(0.4)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)
Selling General & Admin Exp.	(0.4)	(0.6)	(0.8)	(1.2)	(1.7)	(1.7)	*(1.7)*	*(1.7)*	*(1.7)*	*(1.7)*	*(1.7)*
Depreciation & Amort.	(0.8)	(7.1)	(14.2)	(17.9)	(24.2)	(27.3)	(30.6)	(34.3)	(38.4)	(43.0)	(48.2)
Operating income (EBIT)	**22.9**	**34.3**	**36.0**	**86.6**	**111.8**	**147.1**	**135.5**	**140.3**	**136.1**	**140.4**	**144.5**
Interest income	0.2	0.0	0.5	1.8	1.4	3.1	2.0	2.0	2.0	2.0	2.0
Interest expense (enter as -)	(2.6)	(9.3)	(19.6)	(34.9)	(45.1)	(47.6)	(90.2)	(90.2)	(90.2)	(85.9)	(77.4)
Net interest income	**(2.4)**	**(9.3)**	**(19.1)**	**(33.1)**	**(43.7)**	**(44.5)**	**(88.2)**	**(88.2)**	**(88.2)**	**(83.9)**	**(75.4)**
Other non-operating expense (enter as -)	(5.2)	(4.9)	(3.3)	(1.2)	8.0	0.5	(2.0)	(2.0)	(2.0)	(2.0)	(2.0)
EBT	**15.3**	**20.1**	**13.5**	**52.3**	**76.0**	**103.0**	**45.3**	**50.1**	**46.0**	**54.5**	**67.1**
Unusual items	0.3	(1.9)	(6.2)	0.0	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)	(1.4)
EBT incl. unusual items	**15.6**	**18.2**	**7.3**	**52.3**	**74.6**	**101.6**	**43.9**	**48.7**	**44.6**	**53.1**	**65.7**
Taxes (enter expense as -)	(0.4)	(2.1)	3.0	(1.1)	(15.0)	(15.8)	(8.2)	(9.0)	(8.3)	(9.8)	(12.1)
Minority Int. in Earnings	0.1	0.3	0.0	0.0	0.2	0.2	0.0	0.0	0.0	0.0	0.0
Net income	**15.3**	**16.4**	**10.3**	**51.1**	**59.9**	**86.1**	**35.8**	**39.7**	**36.3**	**43.3**	**53.6**
Net income margin	13.5%	7.4%	3.5%	12.8%	9.4%	11.3%	4.5%	4.7%	4.1%	4.7%	5.5%

EBITDA reconciliation

EBIT (GAAP)	**22.9**	**34.3**	**36.0**	**86.6**	**111.8**	**147.1**	**135.5**	**140.3**	**136.1**	**140.4**	**144.5**
Depreciation and amortization	0.8	7.1	14.2	17.9	24.2	27.3	30.6	34.3	38.4	43.0	48.2
Deal-related D&A	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Restructuring and other nonrecurring charges	0.0	0.0	0.0	0.0	24.1	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA	**23.7**	**41.4**	**50.1**	**104.5**	**160.0**	**174.3**	**166.1**	**174.6**	**174.6**	**183.4**	**192.7**
EBITDA margin	20.9%	18.8%	17.1%	26.1%	25.1%	22.8%	20.7%	20.7%	19.7%	19.7%	19.8%
Stock based compensation	0.2	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other expenses	0.0	0.0	0.0	0.0	(2.6)	0.0	0.0	0.0	0.0	0.0	0.0
Adjusted EBITDA	**24.1**	**41.8**	**50.3**	**104.7**	**157.4**	**174.6**	**166.3**	**174.8**	**174.8**	**183.6**	**192.9**
Adj. EBITDA margin	21.2%	19.0%	17.2%	26.2%	24.8%	22.8%	20.7%	20.7%	19.7%	19.8%	19.8%

BALANCE SHEET

ASSETS

Fiscal year	**2020A**	**2021A**	**2022A**	**2023A**	**2024A**	**2025P**	**2026P**	**2027P**	**2028P**	**2029P**	**2030P**
ASSETS											
Cash	20.6	69.0	105.9	121.8	374.4	100.0	100.0	100.0	100.0	100.0	100.0
Short Term Investments	6.5	8.0	1.5	0.3	1.1	6.4	0.0	0.0	0.0	0.0	0.0
Trading Asset Securities	0.0	0.0	1.5	1.2	0.5	0.0	0.0	0.0	0.0	0.0	0.0
Accounts receivable	30.3	56.3	47.9	44.5	45.4	93.9	64.2	67.4	70.8	74.3	78.0
Accounts receivable % revenues	26.7%	25.6%	16.3%	11.1%	7.1%	12.3%	8.0%	8.0%	8.0%	8.0%	8.0%
Other receivables	13.2	26.1	33.0	69.7	45.6	0.0	48.2	50.6	53.1	55.7	58.5
Total accounts receivable	**43.5**	**82.4**	**80.9**	**114.2**	**91.0**	**93.9**	**112.4**	**118.0**	**123.9**	**130.1**	**136.6**
Inventory	18.2	17.3	6.6	142.8	196.8	231.5	247.3	259.7	276.1	289.9	304.4
Inventory % OPEX	20.4%	9.8%	2.7%	48.6%	39.5%	39.4%	39.0%	39.0%	39.0%	39.0%	39.0%
Other Current Assets	0.0	0.0	9.0	8.4	2.6	11.7	11.0	12.0	13.0	14.0	15.0
Total Current Assets Exc. Cash	61.7	99.7	96.5	265.5	290.4	337.1	370.7	389.6	413.0	434.0	456.0
Total Current Assets	**88.7**	**176.7**	**205.4**	**388.7**	**666.4**	**443.5**	**470.6**	**489.6**	**513.0**	**533.9**	**555.9**
Gross Property, Plant & Equipment	152.2	410.3	631.6	801.1	1,023.0	1,386.7	1,580.6	1,773.7	1,866.1	1,957.4	2,147.8
Accumulated Depreciation	(2.2)	(8.4)	(21.3)	(37.3)	(42.9)	(48.4)	(54.5)	(61.3)	(69.0)	(77.6)	(87.3)
Net PP&E	**150.0**	**401.9**	**610.3**	**763.8**	**980.1**	**1,338.4**	**1,526.1**	**1,712.4**	**1,797.0**	**1,879.8**	**2,060.5**
Goodwill	0.0	0.0	0.0	5.7	5.7	0.0	6.0	6.0	6.0	6.0	6.0
Intangible assets	9.1	0.1	0.2	0.1	0.6	6.3	6.3	6.3	6.3	6.3	6.3
Long-term Investments	0.0	1.0	21.5	16.9	36.3	0.0	0.0	0.0	0.0	0.0	0.0
Deferred tax assets	10.2	25.4	47.3	44.1	54.6	64.4	64.4	64.4	64.4	64.4	64.4
Other Long-Term Assets	0.1	0.1	2.4	47.3	131.8	154.7	16.7	16.7	16.7	16.7	16.7

LIABILITIES

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Accounts Payable	40.3	76.8	85.1	103.8	193.5	252.2	280.0	320.0	370.0	450.0	530.0
Accrued Exp.	1.4	3.6	3.0	3.1	7.9	0.0	8.0	8.0	8.0	8.0	8.0
Short-term Borrowings	1.7	0.0	2.2	68.4	83.1	100.6	100.6	100.6	95.4	85.1	64.4
Curr. Port. of LT Debt	18.6	72.8	114.9	149.0	216.4	256.6	256.6	256.6	244.7	220.9	173.3
Curr. Port. of Leases	0.7	1.4	1.5	3.0	4.9	5.5	5.5	5.5	5.3	5.0	4.3
Curr. Income Taxes Payable	0.6	0.1	0.3	2.5	2.4	0.0	2.5	2.5	2.5	2.5	2.5
Other Current Liabilities	2.5	5.1	14.3	8.0	110.8	110.0	121.0	133.1	146.4	161.1	177.2
Total current liabilities, EOP	**65.8**	**159.7**	**221.3**	**338.0**	**618.8**	**724.9**	**774.2**	**826.3**	**872.3**	**932.5**	**959.6**
Long-Term Debt	130.3	248.5	358.0	485.7	647.7	770.1	770.1	770.1	733.9	661.4	516.5
Long-Term Leases	4.2	11.1	26.1	50.8	65.9	79.5	79.5	79.5	75.5	67.5	51.4
Def. Tax Liability, Non-Curr.	5.6	14.4	20.4	33.7	59.6	63.0	63.0	63.0	63.0	63.0	63.0
Other Non-Current Liab., Total	3.4	12.5	16.4	14.3	9.6	22.0	22.0	22.0	22.0	22.0	22.0
Total Liabilities	**209.4**	**446.1**	**642.2**	**922.6**	**1,401.7**	**1,659.5**	**1,708.8**	**1,760.9**	**1,766.7**	**1,746.4**	**1,612.5**
Common Stock	8.5	9.8	10.7	10.7	10.3	10.0	10.0	10.0	10.0	10.0	10.0
Additional Paid-in Capital	6.1	109.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9	198.9
Retained Earnings	51.4	73.7	92.8	139.4	150.8	138.8	162.9	316.1	418.2	542.4	879.0
Treasury Stock	(8.1)	(17.6)	(19.7)	(33.0)	(17.4)	0.0	(20.0)	(20.0)	(20.0)	(20.0)	(20.0)
Comprehensive Inc. and Other	(8.7)	(16.1)	(37.4)	28.2	131.7	0.0	30.0	30.0	30.0	30.0	30.0
Total Common Equity	**49.2**	**159.7**	**245.3**	**344.2**	**474.3**	**347.7**	**381.8**	**535.0**	**637.1**	**761.3**	**1,097.9**
Minority Interest	(0.4)	(0.6)	(0.2)	(0.2)	(0.4)	0.0	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)
Total Equity	**48.8**	**159.1**	**245.1**	**344.0**	**473.9**	**347.7**	**381.3**	**534.5**	**636.6**	**760.8**	**1,097.4**
Total Liabilities & Equity	**258.2**	**605.2**	**887.3**	**1,266.7**	**1,875.6**	**2,007.2**	**2,090.1**	**2,295.4**	**2,403.3**	**2,507.1**	**2,709.8**

Cash from operating activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P	2030P
Net income	15.3	16.4	10.3	51.1	59.9	86.1	35.8	39.7	36.3	43.3	53.6
Depreciation and amortization	0.8	7.1	14.2	17.9	24.2	27.3	30.6	34.3	38.4	43.0	48.2
Other amortizations	0.0	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0	0.0	0.0
(Gain) Loss On Sale of Assets	0.0	0.0	0.0	0.0	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)	(3.2)
Total Asset Writedown	0.2	1.9	0.0	3.4	17.2	17.2	18.0	18.0	18.0	18.0	18.0
Stock based compensation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other Operating Activities	1.5	11.2	(6.2)	(8.8)	30.3	42.0	42.0	42.0	42.0	42.0	42.0
Change in Acc. Receivable (Balance sheet)	(18.0)	(38.9)	1.5	(33.3)	23.2	(2.9)	(18.5)	(5.6)	(5.9)	(6.2)	(6.5)
Change in Acc. Receivable (correction)	0.0	2.0	(1.9)	(2.2)	6.6	32.7	0.0	0.0	0.0	0.0	0.0
Change in Acc. Receivable	**(18.0)**	**(36.9)**	**(0.4)**	**(35.5)**	**29.8**	**29.8**	**(18.5)**	**(5.6)**	**(5.9)**	**(6.2)**	**(6.5)**
Change in Inventories (Balance sheet)	(9.1)	0.8	10.7	(136.2)	(53.9)	(34.7)	(15.8)	(12.4)	(16.4)	(13.8)	(14.5)
Change in Inventories (correction)	0.0	(25.5)	0.0	110.4	80.2	61.0	0.0	0.0	0.0	0.0	0.0
Change in Inventories	**(9.1)**	**(24.7)**	**10.7**	**(25.8)**	**26.3**	**26.3**	**(15.8)**	**(12.4)**	**(16.4)**	**(13.8)**	**(14.5)**
Change in Acc. Payable (balance sheet)	1.4	36.5	8.3	18.7	89.7	58.8	27.8	40.0	50.0	80.0	80.0
Change in Acc. Payable (correction)	0.0	1.9	(1.3)	65.6	84.0	114.9	20.0	20.0	20.0	20.0	20.0
Change in Acc. Payable	**1.4**	**38.4**	**7.0**	**84.3**	**173.7**	**173.7**	**47.8**	**60.0**	**70.0**	**100.0**	**100.0**
Change in Other Net Operating Assets (balance sheet)	(0.4)	0.0	(9.0)	0.6	5.8	(9.1)	0.7	(1.0)	(1.0)	(1.0)	(1.0)
Change in Other Net Operating Assets (correction)	0.0	0.5	11.8	(54.0)	(13.2)	(65.0)	5.0	5.0	5.0	5.0	5.0
Change in Other Net Operating Assets	**(0.4)**	**0.5**	**2.8**	**(53.4)**	**(7.4)**	**(74.1)**	**5.7**	**4.0**	**4.0**	**4.0**	**4.0**
Cash from operating activities	**(8.3)**	**13.9**	**38.4**	**33.3**	**350.8**	**325.0**	**142.4**	**176.8**	**183.2**	**227.1**	**241.6**

Cash from investing activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A
Capital expenditures	(80.3)	(198.1)	(189.8)	(366.3)	(648.8)	(740.4)	(800.0)	(900.0)	(1,000.0)	(1,100.0)	(1,200.0)
Sales of PP&E	0.1	0.0	-	95.8	339.9	339.9	600.0	700.0	900.0	1,000.0	1,000.0
Cash acquisitions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Divestitures	0.0	0.0	0.0	0.0	0.0	31.4	0.0	0.0	0.0	0.0	0.0
Purchase/Sale of Intangibles	0.0	0.0	(0.2)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Cash from Investments	0.5	(2.5)	(9.3)	1.8	7.6	6.8	0.0	0.0	0.0	0.0	0.0
Cash from investing activities	**(79.6)**	**(200.6)**	**(199.3)**	**(268.7)**	**(301.3)**	**(362.3)**	**(10.0)**	**(200.0)**	**(100.0)**	**(100.0)**	**(200.0)**

Cash from financing activities

Fiscal year	2020A	2021A	2022A	2023A	2024A	2025A	2026A	2027A	2028A	2029A	2030A
Short Term Debt Issued	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long Term Debt issued	79.7	179.7	317.9	526.4	500.4	500.0	350.0	450.0	450.0	500.0	500.0
Total Debt Issued	**79.7**	**179.7**	**317.9**	**526.4**	**500.4**	**500.0**	**350.0**	**450.0**	**450.0**	**500.0**	**500.0**
Short Term Debt Repaid	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long-Term Debt Repaid	(4.8)	(46.0)	(207.0)	(246.5)	(260.9)	(331.0)	(350.0)	(450.0)	(500.0)	(600.0)	(700.0)
Total Debt Repaid	**(4.8)**	**(46.0)**	**(207.0)**	**(246.5)**	**(260.9)**	**(331.0)**	**(350.0)**	**(450.0)**	**(500.0)**	**(600.0)**	**(700.0)**
Net change in Debt (including FX correction)	**70.3**	**134.0**	**112.8**	**282.9**	**255.5**	**194.4**	**0.0**	**0.0**	**(57.5)**	**(115.0)**	**(230.0)**
Preferred dividend (cash)	0.0	0.0	0.0	0.0	0.0	(354.2)	(132.4)	23.2	(40.7)	(42.1)	128.4
Issuance of common stocks	16.3	161.3	119.1	16.0	13.3	13.3	0.0	0.0	0.0	0.0	0.0
Repurchase of Common Stock	(16.0)	(59.6)	(30.2)	(41.6)	(33.7)	(39.9)	0.0	0.0	0.0	0.0	0.0
Revolver						0.0	0.0	0.0	0.0	0.0	0.0
Cash from financing activities	**75.2**	**235.3**	**199.8**	**254.2**	**219.1**	**(211.8)**	**(132.4)**	**23.2**	**(90.7)**	**(142.1)**	**(71.6)**
FX adjustments	4.6	(0.3)	(1.9)	(3.0)	(16.0)	(25.4)	0.0	0.0	7.5	15.0	30.0
Net change in cash during period	**(8.1)**	**48.4**	**37.0**	**15.9**	**252.6**	**(274.4)**	**0.0**	**0.0**	**(0.0)**	**(0.0)**	**0.0**

Downside Case Assumptions

Financial Data & Macro

- Last reported year: 2024
- Historical revenue CAGR (2020–2024): 53.9%
- Projected revenue CAGR (2025–2029): 5.0% (considerably reduced compared to the base case)
- Debt interest rate → 8.0% projected (higher leverage structure)
- Interest earned on cash: 2.0%
- Tax rate: 18.0%

Operating Metrics

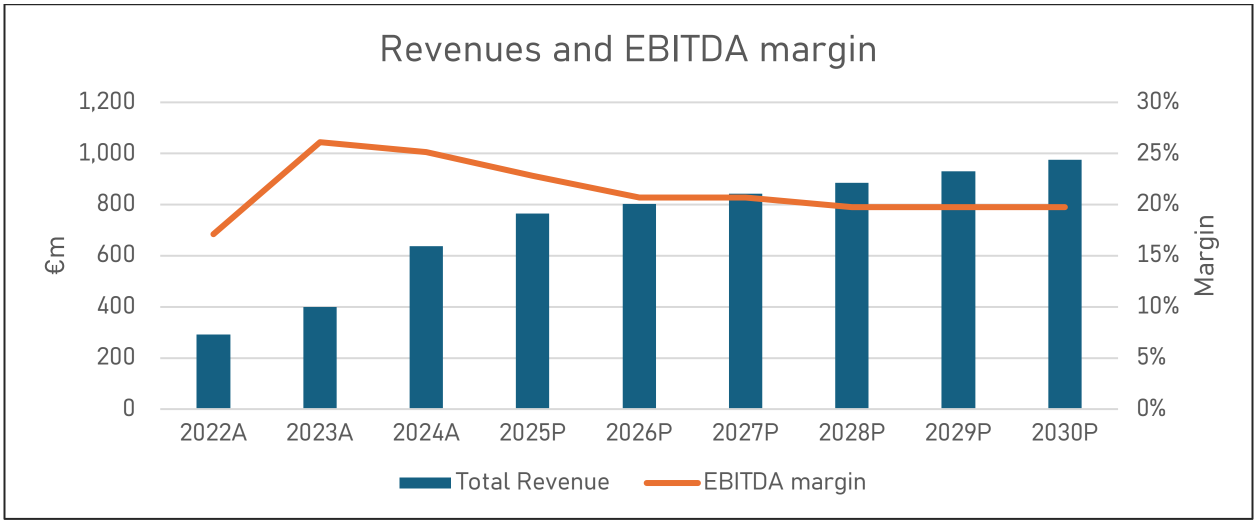
- OPEX: 79% of revenues, gradually deteriorating to 80% by 2029
- CAPEX: ranging between €750m and €1,200m
- Sales of PP&E: ranging between €600m and €1,000m
- D&A: rises at 12% growth rate

Capital Structure

- Initial leverage in line with outstanding debt at acquisition: €650m
- Regular debt issuances and repayments throughout the ownership cycle
- Net debt at exit: €700m

Dividends

- Heavily reduced dividend recapitalization throughout the ownership cycle



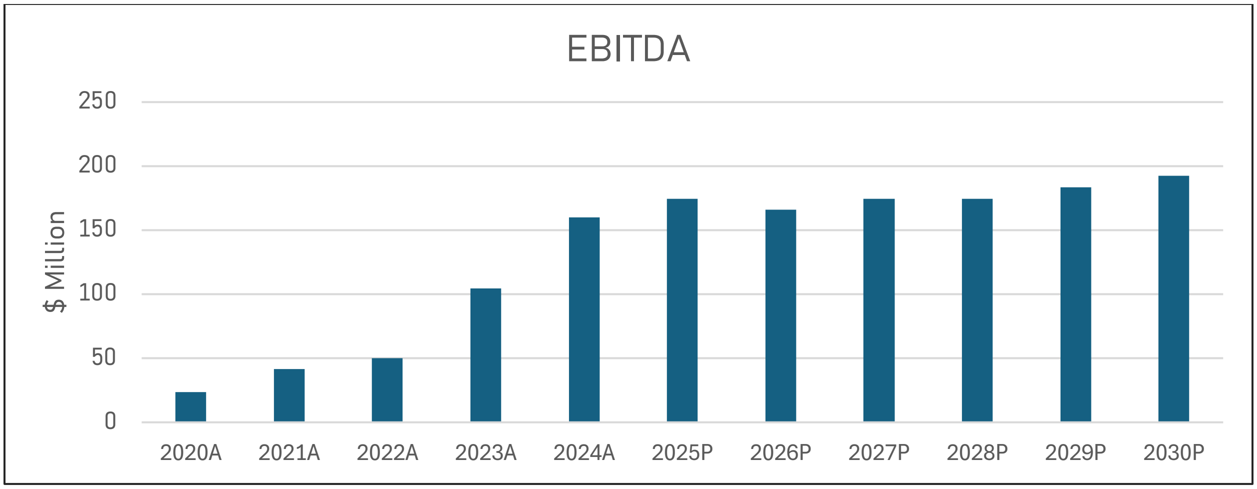
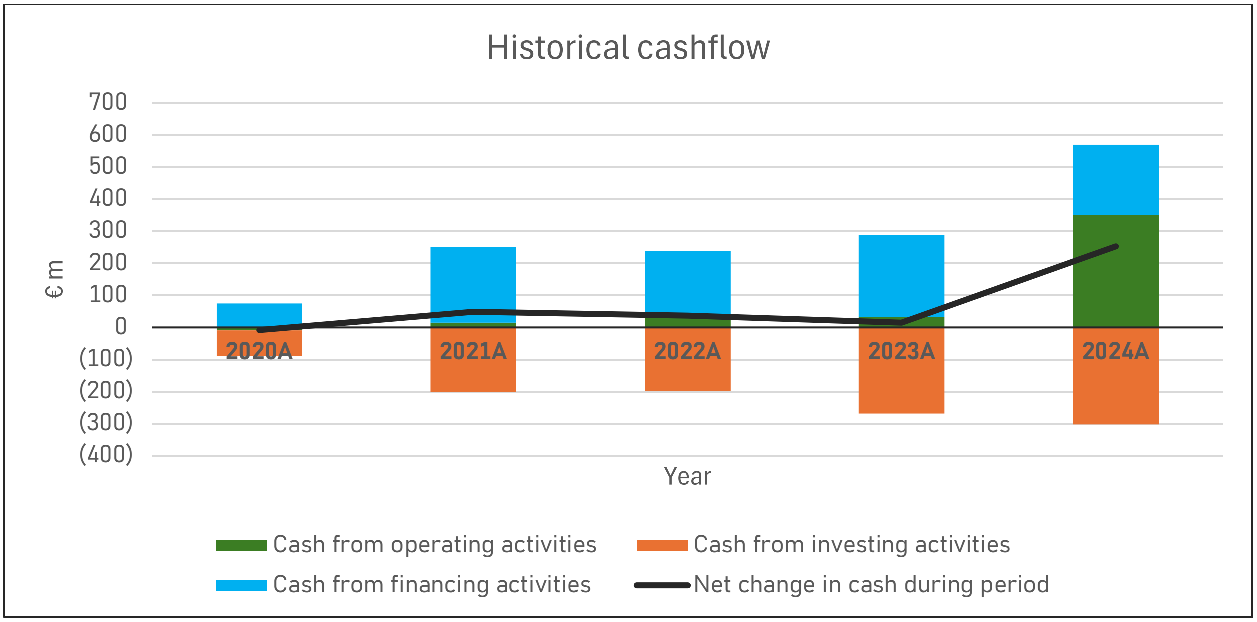


Figure 37: Revenues and EBITDA



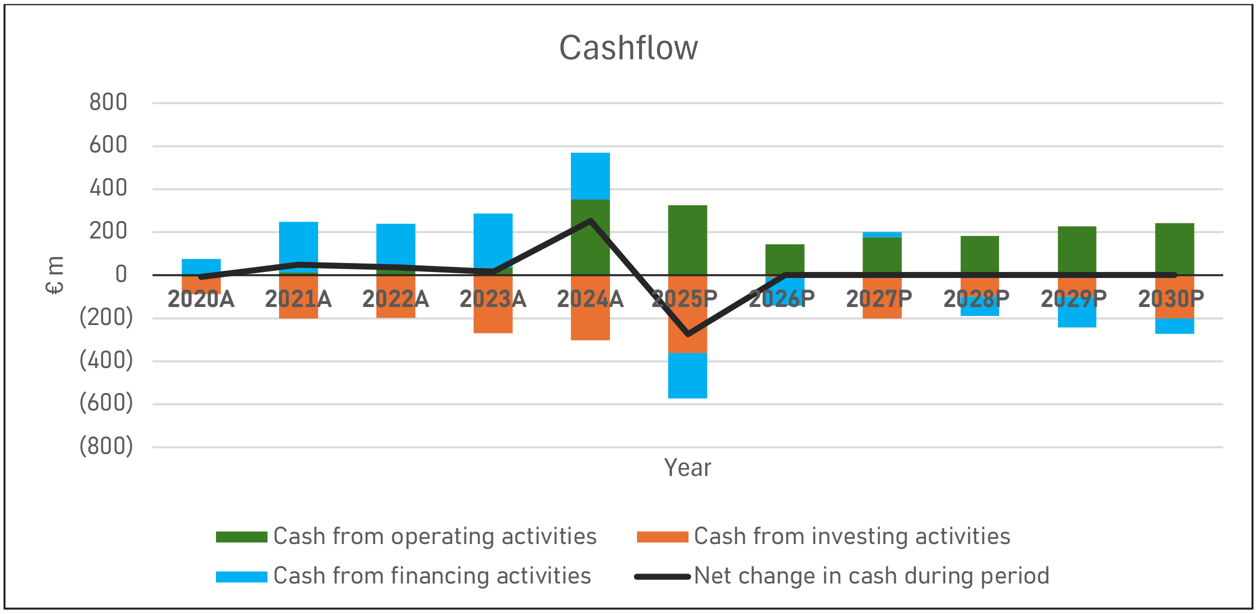


Figure 38: Historical and forecasted cashflow

The Downside Case slows growth materially (2025–2029 revenue CAGR 5%) and allows operating intensity to drift higher (OPEX 79% of sales, deteriorating to 80% by 2028–2030). Capex and asset-rotation throughput stay high (capex €0.75–1.2bn; PP&E sales €0.6–1.0bn), D&A grows faster (12%), and the financing plan curtails distributions. Results show flatter EBITDA and EBIT, tighter interest coverage in the mid-years, stronger equity retention, and an exit configured around €700m net debt with more conservative leverage than the other cases.

Assumptions:

- Top-line pace: revenue steps from €637m (2024A) to €976m (2030P), with annual prints of €764m, €803m, €843m, €885m, €929m across 2025–2029.
- Cost envelope: OPEX set at 79% in 2026–2027, drifting to 80% from 2028 onward; gross margin compresses toward 20%.
- Capex and rotation: capex €740m→€1.2bn (2025–2030) offset by PP&E sales €600m→€1,000m, sustaining the asset base but limiting free cash generation.
- Depreciation: D&A rises from €27m (2025P) to €48m (2030P) (12% CAGR), reflecting the sustained build program.
- Capital stack: new money issuance front-loaded; repayments accelerate from 2028; dividend recapitalizations heavily reduced and episodic.

P&L evolution:

- EBITDA: €174m (2025P) → €193m (2030P); margin compresses from 22.8% (2025) to 19.7–19.8% in 2028–2030.
- EBIT: €147m (2025P) then flattens, €136–145m during 2026–2030, as higher OPEX and faster D&A growth offset scale benefits.
- Interest burden: expense held €90m in 2026–2028 before easing to €77m by 2030 as gross debt amortizes; EBITDA/interest trough 1.8–1.9x (2026–2028), improving to 2.5x by 2030.
- Net income: €86m (2025P) falls to €36–40m in 2026–2028, recovering to €54m (2030P); NI margin settles in the 4–6% range.

Cash flow and conversion:

- CFO: €325m (2025P) drops to €142m (2026P) on weaker operating margin and milder working-capital tailwinds; gradual rebuild to €242m (2030P) as payables and rotation normalize.
- CFI: remains deeply negative in heavy build years (e.g., €362m in 2025A), moderating with asset sales to €100–€200m from 2027–2030.
- CFF: distributions are sparse and smaller in quantum; financing flows tilt toward amortization from 2028 onward, with net debt reductions in 2028–2030.

Balance sheet and leverage:

- Assets: grow from €1.88bn (2024A) to €2.71bn (2030P), driven by net PP&E €2.06bn at exit; total asset growth is notably lower than in faster-growth cases.
- Debt path: long-term debt effectively capped at €770m through 2027, then declines to €517m by 2030; short-term and current portions likewise roll down.
- Equity dynamics: limited distributions allow retained earnings to accumulate to €879m by 2030; total common equity rises to €1.10bn.
- Exit setup (2030P): net debt €700m and EBITDA €193m imply net debt/EBITDA 3.6x; interest coverage 2.5x provides a modest but improved cushion versus the mid-period trough.

What's different versus the Base and Upside (focused deltas):

- Growth delta: slower revenue trajectory and higher OPEX ratio cap EBITDA at sub-€200m by 2030 (versus >€320m in more optimistic paths), with EBIT largely range-bound.
- Cash cadence: CFO is consistently lower, limiting capacity for distributions and accelerating deleveraging only in the back half.
- Risk posture: reduced recapitalizations preserve equity and deliver the lowest exit net debt among cases, trading near-term returns for balance-sheet resilience.

Key watch-items:

- Margin discipline: every 100bps slippage beyond the 80% OPEX cap reduces EBITDA by €8–10m in the late years and further tightens coverage.
- Rotation execution: under-delivery on PP&E sales widens CFI and may force either incremental borrowing or deferral of capex.
- Coverage through the 2026–2028 window exhibits the tightest EBITDA/interest (≈1.8–1.9x); rate surprises or schedule delays would be most punitive here.
- Exit readiness: sustaining EBITDA at €190m+ with visible asset-sale cadence is critical to achieve the €700m net-debt target and maintain sub-4x leverage at exit.

06

VALUATION & RETURNS

CAPITAL STRUCTURE

TRANSACTION PERIMETER AND CAPITAL STRUCTURE VS. MARKET BENCHMARKS

The transaction perimeter reflects an implied enterprise value of $2,968m (17.0x EBITDA), with total uses of $3,120m (17.9x EBITDA) after including transaction fees ($22m), financing fees ($30m), and cash overfunding ($100m). The capital structure is composed of a $900m Term Loan B (5.2x EBITDA, P+300bps) and $2,220m of equity (12.7x EBITDA). Compared to current market levels (market cap of c.€1.9bn and net debt of c.€720m, implying EV of c.€2.62bn and trading multiples of 19.3x 2024 EBITDA and 15.1x 2025 EBITDA), the transaction EV is above the market-implied valuation, reflecting the typical take-private premium. The proposed financing structure continues to show leverage at 5.2x, consistent with prior structuring, though the higher equity contribution results in a more conservative balance versus the company's standalone profile. This positioning highlights a willingness to pay above public benchmarks while maintaining a balanced capital structure.

Table 14: Use and source of fundings

Use	$M	Multiple	Sources	$M	Multiple	Int. Rate
Enterprise value	2,968	17.0x	TLB	900	5.2x	E+300bps
Transaction fees	22	0.1x				
Financing fees	29.7	0.2x	Total Debt	900	5.2x	
Cash overfunding	100	0.6x	Tota Equity	2,220	12.7x	
Total	3,120	17.9x				

Table 15: Comparison between transaction and current trading

Metric	Transaction Case	Market Implied (2025E)	Premium vs Market
Enterprise Value ($m)	2,968	2,620	13%
EV / EBITDA multiple	17.0x	15.1x	13%
Equity Value ($m)	2,220	1,900	17%
Net Debt ($m)	900	720	25%
EV / EBITDA (Uses)	17.9x	n.a.	n.a.

The proposed transaction implies moderate premia versus current market levels, with EV and EV/EBITDA multiples reflecting a 13% uplift, and the equity value carrying a 17% premium for shareholders. While this sits slightly below the typical 20–30% range often seen in public-to-private transactions, it can be justified by Grenergy's already elevated trading multiples relative to the sector. The higher implied net debt (25% above market) reflects the more leveraged capital structure underpinning the deal. Overall, the premia balance shareholder value creation with financial discipline, positioning the offer as credible yet not excessively dilutive.

DEBT

The proposed debt structure reflects a flexible yet lender-conscious package, suitable for a sponsor-led transaction in the current credit environment. With a 6-year maturity and pricing set at P + 300bps, the facility offers a moderate cost of capital. The PIK feature allows for incremental 100bps deferrals with a 30bps premium per tranche, subject to a minimum 4% cash-pay margin, balancing liquidity flexibility with lender compensation. Upfront fees of 3% on both the underwritten term loan (UT) and committed facility (ACF) are in line with market for non-investment-grade credits. The ACF also carries a standard 0.5% fee on undrawn amounts. Call protection of NC1 / 101 limits early refinancing risk for lenders. Covenant-wise, the structure is covenant-lite, with a leverage test only upon incurrence of new debt and a springing interest coverage covenant tied to revolver utilization, providing downside protection without burdening operations.

Currency	EUR
UT Quantum	900
UT Upfront Fees	3%
ACF Quantum	100
ACF Upfront Fees	3%
ACF Commitment Fees	0.5% undrawn ACF
Maturity	6y
Interest rate	E + 300bps
PIK	for each 100bps PIKed 30bps premium; minimum 4% cash margin
Call Protection	NC1, 101
Covenant	PF leverage < 6.0x to acquire new debt; Interest coverage ratio tested if revolver more than 35% drawn

COMPARABLES MULTIPLES

To benchmark Grenergy's current market valuation, it is useful to compare its trading multiple against a representative peer set of integrated utilities, renewable developers, and independent power producers (IPPs) across Europe and selected international markets. The table below summarizes the latest EV/EBITDA trading multiples (2025) for a group of comparable companies active in electricity transmission, renewable generation, and energy infrastructure. This peer group captures both large, diversified utilities such as Iberdrola and Acciona as well as pure-play renewable operators like Solaria, EDP Renováveis, and Acciona Energías Renovables, providing a balanced view of sector valuation dynamics.

Company	EV/EBITDA (x)
Iberdrola, S.A.	10.7x
Acciona, S.A.	7.7x
Corporación Acciona Energías Renovables, S.A.	11.8x
Enagás, S.A.	11.9x
Solaria Energía y Medio Ambiente, S.A.	12.7x
EDP Renováveis, S.A.	14.8x
Redeia Corporación, S.A.	9.5x
Cox ABG Group, S.A.	8.9x
ERG S.p.A.	10.2x
Polenergia S.A.	13.5x
Ormat Technologies, Inc.	15.4x
GEPIC Energy Development Co., Ltd.	9.1x

Grenergy currently trades at approximately 15x EV/EBITDA, positioning it above the peer median of roughly 11x. This premium reflects the market's expectation of superior growth and capital efficiency, underpinned by Grenergy's expanding international pipeline and transition toward a vertically integrated IPP model. While large incumbents such as Iberdrola and Acciona trade at lower multiples (7–11x) due to their mature asset bases and regulated earnings, high-growth developers like EDP Renováveis and Ormat also command mid-teens valuations, indicating that investors view Grenergy as part of this faster-growing cohort. The premium multiple therefore suggests that equity markets are pricing in continued project execution discipline, margin expansion from storage integration, and the company's ability to sustain double-digit EBITDA growth within a still-fragmented renewables sector.

RETURNS

BASE CASE

This sensitivity matrix illustrates the relationship between entry and exit multiples on both IRR (left table) and MOIC (right table). The results highlight that IRR is highly sensitive to the delta between entry and exit multiples, with every turn of multiple expansion (e.g., 15x entry to 16x exit) adding roughly 2–3 percentage points to annualized returns. At a 15x entry multiple, IRRs range from about 20 percent under a flat 15x exit to around 28–30 percent if exit expands to 17x. Conversely, if multiples contract (e.g., 15x entry and 14x exit), IRRs compress to roughly 20 percent. The MOIC analysis confirms this pattern: at a 15x entry, a flat exit yields around 2.7x, while expansion to 17x produces about 3.4x. Importantly, the tables show diminishing sensitivity at higher entry multiples: entering at 18–19x limits upside even with multiple expansion, while downside risk (IRR compression) becomes more pronounced. Overall, the framework underscores the centrality of entry discipline, locking in an attractive entry multiple provides resilience, while upside depends heavily on sustaining or expanding market valuations at exit.

Entry multiple \ Exit multiple	12x	13x	14x	15x	16x	17x
14x	23.8%	26.3%	28.5%	30.6%	32.5%	34.4%
15x	20.1%	22.5%	24.7%	26.7%	28.6%	30.4%
16x	16.9%	19.3%	21.4%	23.4%	25.3%	27.0%
17x	14.2%	19.3%	21.4%	23.4%	25.3%	24.1%
18x	11.8%	14.0%	16.1%	18.0%	19.8%	21.5%
19x	9.7%	11.9%	13.9%	15.8%	17.6%	19.2%

Entry multiple \ Exit multiple	12x	13x	14x	15x	16x	17x
14x	2.59x	2.84x	3.09x	3.34x	3.60x	3.85x
15x	2.27x	2.49x	2.71x	2.93x	3.15x	3.38x
16x	2.02x	2.22x	2.41x	2.61x	2.81x	3.01x
17x	1.82x	2.00x	2.17x	2.35x	2.53x	2.71x
18x	1.66x	1.82x	1.98x	2.14x	2.30x	2.47x
19x	1.52x	1.67x	1.82x	1.96x	2.11x	2.26x

UPSIDE CASE

In the upside case, the sensitivity matrix shows an even stronger uplift in both IRR and MOIC from multiple expansion, reflecting the higher earnings base assumed in this scenario. At a 15x entry multiple, IRRs range from approximately 22.6 percent under a flat exit to more than 33 percent if the exit multiple expands to 17x. This compares favorably with the base case, where the same entry/exit combination yielded around 30 percent, indicating that operational outperformance compounds the effect of multiple expansion. Similarly, the MOIC profile is attractive: at 15x entry, a flat exit produces 2.9x, while expansion to 17x delivers 3.6x. The analysis also highlights that, at lower entry multiples (14x–15x), the upside case allows for consistent IRRs in the high-20s to mid-30s range and MOICs well above 3.0x. However, the same structural caveat holds: entering at elevated multiples (18x–19x) limits value creation, with IRRs compressing into the mid-teens and MOICs capped around 2.4x, even under favorable exit conditions. This reinforces the conclusion that, while operational upside supports higher returns across the board, maintaining entry discipline remains the key driver of outsized performance.

Exit multiple (rows: Entry multiple)

	12x	13x	14x	15x	16x	17x
14x	26.6%	29.2%	31.5%	33.7%	35.8%	37.7%
15x	22.6%	25.1%	27.4%	29.6%	31.6%	33.4%
16x	19.2%	21.6%	23.9%	26.0%	28.0%	29.8%
17x	16.2%	21.6%	23.9%	26.0%	28.0%	26.7%
18x	13.7%	16.1%	18.3%	20.3%	22.2%	24.0%
19x	11.4%	13.8%	15.9%	17.9%	19.8%	21.6%

Exit multiple (rows: Entry multiple)

	12x	13x	14x	15x	16x	17x
14x	2.73x	3.01x	3.28x	3.56x	3.84x	4.12x
15x	2.39x	2.64x	2.88x	3.12x	3.37x	3.61x
16x	2.13x	2.35x	2.56x	2.78x	3.00x	3.21x
17x	1.92x	2.12x	2.31x	2.51x	2.70x	2.90x
18x	1.75x	1.93x	2.10x	2.28x	2.46x	2.64x
19x	1.60x	1.77x	1.93x	2.09x	2.26x	2.42x

DOWNSIDE CASE

In the downside case, the return profile is much more constrained, with IRRs and MOICs compressing significantly due to the weaker earnings outlook. At a 15x entry multiple, IRRs range from just 3.2 percent under a flat exit to 13.6 percent with a 17x exit, showing limited value creation even with favorable multiple expansion. MOICs at the same entry point remain modest, between 1.3x and 1.8x, well below the levels seen in the base and upside scenarios. The analysis also highlights that entering at higher multiples (17x–19x) becomes highly unattractive: IRRs turn negative or hover around low single digits, while MOICs fall below 1.5x in most cases, signaling potential capital impairment. Even at lower entry levels (14x), returns remain capped, with IRRs in the low-to-mid teens and MOICs barely reaching 2.0x at best. Overall, the downside sensitivity underscores the importance of maintaining strict entry discipline, as the weaker earnings base magnifies the risk of poor outcomes when relying solely on multiple expansion to drive returns.

Exit multiple (rows: Entry multiple)

	12x	13x	14x	15x	16x	17x
14x	6.2%	8.7%	11.0%	13.1%	15.0%	16.9%
15x	3.2%	5.6%	7.9%	9.9%	11.8%	13.6%
16x	0.6%	3.0%	5.2%	7.2%	9.1%	10.8%
17x	-1.6%	3.0%	5.2%	7.2%	9.1%	8.4%
18x	-3.5%	-1.3%	0.8%	2.8%	4.6%	6.2%
19x	-5.3%	-3.0%	-1.0%	0.9%	2.7%	4.3%

Exit multiple (rows: Entry multiple)

	12x	13x	14x	15x	16x	17x
14x	1.32x	1.47x	1.62x	1.78x	1.93x	2.08x
15x	1.16x	1.29x	1.42x	1.56x	1.69x	1.83x
16x	1.03x	1.15x	1.27x	1.39x	1.51x	1.63x
17x	0.93x	1.04x	1.14x	1.25x	1.36x	1.46x
18x	0.84x	0.94x	1.04x	1.14x	1.24x	1.33x
19x	0.78x	0.86x	0.95x	1.04x	1.13x	1.22x